

**UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK**

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In re:	:	Chapter 11
	:	
ENRON CORP., <i>et al.</i> ,	:	Case No. 01-16034 (AJG)
	:	
Debtors.	:	Jointly Administered
	:	
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APPENDIX F

(Role of CSFB and its Affiliates)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

Reference is made to the preceding Final Report of Neal Batson, Court-Appointed Examiner (the "Report"). This Appendix constitutes an integral part of the Report. All capitalized terms not otherwise defined herein shall have the meanings set forth in the Report.

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I. INTRODUCTION

A. Introduction and Overview

In Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that there is sufficient evidence for a fact-finder to determine that certain of the Debtors' officers breached their fiduciary duties under applicable law by (i) engaging in self dealing in violation of their duty of loyalty and (ii) causing the Debtors to enter into certain SPE transactions that were designed to manipulate the Debtors' financial statements and that resulted in the dissemination of financial information known to be materially misleading. These wrongful acts caused direct and foreseeable harm to Enron itself and resulting harm to innocent parties that dealt with Enron, including certain creditors in the Bankruptcy Case.

This Appendix considers the role of Credit Suisse First Boston, Inc. ("CSFB")¹ in certain of the Debtors' SPE transactions. CSFB was one of Enron's Tier 1 banks and acted in several different capacities in the SPE transactions. Among these transactions were the following, each of which is discussed in this Appendix: LJM1,² a Related Party Transaction³ that CSFB participated in as a limited partner; one Prepay Transaction⁴ (the "CSFB Prepay") that closed in December 2000 and was renewed in September 2001; and

¹ In this Appendix, unless the context otherwise requires, the term "CSFB" includes Credit Suisse First Boston, Inc. and all of its affiliated and predecessor entities, including Donaldson, Lufkin & Jenrette, Inc. and all of its affiliated entities.

² LJM1 is a limited partnership, named LJM Cayman, L.P., that engaged in certain transactions with Enron. A complete discussion of the LJM1 structure and the transactions in which LJM1 engaged is included in Annex 2 and Annex 3 to Appendix L (Related Party Transactions) to the Second Interim Report.

³ See Second Interim Report, Appendix L (Related Party Transactions).

⁴ For a discussion of certain of Enron's Prepay Transactions, see Second Interim Report, Appendix E (Prepay Transactions).

the FAS 140 Transaction⁵ known as Nile that closed in September 2001. In Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that there is sufficient evidence for a fact-finder to determine that certain of the Debtors' officers breached their fiduciary duties by causing Enron to enter into certain of these transactions or transactions of the same types as these.

In this Appendix, the Examiner discusses evidence indicating that: (i) CSFB had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by the Debtors' officers; (ii) CSFB gave substantial assistance to the Debtors' officers by participating in certain transactions; and (iii) injury to the Debtors was the direct or reasonably foreseeable result of this conduct. The evidence reviewed by the Examiner and the reasonable inferences that may be drawn from that evidence are sufficient for a fact-finder to conclude⁶ that CSFB aided and abetted certain Enron officers in breaching their fiduciary duties. In addition, there is sufficient evidence of inequitable conduct by CSFB in connection with the Enron SPE transactions discussed in this Appendix for a court to conclude that CSFB's claims should be equitably subordinated to the claims of other creditors.

As set forth more fully below, CSFB's conduct in transactions involving LJM1 enabled Enron to complete the LJM1/Rhythms Hedging Transaction, through which Enron recognized \$95 million of income in 1999, representing 10.6% of its originally

⁵ For a discussion of certain of Enron's FAS 140 Transactions, see Second Interim Report, Appendix M (FAS 140 Transactions).

⁶ See Report, *Standard Adopted by the Examiner*.

reported net income for that year.⁷ CSFB's conduct also enabled Fastow improperly to enrich himself and other Enron officers in violation of their fiduciary duties to Enron. As a result of transactions involving LJM1, Fastow and his colleagues, several of whom were Enron officers, received over \$40 million.⁸

CSFB's conduct in the CSFB Prepay and the Nile transaction enabled Enron to:

- record approximately \$18.9 million of income from gain on sales of assets that should not have been recorded;⁹
- receive approximately \$175 million¹⁰ of proceeds, approximately \$172.2 million¹¹ of which Enron erroneously recorded as cash flow from operating activities and the remainder of which Enron erroneously recorded as cash flow from investing activities;¹² and
- understate debt by \$150 million in its December 31, 2000 balance sheet.¹³

The evidence would permit a fact-finder to conclude that CSFB:

⁷ Enron Form 8-K filed with the SEC on Nov. 8, 2001, Tbl. 1.

⁸ See Second Interim Report, Appendix L (Related Party Transactions), at 19-20. This amount includes: (i) \$18 million in distributions and \$2.6 million in management fees received by Fastow from LJM1; (ii) at least \$7.3 million in distributions and \$178,000 in management fees received by Kopper from LJM1; (iii) \$4.5 million received by each of Kopper and The Fastow Family Foundation in connection with Enron's termination of the LJM1/Rhythms Hedging Transaction; and (iv) an aggregate of \$3.3 million received by Michael Hinds (an LJM2 employee), Kristina Mordaunt, Glisan, Anne Yaeger Patel and Kathy Lynn in connection with Enron's termination of the LJM1/Rhythms Hedging Transaction. In addition, Fastow received \$15.5 million in cash and a house valued at \$850,000 from Kopper in connection with Fastow's sale of his LJM1 and LJM2 interests to Kopper. *Id.* For a complete discussion of LJM2, see Second Interim Report, Annex 4 to Appendix L (Related Party Transactions).

⁹ This gain resulted from the Nile transaction.

¹⁰ Of this amount, \$150 million resulted from the CSFB Prepay and \$25.0 million resulted from the Nile transaction.

¹¹ Of this amount, \$150 million resulted from the CSFB Prepay and \$22.2 million resulted from the Nile transaction. While the Examiner has been unable to confirm that Enron included the CSFB Prepay in price risk management activities and that the proceeds were treated as cash flow from operating activities, the Examiner has discovered no evidence that the CSFB Prepay was not accounted for in the same manner in which Enron accounted for the other Prepay Transactions that the Examiner has reviewed. See Second Interim Report, Appendix E (Prepay Transactions).

¹² This cash flow from investing activities resulted from the Nile transaction.

¹³ This amount reflects the proceeds from the CSFB Prepay that should have been recorded as debt.

- participated with Fastow and The Royal Bank of Scotland plc ("RBS")¹⁴ in the formation and funding of LJM1, knowing that Enron would use LJM1 to enter into a non-economic hedging transaction;
- structured and implemented a subsequent transaction through which LJM1 received funding that was improperly used by LJM1 to enrich Fastow;¹⁵
- assisted Enron in completing the CSFB Prepay, even though CSFB knew that Enron's accounting for transactions of this type, with no other meaningful related disclosure, would result in misleading financial presentation; and
- obtained assurances from Enron in the Nile transaction wherein Enron assured repayment of CSFB's equity interest in the SPE in the Nile transaction, knowing that the assurances precluded the accounting treatment Enron sought for such transactions and that Enron nonetheless intended to account for these transactions as if no assurances of repayment had been provided.

The Examiner has reviewed a substantial amount of evidence, including documentary and testimonial evidence, and has noted reasonable inferences that could be drawn from the evidence. A fact-finder may draw alternative or contrary inferences from the same evidence. Moreover, there are certain defenses to aiding and abetting liability and equitable subordination available to CSFB. Whether CSFB will succeed on one or more of these defenses will depend upon the fact-finder's resolution of these facts.

¹⁴ RBS acquired National Westminster Plc ("NatWest") by hostile takeover in March 2000. *See* Report, Appendix E (Role of RBS and its Affiliates). RBS acquired all assets and liabilities of NatWest as part of the corporate takeover. Because RBS is the successor in interest to NatWest, the Examiner regards the acts of NatWest prior to its takeover by RBS as acts of RBS.

¹⁵ As discussed below, Fastow's profit, if any, from LJM1 was to come only from investments made with the \$16 million in capital contributed by CSFB, RBS and Fastow, not from the Enron stock transferred to LJM1. Through the SAILS transaction discussed below, CSFB effectively monetized its interest in the Enron shares held by LJM1 and then contributed \$45.1 million in cash to LJM1. The parties treated the proceeds of the transaction as an additional capital contribution to LJM1 from which Fastow could profit, rather than proceeds resulting from the Enron stock, from which he could not. As discussed in Appendix E (Role of RBS and its Affiliates) to the Report, LJM1's other limited partner made a similar contribution. As a result of these transactions, an additional \$25 million was contributed to LJM1 and recharacterized so that Fastow could profit directly from these funds.

The elements most likely to present issues of material fact for consideration by the fact-finder are:

- The degree of CSFB's *knowledge* of the acts giving rise to the breaches of fiduciary duty. In connection with the formation and funding of LJM1 and the execution of the LJM1/Rhythms Hedging Transaction, a fact-finder may consider whether CSFB's belief that the Enron Board had approved these transactions might lead to the conclusion that CSFB lacked knowledge that Fastow and other Enron officers had breached any fiduciary duty to Enron in connection with these transactions. As part of this determination, the fact-finder may consider, among other things: (i) CSFB's knowledge of the existence and terms of any approval of the formation and funding of LJM1 and the execution of the LJM1/Rhythms Hedging Transaction by the Enron Board and senior officers; and (ii) whether CSFB relied on representations from Enron, LJM1 or their officers, and if so, whether this reliance was reasonable.
- In connection with the SAILS¹⁶ transaction, a fact-finder may consider, among other things: (i) CSFB's knowledge of the existence and terms of any approval of subsequent modifications of the LJM1 structure or the LJM1/Rhythms Hedging Transaction (including those necessitated by the SAILS transaction) by the Enron Board and senior officers; and (ii) whether CSFB relied on representations from Enron, LJM1 or their officers, and if so, whether this reliance was reasonable.
- In connection with the CSFB Prepay and the Nile transaction, a fact-finder might consider the degree of CSFB's *knowledge* that Enron's reporting of these transactions would contribute to materially misleading presentations of Enron's financial condition because: (i) the transactions were disclosed in a manner that disguised the economic substance of these transactions so as to mislead Rating Agencies, creditors and investors; and/or (ii) the accounting for the transactions was incorrect. As part of this determination, the fact-finder may consider, among other things: (i) CSFB's knowledge that the economic substance of these transactions was inconsistent with the disclosure; (ii) its knowledge that Enron's accounting for these transactions was likely incorrect; (iii) the impact, if any, of assurances received regarding its equity investment made in the Nile transaction; and (iv) whether there was any reliance on accounting representations from Enron or from Andersen, and if so, whether this reliance was reasonable.

¹⁶ SAILS is an acronym for "Shared Appreciation Income Linked Securities."

- The degree of *assistance* provided by CSFB to Enron's officers. As part of this determination, the fact-finder may consider whether CSFB designed the transaction, structured the transaction, assisted in the disclosure process, consummated the transaction or took any action that would invalidate the desired accounting.
- Whether it would have been reasonably *foreseeable* to CSFB that these transactions would cause injury to Enron and/or its creditors. As part of this analysis, a fact-finder may consider whether the transaction had a material impact on Enron's financial statements.

CSFB's claims in the Bankruptcy Case totaling at least \$417 million are susceptible of being equitably subordinated to the claims of other creditors. This subordination would be in addition to any affirmative recovery that may be available to the Debtors against CSFB for aiding and abetting the officers' breaches of fiduciary duty, assuming the Debtors have standing to pursue such a claim.

B. CSFB's Role In Enron's SPE Transactions

CSFB played important roles in several of Enron's SPE transactions. CSFB was one of two limited partners in LJM1.¹⁷ In this capacity, CSFB purchased its partnership interest for \$7.5 million and received payments in excess of \$38 million¹⁸ over slightly more than two years. LJM1 entered into the LJM1/Rhythms Hedging Transaction with Enron, as a result of which Enron recognized \$95 million of income in 1999, representing

¹⁷ To be precise, ERNB Ltd. ("ERNB"), a wholly owned affiliate of CSFB, was one of the two limited partners of LJM1. The other limited partner was Campsie Ltd. ("Campsie"), a wholly owned affiliate of RBS. In this Appendix, the Examiner generally refers to CSFB and RBS as the limited partners of LJM1. The role of RBS in LJM1 is discussed in Appendix E (Role of RBS and its Affiliates) to the Report.

¹⁸ As discussed more fully in this Appendix, this amount includes: (i) \$12 million retained by CSFB following completion of the SAILS transaction in December 1999; (ii) \$10 million received by CSFB in connection with the sale of its interests in Swap Sub to Southampton, L.P. in March 2000; (iii) \$5.9 million received by CSFB as a distribution from LJM1 in July 2000; (iv) \$5.4 million received by CSFB in connection with the SAILS transaction in September 2000; (v) \$2.7 million received by CSFB as a distribution following Enron's purchase of Cuiaba from LJM1 in August 2001; and (vi) \$2.8 million received by CSFB as a distribution from LJM1 in connection with the liquidation of LJM1 in October 2001.

10.6% of its originally reported net income for that year.¹⁹ In addition, CSFB structured and implemented the SAILS transaction through which LJM1 received funding that was used by LJM1 improperly to enrich Fastow. During this same period, Fastow and his colleagues, several of whom were Enron officers, received over \$40 million²⁰ in return for a \$1 million initial investment by Fastow and minimal investments by the others.

The Examiner has concluded that LJM1 existed principally to enter into a hedging transaction with Enron that Enron could not expect unaffiliated third parties to enter into on terms acceptable to Enron.²¹ The Enron Board approved the hedging transaction, in part, based on a to-be-delivered PWC fairness opinion (the “Fairness Opinion”),²² which relied on certain restrictions (through a “Lock-Up Agreement”)²³ on the transfer and use of the Enron shares transferred to LJM1. Moreover, Fastow also informed the Enron Board of a significant restriction – namely, that he would not profit from the Enron shares transferred to LJM1. Despite knowledge of these restrictions, CSFB acted to circumvent them and thereby generated substantial profits from the property subject to these restrictions. In so doing, CSFB aided and abetted Fastow in breaching his fiduciary duties to Enron and helped facilitate a substantial distribution to Fastow that contradicted his representation to the Enron Board that he would not profit from the Enron stock transferred to the partnership.

¹⁹ Enron Form 8-K filed with the SEC on Nov. 8, 2001, Tbl. 1.

²⁰ This number includes the amounts received by Fastow and by certain of his colleagues in connection with Enron’s termination of the LJM1/Rhythms Hedging Transaction.

²¹ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), *Introduction and Overview of Rhythms Transactions*.

²² See Fairness Opinion Letter from PWC to Ben Glisan, Aug. 17, 1999 (the “Fairness Opinion”) [AB000468680-AB000468684].

²³ See Confirmation Letter from Enron Corp. to LJM Cayman, L.P., LJM Swap Sub, L.P., June 30, 1999 (the “Lock-Up Agreement”) [CSFBCO 000010701-CSFBCO 000010704].

In the CSFB Prepay, CSFB provided funds to Enron in the amount of \$150 million. As in other Prepays, the transaction was effectively a loan, which Enron accounted for as a commodity transaction.

CSFB participated in Nile, a FAS 140 Transaction, by providing funding in the aggregate amount of \$25 million. CSFB provided approximately \$1.0 million of that funding through the purchase of the 3% equity in the borrower-SPE necessary for Enron to avoid reflecting the debt of the borrower-SPE on Enron's financial statements. CSFB, however, received Enron's agreement – an agreement inconsistent with the accounting treatment Enron sought – to repurchase the equity at par. CSFB loaned the remaining funds (approximately \$24.0 million) to the borrower-SPE, the obligations of which were supported by a Total Return Swap from ENA.

In addition to these transactions, CSFB participated in other SPE transactions that are not the subject of this Appendix. CSFB participated as the holder of the 3% equity in FAS 140 Transactions known as Iguana and Nikita,²⁴ assisted with the structuring of the Marlin,²⁵ Firefly and Whitewing²⁶ Share Trust Transactions²⁷ and acted as initial purchaser of securities issued by the Marlin and Whitewing structures,²⁸ and participated

²⁴ For information regarding the Nikita transaction, see Second Interim Report, Appendix M (FAS 140 Transactions) and Third Interim Report, Appendix F (Role of Barclays and its Affiliates).

²⁵ See Second Interim Report, Appendix H (Marlin Transaction).

²⁶ See Second Interim Report, Appendix G (Whitewing Transaction).

²⁷ See Second Interim Report, at 67-78.

²⁸ See Second Interim Report, Appendix G (Whitewing Transaction) and Appendix H (Marlin Transaction).

in equity derivative transactions with Enron with a gross notional amount of approximately \$456.9 million.²⁹

C. Background Information on CSFB

CSFB is the product of two mergers: (i) the 1988 combination of Credit Suisse Group and First Boston, Inc. to form CS First Boston, Inc.³⁰ and (ii) the Credit Suisse Group's acquisition of Donaldson, Lufkin & Jenrette, Inc. ("DLJ"³¹) in November 2000.³² CSFB now consists of both institutional securities and financial services businesses.³³ On the institutional securities side, CSFB provides financial advisory and

²⁹ Enron Schedule of Equity Swap & Forward Transactions, at AB1128 00647 [AB1128 00646-AB1128 00833]. The equity derivative transactions that CSFB engaged in with Enron included both equity forward transactions and equity swap transactions. In its simplest terms, an equity forward contract is a contract to exchange an equity or equity basket at a set price at a future date. An equity swap is a contract in which one or both payments are linked to the performance of equities or an equity index (for example, S&P 500). An equity swap involves the exchange of one equity or equity index return for another, or the exchange of an equity or equity index return for a floating or fixed interest rate. See Board of Governors of the Federal Reserve System, Instructions for Semiannual Report of Derivatives Activity, FR 2436, OMB No. 7100-0286, at 13, *available at* http://www.federalreserve.gov/boarddocs/reportforms/forms/FR_243620030624_i.pdf. In some cases, Enron entered into an equity derivative transaction with CSFB using shares of Enron common stock held by CSFB as a result of earlier equity derivative transactions that were terminated prior to or contemporaneously with the new transaction. Credit Suisse First Boston International ("CSFBi") filed a claim against Enron (Case No. 01-16034) with respect to equity derivative transactions in the amount of \$120,448,323. Proof of Claim of CSFBi filed against Enron in the amount of \$120,448,323 [Claim No. 0000007524]. The claim under the equity derivative transactions appears to fall within the language of Section 510(b), as it is a claim arising from an obligation of Enron to purchase the securities of Enron. See 11 U.S.C. § 510(b). A claim such as this is "an obligation undertaken by the Debtors in connection with the issuance of their stock and as a guarantee of the Debtors for the value of their stock. This is clearly a claim based on damages resulting from the sale or purchase of the securities of the Debtors." *In re Kaiser Group Int'l, Inc.*, 260 B.R. 684, 687 (Bankr. D. Del. 2001) (subordinating debtor's obligation to pay cash of certain shareholders with respect to the value of their stock). See also *Queen v. Official Comm. of Unsecured Creditors (In re Response USA, Inc.)*, 288 B.R. 88 (D.N.J. 2003) (claims arising under breach of stock option agreement susceptible to subordination under Section 510(b)).

³⁰ *First Boston Inc.: Company Completes Merger with Credit Suisse Affiliate*, Wall St. J., Dec. 23, 1988; PR Newswire, *First Boston, CSFB, and Credit Suisse Announce*, Oct. 10, 1988, at 1 [ELIB00004814-0001-ELIB00004814-0005].

³¹ In this Appendix, unless the context otherwise requires, the term "DLJ" includes Donaldson, Lufkin & Jenrette, Inc. and all of its affiliated and predecessor entities.

³² Credit Suisse Group Press Release, "Credit Suisse Group Completes Acquisition of Donaldson, Lufkin & Jenrette," Nov. 3, 2000 (the "CSFB/DLJ Merger Press Release"), at 1 [AB0911 2158 – AB0911 2159].

³³ Credit Suisse First Boston (USA), Inc. Form 10-K filed with the SEC for the Year ended Dec. 31, 2002 (the "10-K for 2002"), at 1.

capital raising services, as well as sales and trading for users and suppliers of capital around the world.³⁴ On the financial services side, CSFB provides international asset management to institutional, mutual fund and private investors, as well as financial advisory services to high net worth individuals and corporate investors.³⁵ CSFB now has “60 offices across more than 30 countries and six continents,” and, in 2001, was “one of the world’s largest securities firms in terms of financial resources, with . . . \$10 billion in equity and \$410 billion in assets.”³⁶ In 2002, CSFB reported total net revenues of \$5.739 billion.³⁷

³⁴ *Id.*

³⁵ *Id.*

³⁶ CSFB Presentation to Enron, Aug. 24, 2001, at 9 [CSFBCO 005426351-CSFBCO 005426371].

³⁷ 10-K for 2002, at 28.

II. THE HISTORY AND DEVELOPMENT OF CSFB'S INVOLVEMENT WITH ENRON

A. Relationship Between CSFB and Enron

Pre-Merger CSFB

Before its merger with DLJ, CSFB was one of Enron's most valued investment banks. By mid-1999, Enron consistently ranked CSFB among its Tier 1 banks.³⁸ Similarly, CSFB regarded Enron as "one of [its] top accounts, if not the number one relationship."³⁹ Enron paid CSFB more in fees in 1999 – over \$23 million – than any other of its Tier 1 banks.⁴⁰ In early 2001, Enron rated CSFB its "Best Bank" in North America, and recognized in particular CSFB's strength in debt capital markets.⁴¹

Pre-Merger DLJ

Before its merger with CSFB, DLJ enjoyed a profitable, but somewhat more limited, relationship with Enron. For most of the pre-merger period, Enron rated DLJ as a Tier 2 bank,⁴² until 2000 when DLJ also attained Tier 1 status.⁴³ Although DLJ

³⁸ Enron Relationship Review Mid-Year 1999, at AB000538629 [AB000538625-AB000538674]. As early as October 1998, at least one Enron employee believed that CSFB should be considered a Tier 1 bank, praising its ability to "consistently deliver competitive investment banking services," while being "willing to deliver the balance sheet strategically." Memorandum from Kelly Boots, Enron, to Jeff Skilling and Andrew Fastow, Enron, Oct. 21, 1998, regarding CSFB [AB0911 2165].

³⁹ Email from James Moran, Director, CSFB, to Geoff Smailes, CSFB, Dec. 14, 2000 [CSFBCO 000044034]; *see also* Memorandum from James Moran, Director, CSFB, to David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Dec. 11, 2000 (the "Dec. 11, 2000 Credit Memorandum"), at 3 (describing Enron as a "Priority 1 client") [CSFBCO 000044755-CSFBCO 000044758]; Sworn Statement of Osmar Abib, Managing Director, CSFB, to Frank G. Smith, A&B, May 6-7, 2003 (the "Abib Sworn Statement"), at 299, lines 18-19 ("Enron was a priority one client").

⁴⁰ Enron Relationship Review January 2000 (the "Enron Relationship Review January 2000"), at AB000538544 [AB000538536-AB000538624].

⁴¹ Enron Debt Investor Relationship Review Highlights January 2001, at AB0911 1958, AB0911 1962 [AB0911 1956-AB0911 1964].

⁴² Enron Relationship Review January 2000, at AB000538573; Enron Debt Investor Relationship Review January 2001, at AB000538426 [AB000538419-AB000538535].

⁴³ Enron Mid-Year Debt Investor Relationship Review July 2000 (the "Enron Mid-Year Debt Investor Relationship Review July 2000"), at 6, 15 [AB0252 01443-AB0252 01545].

provided structured finance services, equity underwriting, high-yield offering assistance, mergers and acquisitions advice, private equity and debt financing,⁴⁴ DLJ was less of a full-service investment bank and did not provide the same level of commercial lending or derivatives services to Enron as did CSFB.⁴⁵

The Merger of CSFB and DLJ

DLJ merged with CSFB in November 2000.⁴⁶ The Enron coverage team from CSFB continued to manage the relationship after the merger,⁴⁷ although DLJ's equity and fixed-income analyst teams covering Enron and other energy-sector companies assumed those roles after the merger for CSFB.⁴⁸ By mid-2001, CSFB officers described Enron as "a Firm wide ... priority," and understood Enron to view CSFB as "its optimal investment-banking partner from both a global and product expertise perspective."⁴⁹

⁴⁴ Sworn Statement of Laurence Nath, Managing Director, CSFB, to M. Russell Wofford, A&B, May 13, 2003 (the "Nath Sworn Statement"), at 10, line 14 – 11, line 6.

⁴⁵ Nath Sworn Statement, at 16, line 15 – 17, line 13.

⁴⁶ CSFB/DLJ Merger Press Release, at 1.

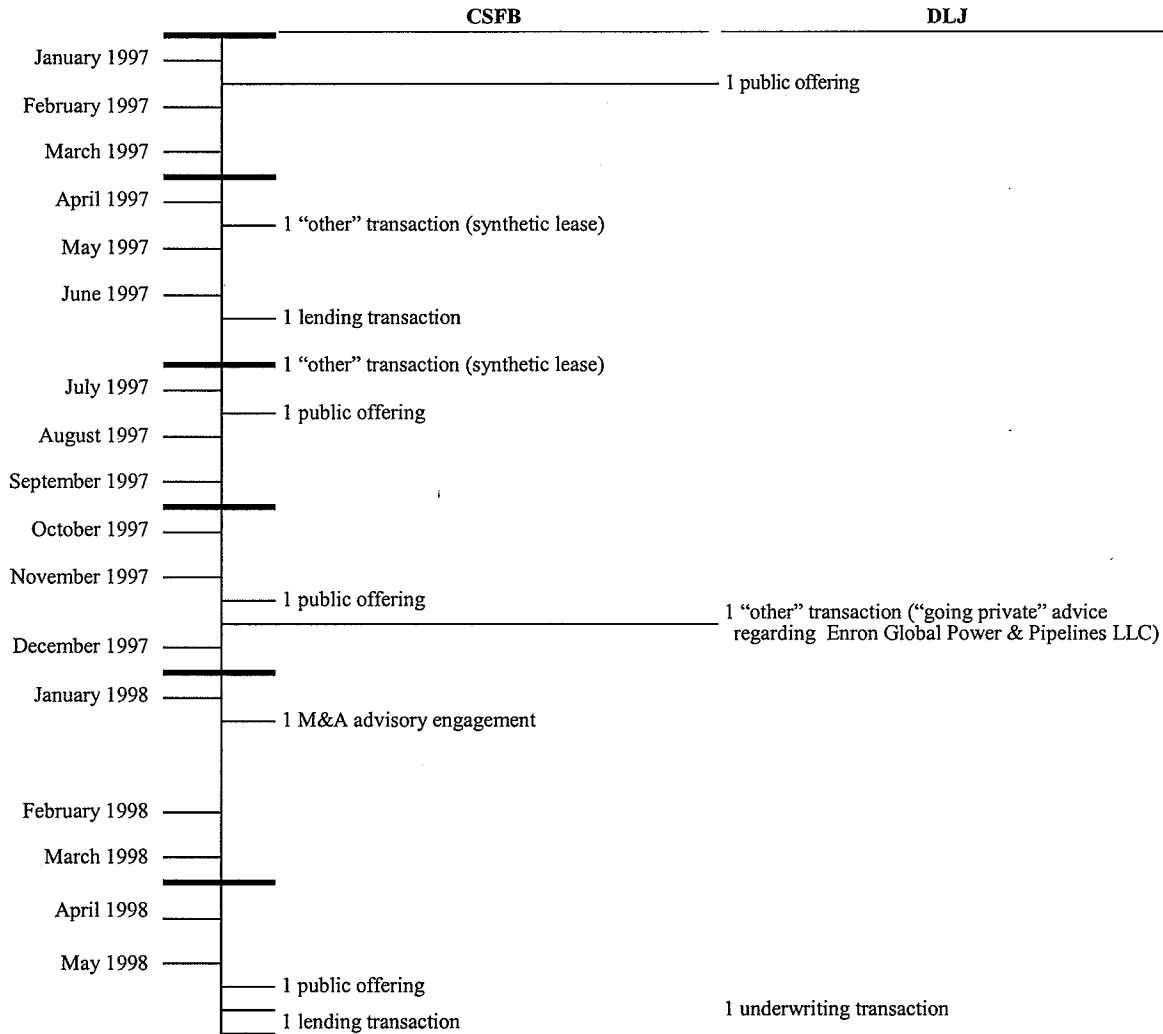
⁴⁷ See Abib Sworn Statement, at 9, line 20 - 10, line 2. CSFB's "coverage teams" included "a number of bankers who assist in the function[s] of coordination, ... pursuing new opportunities ... and responding to client inquiries and issues." *Id.* at 11, lines 4-9.

⁴⁸ See Sworn Statement of Curt Launer, Managing Director, CSFB, to Frank G. Smith, A&B, Apr. 15, 2003 (the "Launer Sworn Statement"), at 43, lines 19-25; Sworn Statement of Terran Miller, former fixed-income analyst, CSFB, to Frank G. Smith, A&B, Apr. 17, 2003 (the "Miller Sworn Statement"), at 12, line 21 – 14, line 4.

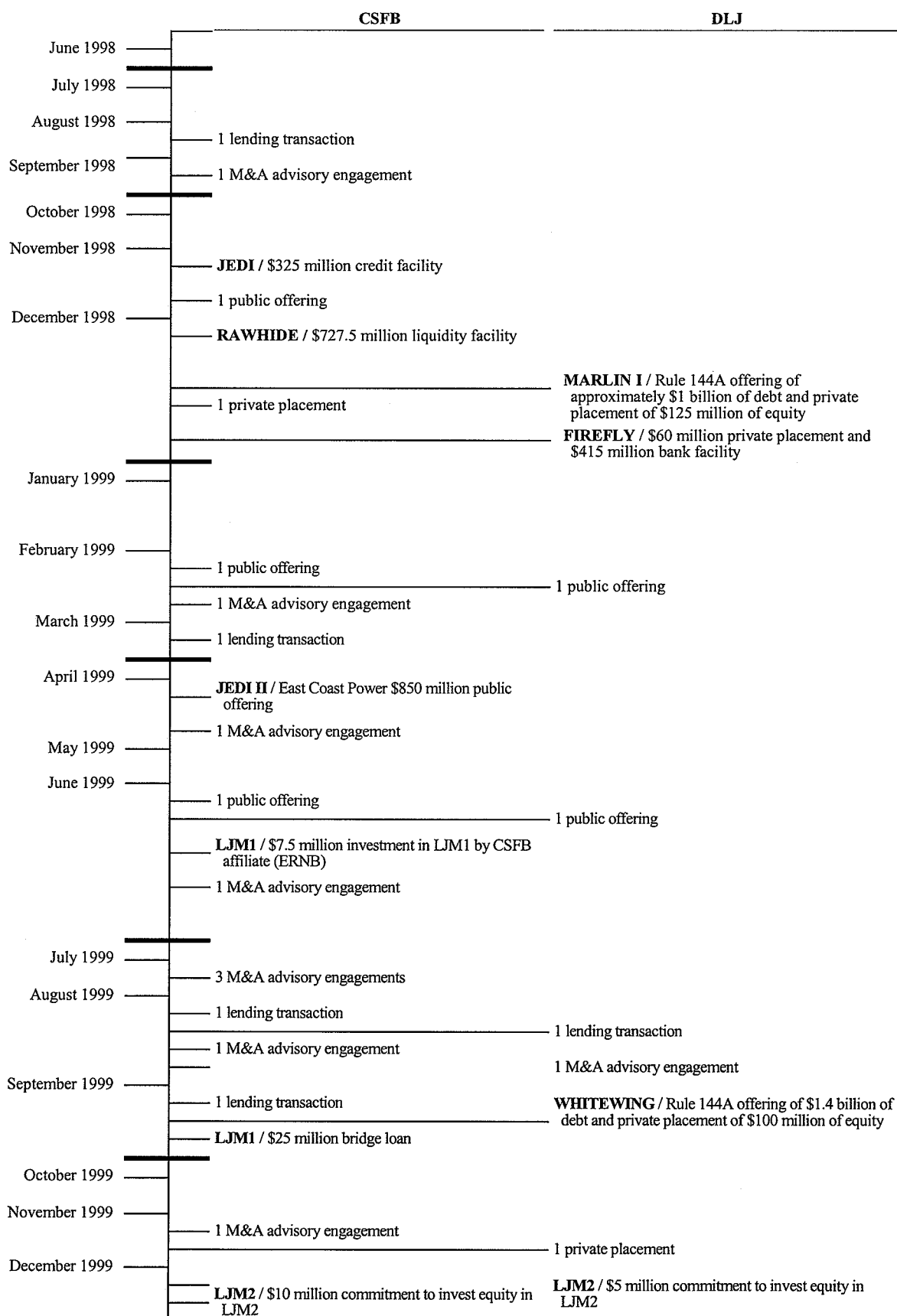
⁴⁹ Email from David Koczan, Assistant Vice President, CSFB, to Osmar Abib, Managing Director, CSFB, June 17, 2001 (forwarding language previously used by Abib in his description of the business relationship for inclusion in credit proposal) [CSFBCO 005002813]. According to the CSFB Energy Group's Business Plan Overview, dated July 16, 2001, for the period of January 1999 through May 2001, Enron was the Energy Group's third largest client in terms of gross revenue (\$44.6 million) and second largest in terms of net revenue (\$35.4 million). Business Plan Overview for Energy Group, July 16, 2001, at 114 [CSFBCO 000546111-CSFBCO 000546223].

Summary of CSFB's Transactions with Enron

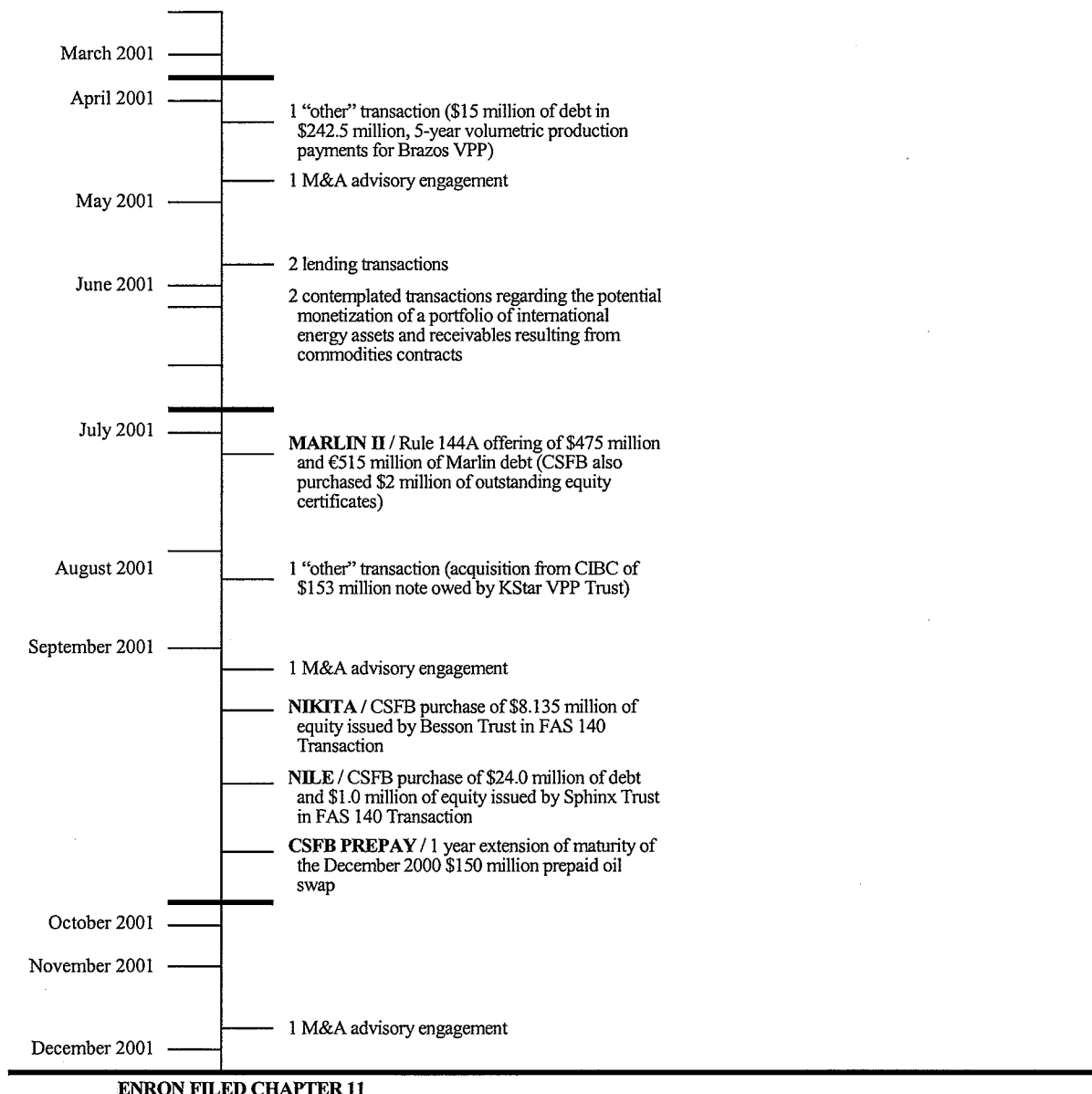
The following timeline illustrates the transactions or proposed transactions that CSFB entered into with Enron or Enron-related entities since 1997.⁵⁰ Transactions discussed in this Appendix or the Prior Reports appear in bold.



⁵⁰ See Credit Suisse First Boston LLC's Responses and Objections to the Examiner's and the Official Committee of the Unsecured Creditors of Enron Corp.'s Requests for Testimony Under Oath, Feb. 28, 2003, *In re Enron Corp.*, No. 01-16034 (AJG) (Bankr. S.D.N.Y. filed Feb. 28, 2003) ("CSFB's Original Responses"); Credit Suisse First Boston LLC's Responses and Objections to the Examiner's and the Official Committee of the Unsecured Creditors of Enron Corp.'s Requests for Testimony Under Oath, Mar. 21, 2002, *In re Enron Corp.*, No. 01-16034 (AJG) (Bankr. S.D.N.Y. filed Mar. 21, 2003) ("CSFB's Supplemental Responses" and, collectively with CSFB's Original Responses, "CSFB's Responses"). The classification of the majority of the listed transactions as public offering, private placement, lending, "other," prepay or M&A (mergers and acquisitions) advisory work was provided by CSFB in CSFB's Responses. This timeline does not include all transactions and services in which CSFB was involved. For example, commodity trades are omitted.



	CSFB	DLJ
	JEDI / \$513.5 million loan facility to a subsidiary of JEDI with a \$128.3 million commitment (reduced to \$27.5 million after syndication)	IGUANA / Rule 144A offering of \$202 million of debt and private placement of \$6.4 million of equity
January 2000	LJM1 / \$45.1 million investment in LJM1 by CSFB affiliate (ERNB) from proceeds of SAILS transaction	1 private placement
		1 M&A advisory engagement
February 2000	1 public offering	1 public offering
March 2000	LJM1 / Sale of ERNB interest in Swap Sub to Southampton	
	1 private placement	
April 2000		
May 2000	2 lending transactions	1 lending transaction
	1 M&A advisory engagement	
June 2000		
July 2000		WHITEWING / proposed transaction in which Osprey would acquire Marlin
		WHITEWING / private placement of \$70 million Osprey certificates
	LJM2 / \$10 million commitment in \$65 million credit facility	WHITEWING / Rule 144A offering of \$95 million in debt and private placement of \$30 million in equity (monetization of Margaux swap)
		1 private placement
August 2000		
September 2000		
October 2000	1 public offering	1 public offering
	WHITEWING / Rule 144A offering of \$750 million and €315 million of debt and private placement of \$50 million of equity of Osprey	WHITEWING / Rule 144A offering of \$750 million and €315 million of debt and private placement of \$50 million of equity of Osprey
	JEDI / increased commitment to \$50 million (from \$27.5 million) in connection with extension of maturity of December 1999 \$513.5 loan facility to a subsidiary of JEDI	
November 2000		
CSFB / DLJ MERGER		
	LJM2 / \$30 million commitment in \$120 million 4.5-year revolving credit facility	
December 2000	1 M&A advisory engagement	
	2 "other" transactions (synthetic leases)	
	CSFB PREPAY / \$150 million oil swap with maturity in September 2001	
January 2001		
February 2001		



CSFB's Role as Underwriter,⁵¹ Lender and Investor

Since 1997, CSFB has acted as an underwriter in over 30 Enron-related transactions, including public offerings and private placements of notes, certificates and

⁵¹ Federal law defines "underwriter" as "any person who has purchased from an issuer with a view to, or offers or sells for an issuer in connection with, the distribution of any security." 15 U.S.C. § 77b(a)(11); *Ackerberg v. Johnson*, 892 F.2d 1328, 1335 (8th Cir. 1989). This Appendix uses the term more broadly to include private placements but to exclude syndications of commercial loans. See Report, Appendix A (Defined Terms).

stock.⁵² At least eight of these transactions involved SPEs.⁵³ CSFB derived at least \$94.1 million in fees and other payments from this work, including at least \$30.7 million in fees from underwriting SPE-related issuances and private placements.⁵⁴

⁵² CSFB's Supplemental Responses. *See, e.g.*, Azurix Corp. Form S-1/A Amendment No. 4 filed with the SEC on June 9, 1999, at 186; Enron Corp. Form S-3 filed with the SEC on Apr. 21, 1998, at 10; Enron Corp. Form S-3/A filed with the SEC on Feb. 3, 1999, at 3; CSFB Press Release, "Credit Suisse First Boston acts as co-manager on a \$600 million equivalent transaction for Azurix Corp.," Feb. 11, 2000 [CSFBCO 000723424].

⁵³ CSFB's Supplemental Responses. *See, e.g.*, Engagement letter from DLJ, BT Alex Brown, Inc., and Chase Securities, Inc. to Ray Bowen, Enron, Dec. 28, 1999, regarding private placement of certificates in the Firefly Trust [CSFBCO 005510612-CSFBCO 005510620]; Osprey Trust Certificate Purchase Agreement, Sept. 16, 1999, regarding the sale of \$100 million of Certificates of Beneficial Ownership [CSFBCO 000034547-CSFBCO 00034570]; Memorandum from Dwight Scott, Managing Director, Larry Nath, Managing Director, Dominic Capolongo, Managing Director, *et al.*, DLJ, to the Banking Review Committee, DLJ, Oct. 26, 1999, regarding the issuance of \$725 million linked Enron obligations by Yosemite Securities Trust I, at 1 (noting the private placement of \$75 million of trust certificates) [CSFBCO 000558567-CSFBCO 000558568]; CSFB U.S. Debt Capital Markets Update, July 13, 2001, at 1-2, 5 (noting CSFB's completion of Marlin II debt offering) [CSFBCO 005396059-CSFBCO 005396064].

⁵⁴ CSFB's Supplemental Responses.

Over the same period, CSFB participated in at least 54 revolving credit facilities and other lending transactions for the benefit of Enron.⁵⁵ These transactions demonstrate the breadth of CSFB's relationship with Enron and include many different products such as synthetic lease transactions,⁵⁶ loans for project finance purposes,⁵⁷ a bridge loan to an SPE⁵⁸ and participation in various loan syndicates.⁵⁹

⁵⁵ *Id.* See, e.g., Memorandum from James Moran, Director, CSFB, to Ed Devine, Managing Director, CSFB, Mar. 23, 2000, regarding the extension of the maturity of CSFB's participation in the \$727.5 million liquidity facility [CSFBCO 000238071-CSFBCO 000238073]; Credit Approval Request for JEDI II \$500 Million Revolving Credit Facility, submitted by James Moran, Director, Robert Furst, Director, and Scott Karro, Associate, CSFB, May 11, 1998 [CSFBCO 005423610-CSFBCO 005423615]; Memorandum from James Moran, Director, and David Koczan, Assistant Vice President, CSFB, to David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Sept. 12, 2000, regarding LJM2 Co-Investment, L.P. (requesting approval to participate \$30 million in a \$150 million 4.5-year revolving credit facility) [CSFBCO 005356783-CSFBCO005356789].

⁵⁶ CSFB's Supplemental Responses. See, e.g., Memorandum from James Moran, Director, and David Koczan, Assistant Vice President, CSFB, to David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Nov. 16, 2000, regarding renewal of existing Enron Corp. \$170 million synthetic lease [CSFBCO 005423703-CSFBCO 005423706]. See also Memorandum from Osmar Abib, Managing Director, Adebayo Ogunlesi, Head of Energy Group, *et al.*, CSFB, to Bob O'Brien, Chief Credit Officer, David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Nov. 7, 2000 (the "Nov. 7, 2000 Credit Memorandum"), at CSFBCO 000044702 [CSFBCO 000044687-CSFBCO 000044705].

⁵⁷ CSFB's Supplemental Responses. See, e.g., Draft Letter from Lars Bespolka, Director and Regional Head, Global Power, Utilities, & Project Finance, and Bonnie Wu, Vice President, Corporate Communications, Pacific Region, CSFB, Aug. 1999, regarding CSFB's Asia-Pacific Global Power, Utilities, & Project Finance Group: Mid-Year Update (referencing \$763 million credit facilities for Dabhol Phase II Power Project) [CSFBCO 005128880-CSFBCO 005128883]; Enron North America Corp., \$600,000,000 Electric Generating Development and Construction Program, Confidential Information Memorandum, Mar. 7, 2001 [CSFBCO 005526576-CSFBCO 005526700].

⁵⁸ CSFB's Supplemental Responses. See, e.g., Memorandum from Rick Ivers, Managing Director, CSFB, and Mary Beth Mandanas, Associate, CSFB, to David Maletta, Managing Director, CSFB, Sept. 13, 1999, regarding LJM Cayman bridge loan for \$25 million [CSFBCO 000020699-CSFBCO 000020700].

⁵⁹ CSFB's Supplemental Responses. See, e.g., Joint Energy Development Investments Limited Partnership, Confidential Information Memorandum, \$513,500,000 Term Loan, Oct. 1999 [CSFBCO 000060832-CSFBCO 000060857]; Memorandum from James Moran, Director, and David Koczan, Assistant Vice President, CSFB, to David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, May 8, 2000, regarding approval of \$75 million commitment to two revolving credit facilities aggregating \$3.0 billion (the "May 8, 2000 Credit Memorandum") [CSFBCO 000208525-CSFBCO 000208534]; Memorandum from Adebayo Ogunlesi, Head of Energy Group, *et al.*, CSFB, to the Credit Committee, CSFB, Nov. 11, 1999, regarding \$128.38 million share of \$513.5 million term loan to a subsidiary of JEDI (the "Nov. 19, 1999 Credit Memorandum") [CSFBCO 000722557-CSFBCO 000722570]; Memorandum from James Moran, Director, and David Koczan, Assistant Vice President, CSFB, to Ed Devine, Managing Director, CSFB, May 16, 2001, regarding approval to participate in renewal of Enron's existing \$1.75 billion 364-day credit facility and in a new two-year \$500 million letter of credit facility (the "May 16, 2001 Credit Memorandum") [CSFBCO 005423487-CSFBCO 005423491]; Joint Energy Development Investments Limited Partnership, Confidential Information Memorandum,

CSFB also made or committed to make investments that were purported to be equity investments aggregating approximately \$129.1 million in various Enron-related entities, including LJM1 (\$7.5 million and \$45.1 million),⁶⁰ LJM2 (\$15 million),⁶¹ the issuer of debt and equity in the Iguana transaction (\$6.4 million),⁶² the issuer of debt and equity in the Nile transaction (\$1.0 million)⁶³ and the issuer of debt and equity in the Nikita transaction (\$8.1 million).⁶⁴ A DLJ subsidiary and a dozen then-DLJ employees also invested in the Osprey Trust, the issuing entity in the Whitewing Transaction, through a vehicle named OA Investments, LLC, in amounts ranging from between

\$120,000,000 Revolving Credit, \$205,000,000 Term Loan, Nov. 1998 [CSFBCO 005505917-CSFBCO 005505977].

⁶⁰ *Id.* See, e.g., Memorandum from Robert Furst, Director, CSFB, to Michael Gilligan, CSFB, July 8, 1999, regarding \$7.5 million investment in LJM Cayman, L.P. (the "July 8 Memorandum") [CSFBCO 005522746-CSFBCO 005522747]; Memorandum from Mary Beth Mandanas, Vice President, CSFB, to Adebayo Ogunlesi, Head of Investment Banking, Robert Jeffe, Managing Director, and Osmar Abib, Managing Director, CSFB, June 19, 2001, regarding LJM Investment Overview (the "LJM Investment Overview") [CSFBCO 000521536-CSFBCO 000521538]; Memorandum from Mary Beth Mandanas, Vice President, and Jaime Casas, Associate, CSFB, to Tony James, Co-Head of Investment Banking, and Chuck Ward, Co-Head of Investment Banking, CSFB, July 18, 2001, regarding LJM financing (the "LJM Financing Memorandum"), at 1 [CSFBCO 000545978-CSFBCO 000545986]; Memorandum from Mary Beth Mandanas, Associate, CSFB, to Chuck Ward, Co-Head of Investment Banking, *et al.*, CSFB, Dec. 8, 1999, regarding LJM Cayman, L.P. (the "Dec. 8, 1999 Mandanas Memorandum"), at CSFBCO 000009613 (discussing the use of \$45.1 million proceeds from SAILS transaction to repay LJM debt) [CSFBCO 000009612-CSFBCO 000009616].

⁶¹ See, e.g., LJM Investment Overview; Memorandum from Adebayo Ogunlesi, Head of Energy Group, Rick Ivers, Managing Director, CSFB, and Mary Beth Mandanas, Associate, CSFB, to Richard E. Thornburgh, Vice Chairman of the Executive Board and CFO, Chuck Ward, Co-Head of Investment Banking, *et al.*, CSFB, Dec. 15, 1999 [CSFBCO 000019419-CSFBCO 000019421]; LJM Financing Memorandum, at 1.

⁶² CSFB's Supplemental Responses. See, e.g., Memorandum from Dwight Scott, Managing Director, *et al.*, DLJ, to Rob Grien, *et al.*, DLJ, Dec. 9, 1999, regarding request for approval for equity investment in Iguana Limited Company (which at the time such Memorandum was prepared was to be in the amount of \$6.75 million), at 2 [CSFBCO 000125486-CSFB 000125496].

⁶³ See Project Nile, Series A, Asset Notice, Sept. 28, 2001, at CSFBCO 000581626 (noting \$1 million proposed equity amount) [CSFBCO 000581626-CSFBCO 000581629].

⁶⁴ CSFB's Supplemental Responses. See Memorandum from James Moran, Director, and David Koczan, Assistant Vice President, CSFB, to Robert O'Brien, Chief Credit Officer, David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Oct. 10, 2001, regarding CSFB's participation in Project Nile and Project Nikita (which at the time such Memorandum was prepared was to include an equity participation in the amount of \$8.5 million), at 5 (the "Oct. 10, 2001 Credit Memorandum") [CSFBCO 000215804-CSFBCO 000215822].

\$200,000 and \$35,000 for the employee investors to \$42.5 million for the DLJ subsidiary.⁶⁵

B. CSFB's Knowledge of Enron's Financial Condition

CSFB possessed detailed knowledge of Enron's operations through its many contacts with the company and the due diligence that it completed in connection with its over thirty underwritings of Enron securities.⁶⁶ Through its involvement in Enron's many failed assets sales, CSFB had first-hand knowledge that many of Enron's assets could not be sold at prices that would avoid requiring Enron to record a loss.⁶⁷ Through its investments in LJM1⁶⁸ and LJM2,⁶⁹ CSFB was aware of Enron's use of non-economic hedges, such as those in the LJM1/Rhythms Hedging Transaction⁷⁰ and the LJM2/Raptor Hedging Transactions,⁷¹ and asset warehousing transactions such as Cuiaba,⁷² and how these transactions benefited Fastow and other Enron officers personally.⁷³ Through its participation in the Share Trust Transactions⁷⁴ and in equity derivative transactions with Enron and its knowledge of Enron's use of non-economic hedges, CSFB also was aware

⁶⁵ CSFB's Supplemental Responses, at 9; *see also* Schedule A (as amended), OA Investments Limited Liability Company Agreement, Oct. 4, 2000, at CSFBCO 000559398 [CSFBCO 000559398-CSFBCO 000559401]. The aggregate amount invested by the ten DLJ employees was \$1 million. *Id.*

⁶⁶ *See Summary of CSFB's Transactions with Enron* above.

⁶⁷ *See CSFB's Knowledge that Many of Enron's Assets were Overvalued and Illiquid* below.

⁶⁸ *See LJM1 Transactions* below.

⁶⁹ *See* Second Interim Report, Annex 4 to Appendix L (Related Party Transactions).

⁷⁰ *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

⁷¹ *See* Second Interim Report, Annex 5 to Appendix L (Related Party Transactions).

⁷² *See* Second Interim Report, Annex 3 to Appendix L (Related Party Transactions).

⁷³ *See General Background on LJM1* below.

⁷⁴ *See* Second Interim Report, Appendix G (Whitewing Transaction).

of the many negative consequences that a decline in Enron's common stock price would have.⁷⁵

Senior CSFB representatives who were charged with the day-to-day responsibility for CSFB's relationship with Enron, as well as those who oversaw these individuals, included, at various times, Managing Director Osmar Abib ("Abib"), Managing Director Robert Jeffe ("Jefe"), who was also at one time the co-chairman of CSFB's Energy Group,⁷⁶ Adebayo Ogunlesi ("Ogunlesi"), who at the time headed CSFB's Energy Group⁷⁷ and later became head of investment banking for CSFB, and Director Robert Furst ("Furst").⁷⁸

CSFB's Awareness of Enron's Off-Balance Sheet Financings

Through its participation in the Share Trust Transactions, the FAS 140 Transactions, the CSFB Prepay, and equity derivative transactions with Enron and through its many contacts at Enron, CSFB knew that Enron's financial statements did not

⁷⁵ See CSFB's Awareness of the Importance of Enron's Stock Price below.

⁷⁶ Sworn Statement of Robert A. Jeffe, former Managing Director, CSFB, to Frank G. Smith, A&B, Oct. 8, 2003 (the "Jefe Sworn Statement"), at 6, lines 17-25.

⁷⁷ Sworn Statement of Adebayo Ogunlesi, Head of Investment Banking, CSFB, to M. Russell Wofford, A&B, May 19-20, 2003 (the "Ogunlesi Sworn Statement"), at 12, line 2 – 13, line 4. Ogunlesi was promoted from the Head of the Energy Group to the Head of Investment Banking in February 2002. *Id.* at 12, lines 11-16.

⁷⁸ Jeffe Sworn Statement, at 19, lines 19-24. After leaving CSFB, Furst was employed by Merrill Lynch. Abib Sworn Statement, at 18, lines 20-25. The SEC filed an enforcement action against Merrill Lynch and four former senior executives, including Furst, on March 17, 2003. Complaint, *SEC v. Merrill Lynch & Co.*, No. 03-CV-946 (S.D. Tex. filed Mar. 17, 2003) (the "SEC Complaint"). Furst asserted his Fifth Amendment rights and refused to provide testimony to the SEC regarding Merrill Lynch's dealings with Enron on August 21, 2002. SEC Complaint, ¶ 12. On April 18, 2003, Furst's counsel stated that Furst would also assert his Fifth Amendment privilege if called to testify by the Examiner. Letter from Ira Lee Sorkin, Carter Ledyard & Milburn LLP, to Steven M. Collins, A&B, Apr. 18, 2003 [AB0786 02601]. Since that time, Furst has been indicted for Conspiracy to Commit Wire Fraud and Falsify Books and Records, on account of his role in the "Nigerian Barge" transaction between Enron and Merrill Lynch. *United States v. Bayly et al.*, Cr. No. H-03-CR-363 (S.D. Tex. filed Sept. 16, 2003).

reflect as debt at least \$4.5 billion in off-balance sheet obligations.⁷⁹ Moreover, CSFB was aware that many of these transactions were exceedingly complex and not transparent to the marketplace. For example, in July 1999, Carmen Marino (“Marino”), then a Managing Director at CSFB, sent an email in which he noted that “running a pipeline business can’t take much time – Enron seems to spend all its available man hours on various, convoluted financing schemes.”⁸⁰ In November 2000, after reviewing Enron’s Quarterly Report on Form 10-Q for the quarter ended September 30, 2000, Philip Salles (“Salles”), an equity analyst at CSFB, wrote an email to Curt Launer (“Launer”) containing what Salles described as “fun facts” from that Quarterly Report, including excerpts from Enron’s disclosure of certain Related Party Transactions, which Salles described as being “clear as mud. . . .”⁸¹

⁷⁹ For example, the Whitewing, Marlin and Firefly Share Trust Transactions provided an aggregate of over \$4.2 billion of financing to Enron. See Second Interim Report, at 67-78; Second Interim Report, Annex 2 to Appendix G (Whitewing Transactions). As discussed in this Appendix, the CSFB Prepay and the Nile transaction provided \$150 million and \$25 million of financing to Enron, respectively. The Nikita transaction provided approximately \$80 million of financing to Enron. See Second Interim Report, Annex 2 to Appendix M (FAS 140 Transactions). The Iguana transaction provided approximately \$202 million of financing to Enron. See CSFB’s Supplemental Responses.

⁸⁰ Email from Carmen Marino, Managing Director, CSFB, to Tim Bock, Managing Director, CSFB, July 28, 1999 (the “July 28, 1999 Marino Email”) [CSFBCO 000019283]. Marino testified that this statement was intended to be “tongue and cheek.” See Sworn Statement of Carmen Marino, former Managing Director, CSFB, to Frank G. Smith, A&B, Sept. 25, 2003 (the “Marino Sworn Statement”), at 48, lines 5-18.

⁸¹ Email from Philip Salles, CSFB, to Curt Launer, Managing Director, CSFB, Nov. 26, 2000, at 1 [CSFBCO 005255148-CSFBCO 005255149]. Additional documents demonstrate CSFB’s knowledge of Enron’s financial condition:

- On September 16, 1999, Wesley Jones, a Vice President in CSFB’s Global Energy and Project Finance Group, emailed Jonathan Yellen, a CSFB Investment Banking Vice President (later Director), referring to Osprey as “a vehicle enabling Enron to raise disguised debt which appears as equity on Enron’s balance sheet” and stating that “Osprey serves the added purpose for Enron of being an off balance sheet parking lot for certain assets.” Email from Wesley Jones, Vice President, CSFB, to Jonathan Yellen, Vice President, CSFB, Sept. 16, 1999, at 1 (Ex. 302 to Abib Sworn Statement) [CSFBCO 005129123-CSFBCO 005129124]. Jones testified that he did not work on Osprey and that he was getting “second- or third-hand information.” Sworn Statement of Wesley Jones, former Vice President, CSFB, to M. Russell Wofford, A&B, Apr. 29, 2003, at 23, lines 3-17. He also testified that it was his understanding that “the structure had obligations back to Enron, which had the effect of making this transaction less of an issuance of convertible preferred stock and more some hybrid instrument that had debt-like features.” *Id.* at 32, line 19 –

CSFB's Knowledge that Many of Enron's Assets were Overvalued and Illiquid

CSFB was aware that many of Enron's assets were overvalued. Enron repeatedly retained CSFB to assist Enron with the sale of many of Enron's "non-core" assets over a sustained period of time, but CSFB had no success in its attempts to sell these assets.⁸² It

33, line 7. Ogunlesi testified that it would not have concerned him to receive an email such as this discussing "disguised debt," because "the rating agencies seemed to be fully aware of what Enron was doing." Ogunlesi Sworn Statement, at 131, line 13 – 132, line 7.

- In emails between Yellen and Abib, Yellen, in light of Enron's "latest travails," recounted Abib's "ominous warnings 2 years ago that the 'house of cards' may some day collapse." Yellen concluded with "hopefully, we're still making good money on that account, anyway. [I]t seems like we are." Email from Jonathan Yellen, Director, CSFB, to Osmar Abib, Managing Director, CSFB, Oct. 19, 2001, at 1 [CSFBCO 005122908-CSFBCO 005122909]. In his response, Abib noted "P.S. We are still making \$\$\$ at ENE but look out!" Email from Osmar Abib, Managing Director, CSFB, to Jonathan Yellen, Director, CSFB, Oct. 21, 2001 [CSFBCO 005122670]. Yellen testified that he had a "very vague recollection" that, in describing "Enron" as a "house of cards" in 1999, Abib did not refer to Enron's financial viability, but to the quality of the relationship at that time between Enron and CSFB. Sworn Statement of Jonathan Yellen, Director, CSFB, to Jason Sneed, A&B, Apr. 29, 2003 (the "Yellen Sworn Statement"), at 148, line 3 – 152, line 5. Abib testified that he did not recall what he meant by his reference to a "house of cards," but following a brief recess during his testimony, testified that he, too, believed that he had been referring to the Enron-CSFB relationship. Abib Sworn Statement, at 497, line 7 – 506, line 13.
- In an email, Salles stated to Launer, on the heels of the announcement that Dynegy would acquire Enron, that "ENE just could never tell the truth. ... A year from now we will talk about ... Enron greed (of a few) and fair value accounting." Email from Philip Salles, CSFB, to Curt Launer, Managing Director, CSFB, Nov. 11, 2001, at 1 [CSFBCO 006090157 – CSFBCO 006090158].
- Mike Powell, a Director in Energy & Project Finance Banking, sent an email to multiple addressees, including Abib, Moran and Welch, in which he said that he doubted Dynegy would keep Enron's global water business post-acquisition of Enron "given the need for Dynegy to conduct a public style clean-up of the Stygian Stables." Email from Mike Powell, Director, CSFB, to Mark Seligman, *et al.*, CSFB, Nov. 12, 2001 [CSFBCO 000094856-CSFBCO 000094857]. "Stygian" means "dark and gloomy," "infernal," or, in invoking the mythical river Styx, "hellish." American Heritage Dictionary of the English Language New College Edition 1280 (1969). Powell, the author of this reference, perhaps meant "Augean stables," the cleansing of which in a single day the mythical hero Hercules accomplished by diverting two nearby rivers – thus completing the fifth of twelve labors assigned by King Eurystheus. The Labors of Hercules, available at <http://www.perseus.tufts.edu/Hercules/labors.html>. Abib testified that he was not familiar with the phrase "Stygian Stables," but understood this statement by Powell to mean that if the merger between Enron and Dynegy were to be completed, strategic alternatives for Azurix would need to be considered as he did not believe that Azurix would be a core business for Dynegy. Abib Sworn Statement, at 517, line 18 – 158, line 11.

⁸² Abib Sworn Statement, at 212, lines 4-25; Sworn Statement of Jamie Welch, Managing Director, CSFB, to Frank G. Smith, A&B, May 28, 2003 (the "Welch Sworn Statement"), at 167, line 24 – 168, line 14. Welch, for example, spent over half of his time from mid-2000 until Enron's bankruptcy trying to sell Enron assets without closing a single deal. As Welch testified:

appears that CSFB's efforts failed to succeed because the assets involved would not command a market price that would avoid requiring Enron to record a loss upon the sale of the assets.⁸³ Further, in April 2001, after months of attempting to sell many of Enron's international assets without success, CSFB considered purchasing, through one of its private equity funds, a 50% interest in a portfolio of those assets⁸⁴ for between \$1.9 and \$2.1 billion, an amount that was materially less than Enron's book value for the assets.⁸⁵

Q: And from the middle of 2000 through the end of 2000 through November of 2001 you spent half or more of your time trying to sell Enron businesses did you not?

A: Yes.

Q: And with all due respect you were remarkably unsuccessful in that regard. Correct?

A: Yes.

...

Q: Remarkably, given the efforts he expended and his clear expertise as an M&A investment banker. That's what I meant by it. I think that's the way Mr. Welch understood it.

A: Yes.

Id. at 167, line 24 – 168, line 7.

⁸³ Jeffe Sworn Statement, at 95, lines 6-18. Jeffe testified about the valuation of the assets of which Enron was seeking to dispose:

Q. What did you mean by valuation of the assets?

A. Enron's expectation of value versus what the buyer was prepared to pay.

Q. Enron expected to receive meaningfully more money for the assets than others were willing to pay for them?

A. Yes.

Q. Did you have an understanding that Enron did not want to dispose of any assets at a loss?

A. I believe that's true, yes. They did not want to impair their equity.

Id.

⁸⁴ See CSFB Materials Prepared for Discussion: Project Cardinal, Apr. 25, 2001, at 7 (the "Project Cardinal Presentation") (Ex. 557 to Welch Sworn Statement) [CSFBCO 005145569-CSFBCO 005145621]; Welch Sworn Statement, at 85, line 20 – 86, line 20. See generally Abib Sworn Statement, at 201, line 6 – 202, line 11.

⁸⁵ See Project Cardinal Presentation, at 29-39; Welch Sworn Statement, at 92, line 13 – 97, line 10. Although CSFB projected an internal rate of return on its investment of over 30%, CSFB did not make an offer for the assets, because "[CSFB private equity's] view was the size of this investment, notwithstanding the relative returns, was not an investment they thought they were prepared to undertake." Welch Sworn Statement, at 86, lines 21-22 and 102, lines 16-25.

CSFB also understood that Enron owned numerous illiquid assets and that Enron was in substantial need of liquidity to meet its financial obligations.⁸⁶ Enron's inability to raise cash from the assets posed financial problems for Enron, about which CSFB was fully aware.⁸⁷

CSFB's Awareness of the Importance of Enron's Stock Price

CSFB was aware that the price of Enron's common stock was important to Enron's continued financial stability because it was essential to the LJM1/Rhythms Hedging Transaction between Enron and an affiliate of LJM1 with respect to Enron's Rhythms NetConnections, Inc. ("Rhythms") stock.⁸⁸ A significant decline in the price of Enron stock held by the affiliate of LJM1 would render the LJM1/Rhythms Hedging Transaction worthless. Further, CSFB knew that, unless the value was realized in another manner, maintenance of the price of the Enron stock held by LJM1 was essential if it, RBS and Fastow were to profit from their investments in LJM1.⁸⁹

⁸⁶ See Presentation to Enron – Contract Monetization Alternatives, Aug. 24, 2001, at 2 (noting CSFB's understanding that one of Enron's objectives is to "[r]aise \$1 billion of deployable cash") [CSFBCO 000548124-CSFBCO 000548143]; Email from Dominic Capolongo, Managing Director, CSFB, to Jill Sakol, Associate, CSFB, Oct. 23, 2001 [CSFBCO 005301349]; Email from Osmar Abib, Managing Director, CSFB, to Jeffrey Hamilton, CSFB, Oct. 28, 2001 ("Enron needs liquidity and is willing to take a lower sales price from CSFB Private Equity if we can move very quickly in return for an upside sharing ratio once we sell the business to a strategic buyer.") [CSFBCO 000194562].

⁸⁷ See Call Report by Robert Jeffe, June 11, 2001, regarding meeting with Fastow ("Importance of divestitures – while they want to sell the assets for which we've had these ongoing engagements for over a year, they are prepared to do structured transactions to take out cash and get them off balance sheet.") (Ex. 268 to Abib Sworn Statement) [CSFBCO 005725130]; Abib Sworn Statement, at 201, line 6 – 203, line 2 (stating that "it's a statement of fact that the inability to produce material proceeds from divestitures will have a negative impact on liquidity"); see also Ogunlesi Sworn Statement, at 117, line 6 – 118, line 22 (regarding Nov. 2, 2001 meeting to discuss Enron's liquidity situation).

⁸⁸ See Sworn Statement of Mary Beth Mandanas, Vice President, CSFB, to Frank G. Smith, A&B, Apr. 22-23, 2003 and Sept. 23, 2003 (the "Mandanas Sworn Statement"), at 88, line 23 – 92, line 8 and 190, line 4 – 192, line 3. Mandanas was promoted from Associate to Vice President in January 2000.

⁸⁹ See Email from Carmen Marino, Managing Director, CSFB, to Robert Furst, Director, Richard Ivers, Managing Director, *et al.*, CSFB, July 6, 1999, outlining monetization alternatives for "LJM Partners" (the "July 6, 1999 Marino Email") [CSFBCO 000049286-CSFBCO 000049287].

CSFB was also aware that the price of Enron's common stock was important to Enron's continued financial stability because it was essential to the credit support for the Marlin and Whitewing Share Trust Transactions and Enron's equity derivative transactions.

CSFB's Knowledge of Enron's Financial Condition Immediately Prior to the Bankruptcy

CSFB's understanding of Enron's financial condition is also illustrated by CSFB's conduct in the final months leading up to Enron's bankruptcy. As Enron's stock price continued to decline, Fastow met with representatives of CSFB, including Abib, Jeffe, Jamie Welch ("Welch") and Paul Davis ("Davis"), on June 20, 2001, to discuss a strategy to improve the market performance of Enron's stock.⁹⁰

Shortly after the June 20, 2001 meeting between Fastow and the CSFB bankers, CSFB began to prepare a presentation to Enron that would outline strategic alternatives for Enron.⁹¹ According to CSFB witnesses, CSFB presented a proposal to Fastow on August 27, 2001 to divide Enron into two companies – one regulated and one not regulated.⁹² According to the call report prepared by Jeffe⁹³ and to other CSFB

⁹⁰ Call Report by Robert Jeffe, Managing Director, CSFB, June 20, 2001, regarding meeting with Fastow and Glisan [CSFBCO 005725156].

⁹¹ See Email from Chris Hearn, Vice President, CSFB, to Jamie Welch, Managing Director, CSFB, July 10, 2001, regarding outline for July 16 meeting with Enron, at 1 [CSFBCO 005394817-CSFBCO 005394818].

⁹² Abib Sworn Statement, at 442, line 19 – 444, line 3; see also Jeffe Sworn Statement at 70, line 15 – 72, line 10; Welch Sworn Statement, 127, line 2 – 135, line 20.

⁹³ Call Report by Robert Jeffe, Managing Director, CSFB, Aug. 27, 2001, regarding meeting with Fastow (the "August 27, 2001 Call Report") (Ex. 320 to Abib Sworn Statement) [CSFBCO 005725129]; CSFB Presentation Regarding Project Cleaver, Aug. 22, 2001, at 2 [CSFBCO 00521498-CSFBCO 000521522]. In addition to the foregoing copy of the presentation, four other versions of the presentation exist – Aug. 15, Aug. 21, Aug. 30 and Oct. 19, 2001, respectively. See CSFB Presentation Regarding Project Cleaver, Aug. 15, 2001 [CSFBCO 000521432-CSFBCO 000521456]; CSFB Presentation Regarding Project Cleaver, Aug. 21, 2001 [CSFBCO 000547020-CSFBCO 000547045]; CSFB Presentation Regarding Project Cleaver, Aug. 30, 2001 [CSFBCO 000521481-CSFBCO 000521497]; CSFB Presentation Regarding Project Cleaver, Oct. 19, 2001 (the "Oct. 19, 2001 Cleaver Presentation")

witnesses, Fastow disclosed to CSFB during the presentation that Enron's total on- and off-balance sheet debt was \$36 billion.⁹⁴ CSFB witnesses have testified that this is the first time CSFB learned Enron's indebtedness was of this magnitude.⁹⁵

Following the August 27, 2001 meeting, CSFB accelerated the process of reducing its exposure to Enron. For example, CSFB: (i) decided to reduce its "Enron

[CSFBCO 000521457-CSFBCO 000521480]. While all the reports state that CSFB's analysis is based "solely on publicly available data," the Oct. 19, 2001 presentation is unique in that it explicitly "[i]ncorporates no recognition or restructuring of existing off-balance sheet obligations." Oct. 19, 2001 Project Cleaver Presentation, at 2; *see also* Spider Call Report by Osmar Abib, Managing Director, CSFB, Aug. 21, 2001, regarding meeting with Fastow [CSFBCO 000547004]; Email from Osmar Abib, Managing Director, CSFB, to Robert Jeffe, Managing Director, CSFB, Aug. 21, 2001 ("we should focus on ... the potential split up of the company into reg and unreg pieces") [CSFBCO 000547504].

⁹⁴ *See* August 27, 2001 Call Report; Abib Sworn Statement, at 434, line 7 – 435, line 20. Welch testified that his notes taken at the meeting indicated that a total debt amount of \$30 billion, rather than \$36 billion, was disclosed. Welch Sworn Statement, at 173, lines 6-20. Jeffe noted at the end of the August 27, 2001 Call Report that "[a]s far as balance sheet issues, we need to talk with Tim DeSpain." August 27, 2001 Call Report. Jeffe testified that he did not subsequently discuss balance sheet issues with DeSpain. Jeffe Sworn Statement, at 80, lines 17-25. On August 30, 2001, Abib emailed Jeffe and others, indicating that he had spoken with DeSpain but had not yet received information from him. Email from Osmar Abib, Managing Director, CSFB, to Chris Hearn, Vice President, CSFB, Aug. 30, 2001 (Ex. 323 to the Abib Deposition) [CSFBCO 0050006619]. Abib described this email as:

an attempt to follow up on [the August 27, 2001] meeting to see where he stood with the information that Mr. Fastow and Mr. DeSpain said they would endeavor to deliver to us, and this is the response we got back when we followed up. To my knowledge, we never received any detail as to what was the right number, what did it really mean, where was it, what assets might be offsetting it, all those sorts of things. We just never got any more information or details from anybody in Enron to my knowledge.

Abib Sworn Statement, at 450, lines 13-23.

⁹⁵ Abib Sworn Statement, at 435, lines 9–20 and 441, line 22 – 442, line 2; Jeffe Sworn Statement, at 75, line 20 – 76, line 4. Jeffe stated that, prior to this meeting, he thought Enron's debt was "on-balance sheet ... 12 or 13 [billion dollars] ... and maybe 3 or 4 [billion dollars] off-balance sheet." Jeffe Sworn Statement, at 76, lines 8-10. Jeffe testified that:

We had been asking for sometime [sic] for detailed financial projections and balance sheet, consolidated balance sheet data, and they had never provided us the information, and in fact this was one of several meetings we were having with Fastow where he was going to provide us with these numbers. He did not provide us with anything, and I recall – I was irritated because we brought everyone down there to have this serious discussion with him and there was no information. And we finally pressed him and we said, "Look, can you give us at least one number? What is your total debt?" And this was the first time we had any sense that they had that much debt.

Id. at 75, lines 9-23.

exposure” to \$500 million⁹⁶ and then to \$300 million⁹⁷ (and in fact reduced it to \$167 million),⁹⁸ in October and November;⁹⁹ (ii) completed the Nile transaction and

⁹⁶ See Memorandum from Osmar Abib, Managing Director, Robert Jeffe, Managing Director, *et al.*, CSFB, to Tony James, Co-Head of Investment Banking, CSFB, Oct. 9, 2001, regarding meeting with Fastow, Mark Frevert, and Greg Whalley on October 10, 2001 (the “Oct. 10, 2001 Memorandum to James”), at 1 (“CSFB’s internal credit team has determined that this net exposure position needs to be reduced to \$500 million by the end of October.”) [CSFBCO 000553330-CSFBCO 000553333]. Jeffe testified that at the time this memorandum was issued, the need to reduce exposure “was an ongoing issue with Enron. It was an ongoing issue with all large companies.” Jeffe Sworn Statement, at 87, line 8 – 89, line 3.

⁹⁷ See Email from James Moran, Director, CSFB, to Adebayo Ogunlesi, Head of Energy Group, Oct. 22, 2001, regarding credit meeting concerning Enron [CSFBCO 005157362].

⁹⁸ Enron Credit Overview as of November 29, 2001 [CSFBCO 005422943].

⁹⁹ One method employed by CSFB to reduce its net Enron credit exposure was the purchase of credit default protection. Between September 10, 2001 and October 17, 2001, CSFB purchased credit default protection totaling \$253 million. See Confirmation from CSFBi to The Toronto-Dominion Bank, Sept. 17, 2001 (\$20 million) (the “Toronto-Dominion Bank Confirmation”) [CSFBCO 006272644-CSFBCO 006272652]; Confirmation from Deutsche Bank to CSFB, Sept. 24, 2001 [CSFBCO 006272287-CSFBCO 006272290]; Letter from Deutsche Bank to CSFB, Dec. 7, 2001, regarding credit event notice and notice of publicly available information, at 2 (confirming the Sept. 24, 2001 purchase of credit default protection in the amount of \$15 million) [CSFBCO 006272359-CSFBCO 006272364]; Confirmation from Credit Suisse First Boston Corporation (“CSFB Corp.”) to CSFB and CSFBi, Oct. 1, 2001 (\$25 million) [CSFBCO 006272629-CSFBCO 006272636]; Confirmation from CSFB Corp. to CSFBi and Transamerica Life Insurance Corporation, Oct. 11, 2001 (\$10 million) [CSFBCO 006272614-CSFBCO 006272621]; Confirmation from CSFB Corp. to CSFBi and Transamerica Life Insurance Corporation, Oct. 11, 2001 (\$5 million) [CSFBCO 006272622-CSFBCO 006272628]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 5, 2001 (\$12.5 million) [CSFBCO 006272299-CSFBCO 006272306]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 5, 2001 (\$15 million) [CSFBCO 006272307-CSFBCO 006272313]; Confirmation from CSFBi to Morgan Guaranty Trust Company of New York, Dec. 10, 2001 (\$12 million) [CSFBCO 006272815-CSFBCO 006272820]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 9, 2001 (\$12 million) [CSFBCO 006272314-CSFBCO 006272320]; Confirmation from Bank of America to CSFBi, 4 Oct. 2001 (\$10 million) [CSFBCO 006272550-CSFBCO 006272557]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 9, 2001 (\$10 million) [CSFBCO 006272322-CSFBCO 006272329]; Confirmation from RBC Royal Bank to CSFBi, Nov. 8, 2001 (\$5 million) [CSFBCO 006272540-CSFBCO 006272549]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 10, 2001 (\$20 million) [CSFBCO 006272330-CSFBCO 006272337]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 15, 2001 (\$16.5 million) [CSFBCO 006272338-CSFBCO 006272345]; Confirmation from CSFBi to The Bank of Tokyo-Mitsubishi, Ltd., Dec. 3, 2001 (¥1 billion) (as of the trade date, Oct. 10, 2001, ¥1 billion was equivalent to approximately \$8,317,392) [CSFBCO 006272495-CSFBCO 006272503]; Confirmation from CSFB Corp. to CSFB and CSFBi, Oct. 18, 2001 (\$24 million) [CSFBCO 006272346-CSFBCO 006272353]; Confirmation from Deutsche Bank to CSFBi, Oct. 11, 2001 (\$10 million) [CSFBCO 006272472-CSFBCO 006272478]; Confirmation from JPMorgan Securities, Inc. to CSFBi, Oct. 16, 2001 (\$5 million) (the “JPMorgan Securities Confirmation”) [CSFBCO 006272463-CSFBCO 6272468]. CSFB purchased this credit default protection notwithstanding the fact that the cost of such protection increased from approximately 1.6% per annum to 3% per annum during this period. See Toronto-Dominion Bank Confirmation (with a trade date of Sept. 10, 2001, at a rate of 1.6% per annum); JPMorgan Securities Confirmation (with a trade date of Oct. 16, 2001, at a rate of 3% per annum).

renewed the CSFB Prepay without incurring additional credit exposure to Enron;¹⁰⁰ and (iii) reduced its holdings of Enron debt. A fact-finder could also conclude that CSFB discouraged one of its fixed-income analysts from publishing negative reports with regard to Enron's securities.¹⁰¹

C. Role of CSFB's Equity and Fixed-Income Analysts

After the merger of CSFB and DLJ, Launer, the former head of DLJ's energy-sector equity analyst team, and Terran Miller ("Miller"), the former head of DLJ's energy-sector fixed-income analyst team, replaced their CSFB counterparts.¹⁰²

Launer was one of the most consistently pro-Enron analysts on Wall Street. Among the fifteen largest investment banks covering Enron, CSFB maintained its "strong buy" recommendation for longer than all but one.¹⁰³ Launer, in fact, maintained a "strong buy" on Enron until November 23, 2001, by which point Enron's stock price had

¹⁰⁰ See Memorandum from James Moran, Director, David Koczan, Assistant Vice President, *et al.*, CSFB, to Robert O'Brien, Chief Credit Officer, David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Sept. 19, 2001 (the "Sept. 19 Credit Memorandum"), at 1 [CSFBCO 006011391-CSFBCO 006011410]; Memorandum from Brian McCabe, Vice President, David Koczan, Assistant Vice President, and James Moran, Director, CSFB, to Robert O'Brien, Chief Credit Officer, David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, Sept. 24, 2001 (the "Sept. 24 Credit Memorandum"), at 1 [CSFBCO 000043589-CSFBCO 000043609].

¹⁰¹ Sworn Statement of Jill Sakol, former Associate, CSFB, to Frank G. Smith, A&B, May 22, 2003 and June 4, 2003 (the "Sakol Sworn Statement"), at 70, lines 20-23, and 73, line 16 - 75, line 6; Handwritten notes of Jill Sakol, undated (the "Sakol Notes") (Ex. 498 to Sakol Sworn Statement), at CSFBCO 006290129 [CSFBCO 006290129-CSFBCO 006290130]. See *Role of CSFB's Equity and Fixed-Income Analysts* below.

¹⁰² Launer Sworn Statement, at 22, line 17 - 23, line 14; Miller Sworn Statement, at 12, line 21 - 14, line 4.

¹⁰³ *The Watchdogs Didn't Bark: Enron and the Wall Street Analysts*, Hearing Before the Committee on Governmental Affairs, United States Senate, 107th Cong. (Feb. 27, 2002) (the "Feb. 27, 2002 Senate Committee on Governmental Affairs Hearing"), at 127 ("Enron Stock Recommendations by Broker") [ELIB00004414-00001-ELIB00004414-00174].

fallen to \$4.71 per share.¹⁰⁴ CSFB made sure that Enron was aware of Launer's views in comparison to those of other analysts.¹⁰⁵

This evidence alone does not suggest any impropriety on the part of CSFB or Launer. Many analysts from many institutions remained bullish on Enron stock long after the decline in the price of Enron's shares in late 2000 and 2001. On the other hand, a fact-finder could conclude that CSFB published positive assessments of Enron by one of its analysts, while discouraging the public release of negative internal Enron analyses by another analyst, and used such negative information internally to its benefit and to the detriment of other Enron creditors.

As previously noted, Miller, DLJ's lead fixed-income analyst, initially replaced his CSFB counterpart after the CSFB/DLJ merger.¹⁰⁶ He was, however, terminated by CSFB in April 2001¹⁰⁷ and replaced by Jill Sakol ("Sakol"), a more junior fixed-income analyst who had worked with Miller on Enron and other energy companies.¹⁰⁸

Senior executives at Enron were not satisfied with Sakol's published research on Enron and complained about her performance to CSFB even though she had not changed the "attractive" rating on Enron debt securities that she inherited from Miller in the spring

¹⁰⁴ See Enron Corp. stock price history report, 1/1/1998 to 6/26/2002 (the "Enron Corp. Stock Price History Report"), at AB000499900 [AB000499873-AB000499904].

¹⁰⁵ Email from Osmar Abib, Managing Director, CSFB, to Greg Whalley, Enron, Oct. 28, 2001 (attaching a Salomon Smith Barney report entitled "Credit Concerns Need to be Addressed" that downgraded Enron's equity rating) [CSFBCO 005407953-CSFBCO 005407956]. Abib touted Launer as a way CSFB "can be of value to Enron," because Launer was "the most visible and supportive equity research analyst on Enron." *Id.*

¹⁰⁶ Sakol Sworn Statement, at 23, line 24 – 24, line 5; Launer Sworn Statement, at 50, lines 12-18.

¹⁰⁷ Miller Sworn Statement, at 14, line 22 – 15, line 6.

¹⁰⁸ Sakol Sworn Statement, at 10, line 12 – 13, line 15, and 34, lines 6-12.

of 2001.¹⁰⁹ However, by the fall of 2001, Sakol began to believe that Enron's debt securities should be downgraded.¹¹⁰

Some of Sakol's Enron research was edited by a CSFB investment banker to present to the investing public a more positive picture of the debt associated with the Marlin and Osprey Share Trust Transactions.¹¹¹ At other times her research was sent without her knowledge to CSFB investment bankers in advance of its release.¹¹² In addition, as reflected in notes that Sakol prepared at the suggestion of a colleague,¹¹³ Sakol documented, among other things, that she was discouraged from publishing her candid assessment of Enron even though she contemporaneously communicated this assessment to CSFB bond traders in London and New York, at least one of whom

¹⁰⁹ *Id.* at 21, line 25 – 22, line 15; *see also* Email from Michael Davis, Vice President, CSFB, to Peter O'Malley, Vice President, *et al.*, CSFB, Aug. 31, 2001, regarding research "issues" to be discussed with Glisan, at 1 [CSFBCO 005006435-CSFBCO 005006436]; Email from Osmar Abib, Managing Director, CSFB, to Adebayo Ogunlesi, Head of Energy Group, and James Moran, Director, CSFB, Sept. 25, 2001 [CSFBCO 000095343]; Abib Sworn Statement, at 354, line 8 – 357, line 12. Sakol testified that a complaint by Glisan regarding her coverage in the fall of 2001 was not brought to her attention. Sakol Sworn Statement, at 59, lines 2-18.

¹¹⁰ Sakol Sworn Statement at 72, lines 13-15 and 111, lines 3-21.

¹¹¹ *Id.* at 79, line 4 – 81, line 23 and 89, line 1 – 91, line 14; *see also* Email from Michael Davis, CSFB, to Jill Sakol, Associate, CSFB, Oct. 19, 2001 (Ex. 512 to Sakol Sworn Statement) ("added two paragraphs . . . that may help accounts in both the US and Europe get more comfortable with the share trust deals") [CSFBCO 005066438].

¹¹² Sakol Sworn Statement, at 110, line 18 – 112, line 2; *see also* Email from Lauren Pugliese, CSFB, to Paul Davis, Director, and Jamie Welch, Managing Director, CSFB, Nov. 9, 2001, asking Davis and Welch to review note by Sakol that downgrades Enron's debt from "buy" to "hold" (the "Nov. 9, 2001 Pugliese Email"), at 1 [CSFBCO 005009898-CSFBCO 005009900].

¹¹³ Sakol Sworn Statement, at 116, line 2 – 118, line 8; Sworn Statement of Paula White-Lavitt, Managing Director, CSFB, to Frank G. Smith, A&B, Apr. 17, 2003 (the "White-Lavitt Sworn Statement"), at 57, lines 5-24; Email from Paula White-Lavitt, Managing Director, CSFB, to Jill Sakol, Associate, CSFB, Nov. 20, 2001 (telling Sakol that "[i]t is very important that you put together a diary of all that has happened with the investigation and follow up on your part regarding the share trust transaction.") (Ex. 90 to White-Lavitt Sworn Statement) [CSFBCO 000228165]; Sakol Notes. Sakol testified that the notes are accurate but not "all-inclusive." Sakol Sworn Statement, at 26, line 22 – 27, line 2.

thereafter used that information successfully to divest CSFB of its holdings of the Marlin share trust notes.¹¹⁴

Even though Sakol wanted to “provide useful information to investors,” she was concerned about doing so because she did not “want to upset people that [she] worked with,” because “Enron was an important client.”¹¹⁵ Also, even though Sakol wanted to communicate her “potentially negative” assessment of Enron to investors, she did not do so because she was under “some constraints ... because of the way [she] thought others within CSFB might react” to published research that reflected her honest views on Enron.¹¹⁶ Specifically, Sakol testified that William Battey, the head of CSFB’s analyst department, called her to his office where he quizzed her about Enron, praised her for getting timely information to CSFB’s bond traders, and reminded her of the importance

¹¹⁴ Sakol Sworn Statement, at 70, line 20 – 73, line 21, 75, lines 4-6, 123, line 19 – 127, line 4, and 204, line 20 – 205, line 5. *See also* Sakol Notes. At other times, Sakol considered publishing research regarding share trust structures in general, including the share trusts in the Enron Share Trust Transactions, but did not distribute the research because she did not have “all of the information that I wanted to put in the report.” Sakol Sworn Statement, at 76, lines 1-21.

¹¹⁵ *Id.* at 95, lines 8-15.

¹¹⁶ The “others” included “investment bankers” and “capital markets people.” *Id.* at 95, line 16 – 96, line 24. CSFB has policies that limit the publishing of research concerning issuers that appear on its “Restricted List.” According to CSFB, Enron appeared on CSFB’s Restricted List from October 8, 2001 through October 10, 2001 and from November 28, 2001 through December 5, 2001. Letter from Richard W. Clary, Cravath, Swaine & Moore, LLP, to Frank G. Smith, A&B, Oct. 24, 2003 (“Oct. 24 Letter from Clary”) [AB1129 00642-AB1129 00643]. As a result, Sakol may at times have been unable to publish research as a result of Enron’s being on this list. *See* CSFB, DLJ and Pershing U.S. Compliance Manual, June 2001 (the “CSFB Compliance Manual”), at 141 [CSFBCO 000728531-CSFB 000728748]. Sakol informed her superiors on or about November 9, 2001 that she wanted to change her rating on Enron. Nov. 9, 2001 Pugliese Email, at 1. Enron was not on CSFB’s Restricted List at this time. Oct. 24 Letter from Clary. Notwithstanding the fact that Enron was not on CSFB’s Restricted List, CSFB’s Legal and Compliance Department refused to let Sakol downgrade Enron’s bonds following comments the Legal and Compliance Department received from CSFB investment bankers about Sakol’s proposed downgrading of Enron bonds. CSFB Watch /Restricted Deal Sheet, at 3 (noting that “did not permit a downgrade (buy to hold) of [Enron] bonds.”) [CSFBCO 006185996-CSFBCO 006186000]. Further, Sakol’s understanding that others at CSFB did not want her to publish negative research regarding Enron does not appear to have been limited to a single point in time and was clearly a factor in deterring publication of her candid assessment of Enron. Sakol Sworn Statement, at 95, line 16 – 97, line 4 and 225, lines 12-19.

of the Enron relationship to CSFB.¹¹⁷ Sakol's later testimony demonstrates that she "got the message":

Q. Did you understand Battey to be suggesting that there would be sensitivity about publishing negatively about Enron, given the fact that they were an important client to CSFB? Is that the sum and substance of what you understood?

A. I think, at the time that I had that meeting with him, that was what I took away from it.¹¹⁸

Sakol left CSFB in early 2002.¹¹⁹

Conclusions regarding CSFB's Securities Analysts

A fact-finder could conclude that CSFB published Launer's positive portrayal of Enron while discouraging Sakol from publishing her more negative assessment. At the same time, Sakol's views were known internally, and CSFB bond traders disposed of Enron-related fixed-income securities based on those views. As Sakol wrote in her private notes:

Spoke on regular basis to PH [her counterpart at CSFB in London]; relayed thoughts on ENE. PH understood that "attractive" rating did not reflect my views. He said that they were able to get out of Marlin position at a cost but were glad they did based on my advice to him.¹²⁰

Similarly, in an October 2001 memo prepared by Abib, Jeffe and others for Tony James ("James"), CSFB's co-head of investment banking,¹²¹ in anticipation of a meeting between James and Fastow, the authors note that Launer "maintains a 'Strong Buy'"

¹¹⁷ *Id.* at 123, line 19 – 124, line 8.

¹¹⁸ *Id.* at 225, lines 12-19. Although Sakol's testimony supports the proposition that she felt pressured not to publish negative research regarding Enron, Sakol also testified that she did not perceive that she was pressured to publish research about Enron that was more positive than she thought it should be. Sakol Sworn Statement, at 56, lines 6-24.

¹¹⁹ *Id.* at 24, line 9.

¹²⁰ Sakol Notes, at CSFBCO 006290129; *see also* Sakol Sworn Statement, at 70, line 20 – 71, line 1.

¹²¹ Jeffe Sworn Statement, at 85, lines 5-8.

rating, but then note in the next paragraph that “CSFB currently has net credit exposure of \$625 million to Enron and CSFB’s internal credit team has determined that this net exposure position needs to be reduced to \$500 million by the end of October.”¹²²

Based on the foregoing, a fact-finder could conclude that CSFB sought to support its relationship with Enron and Enron’s stock price through the publication of positive equity analyst reports while simultaneously acting internally on more negative analyst reports in making its own investment decisions.¹²³

¹²² See Oct. 10, 2001 Memorandum to James, at 1. As noted above, Jeffe testified that at the time this memorandum was issued, the need to reduce exposure “was an ongoing issue with Enron. It was an ongoing issue with all large companies.” Jeffe Sworn Statement, at 87, line 8 – 89, line 3.

¹²³ Additional evidence that could lead a fact-finder to conclude that CSFB published positive equity reports notwithstanding a more negative internal view is contained in email messages among Andrew DeVries (“DeVries”), an equity research analyst at CSFB who covered Enron, and Brian Gibbons (“Gibbons”), another CSFB equity research analyst, and their mutual friend, Wade Suki (“Suki”), an equity research analyst at JPMorgan Chase. These email messages include:

- Email from Wade Suki, Associate Analyst, JPMorgan Chase, to Brian Gibbons, CSFB, Oct. 24, 2001, at JPMBKR-E0817342-JPMBKR-E0817343 (Gibbons believes that, with respect to Enron, “all things point to the potential for one of the biggest frauds in the history of corporate america [sic], bankruptcy is not out of the question.” To which Suki responds, “bankruptcy??? [H]oly Moses . . . that’s HUGE!!! . . . wow, DeVries has actually been right on this one.”) [JPMBKR-E0817342-JPMBKR-E0817344];
- Email from Wade Suki, Associate Analyst, JPMorgan Chase, to Andy DeVries, Equity Research Associate, Brian Gibbons, CSFB, *et al.*, Oct. 25, 2001, at JPMBKR-E0817387-JPMBKR-E0817388 (After DeVries boasts, “[c]orrect me if I’m wrong, but you have been speaking to a member of the coverage team at CSFB who has specifically told you NOT TO BUY it but to STAY AWAY from it all the way down from \$45”, Suki responds, “hey, how has your rating helped clients??? [Y]ou’re telling me one thing but clients a different story??? a little shady if you ask me . . . strap it on, man!!! take a stand!!! afraid to lose the banking business??? are you an investment banker or equity research analyst???”) (emphasis in original) [JPMBKR-E0817387-JPMBKR-E0817389];
- Email from Wade Suki, Associate Analyst, JPMorgan Chase, to Andy DeVries, Equity Research Associate, CSFB, *et al.*, Oct. 30, 2001 (“still a strong buy??? way to serve your clients’ interests . . .”) [CSFBCO 006303844];

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- Email from Andy DeVries, Equity Research Associate, CSFB, to Wade Suki, Associate Analyst, JPMorgan Chase, *et al.*, Nov. 28, 2001, at JPMBKR-E0817431-JPMBKR-E0817432 (DeVries writes to Suki, “Okay Wade, how about now? Now will you give me some credit for saying NO to buying ENE at 50, at 40, at 30, at 20?”, to which Suki responds, “no dude, you get squatola.” DeVries then responds, “From \$50 to \$30, lucky, from \$30 (when the first skelton [sic] came out) to now, I was in the know . . . the funny thing is, Gibbons was also in the know, yet bought the thing.”) [JPMBKR-E0817430-JPMBKR-E0817434];
 - Email from Brian Gibbons, CSFB, to Andy DeVries, Equity Research Associate, CSFB, Nov. 29, 2001 (“We were [Enron’s] number 1 supporter so the threat of a damaging research note was zero. [T]hey needed us to publicly sell the stock almost as much as we needed them for the fees.”) [CSFBCO 006303837];
 - Email from Wade Suki, Associate Analyst, JPMorgan Chase, to Andy DeVries, Equity Research Associate, CSFB, *et al.*, Dec. 20, 2001, at 2 (“man, you guys are the ones that helped set up these partnerships . . . not to mention you guys as analysts knew about it and didn’t say a word to clients in your research . . . who’s hiding what??? I’m sure the SEC would be very interested in this . . . don’t you think?”) [CSFBCO 006172707-CSFBCO 006172710];
 - Email from Wade Suki, Associate Analyst, JPMorgan Chase, to Andy DeVries, Equity Research Associate, CSFB, *et al.*, Feb. 26, 2002, at 1 (“I’m sure Curt [Launer’s] testimony will NOT include the fact that you guys knew about this crap in august (at the latest) but still didn’t write about it or bring it to the attention of investors . . . shall I forward your emails to the justice department??? the ones warning me to stay away from ENE – these date waaaaaay back . . . now, if you were telling me and everyone on your salesforce (as you claim) to stay away, don’t you think Congress would like to know about this???)” [CSFBCO 006173455-CSFBCO 006173459]; and
 - Suki’s February 26, 2002 email was sent the day before Launer was scheduled to testify at a hearing before the United States Senate Committee on Governmental Affairs about the role of Wall Street analysts in the collapse of Enron. *See* Feb. 27, 2000 Senate Committee on Governmental Affairs Hearing, at 18-20 and 73-82. In an email sent two days prior to such testimony, Launer refers to his “testimony” as being “sanitized” in order to “curry populist favor.” Emails between Curt Launer, Managing Director, CSFB, and Jim Clark, CSFB, Feb. 25, 2002 [CSFBCO 006057889.001].

Several CSFB equity research reports specifically covering Enron list DeVries as a member of the research team. *See, e.g.*, CSFB Company Update – Enron Corp., “SEC Requests Info On Partnerships,” Oct. 22, 2001 [CSFBCO 000727063-CSFBCO 000727065]; CSFB Company Update – Enron Corp., “Recovery Scenario Incl Equity, Write-offs, Other Actions, ’02 Pro-forma EPS \$1.60, Target \$25,” Nov. 5, 2001 [CSFBCO 000727152-CSFBCO 000727159].

III. DETAILED ANALYSIS OF CSFB'S INVOLVEMENT IN ENRON-RELATED DEALS

A. LJM1 Transactions

General Background on LJM1

As described in the Second Interim Report,¹²⁴ beginning in 1997 and ending in mid-2001, Enron engaged in a number of transactions (collectively, the "Related Party Transactions") with entities in which Fastow and other Enron officers, including Kopper and Glisan, participated.¹²⁵ One of these entities, LJM1, engaged in a number of transactions with Enron and its affiliates. The Related Party Transactions resulted in the personal enrichment of Fastow and his colleagues.¹²⁶ LJM1 enriched Fastow and his colleagues by approximately \$40 million on an aggregate investment of slightly more than \$1 million.¹²⁷ The sources of these distributions were primarily Enron assets and payments by Enron to LJM1.¹²⁸

¹²⁴ See Second Interim Report, Appendix L (Related Party Transactions).

¹²⁵ Based on the evidence that he has reviewed to date, the Examiner believes that Fastow received at least \$60.6 million, that Kopper and Dodson together received at least \$33.4 million and that Glisan received at least \$1 million from the Related Party Transactions. See Second Interim Report, at 104-105; Plea Agreement, *United States v. Glisan*, Cr. No. H-02-0665 (S.D. Tex), Sept. 10, 2003, at 6. The Creditors' Committee brought suit against Fastow, Glisan, Richard B. Buy, Causey, Skilling, Lay, Kristina M. Mordaunt, Kathy Lynn and Anne Yaeger-Patel on October 1, 2002, alleging, among other things, that these defendants breached their fiduciary duties to Enron and seeking to recoup certain sums from such insiders. Kopper has not been sued as a part of this action. See *Enron Corp. Official Comm. of Unsecured Creditors v. Fastow*, No. 02-10-06531 (9th Jud. Dist. Montgomery County, Tex., filed Oct. 1, 2002).

¹²⁶ See Second Interim Report, Appendix L (Related Party Transactions).

¹²⁷ See *id.* at 19-20. In addition, Fastow received \$15.5 million in cash and a house valued at \$850,000 from Kopper in connection with Fastow's sale of his interests in LJM1 and LJM2 to Kopper. *Id.* at 20.

¹²⁸ See *id.* at 19-20.

CSFB's involvement in the Related Party Transactions was primarily as a limited partner of LJM1,¹²⁹ a private equity fund created in 1999 to hedge Enron's investment in Rhythms.¹³⁰ In March 1998, Enron purchased equity in Rhythms for approximately \$10 million.¹³¹ Following Rhythms' initial public offering, its stock price was volatile, and the value of Enron's investment increased to over \$500 million at one point¹³² and was approximately \$260 million as of June 1, 1999.¹³³ Because the Rhythms stock was a fair value asset in Enron's portfolio, Enron had recognized the large increase in value as income and was concerned about the adverse effect on its income statement if the value were to decline. Enron was contractually prohibited from selling or hedging the stock for a period of six months.¹³⁴ Even if Enron were not prohibited from hedging the stock, due to the large percentage of Rhythms' total equity represented by Enron's investment—approximately 50% of Rhythms' publicly traded shares—and the volatility of the stock

¹²⁹ CSFB also participated as a limited partner in a second private equity fund, LJM2. Enron's transactions with LJM2 are described in Appendix L (Related Party Transactions) to the Second Interim Report. While CSFB, as one of a number of limited partners in LJM2 and as one of the lenders to LJM2, does not appear to have had as significant a role in the implementation of transactions involving LJM2, it did play a significant role in the transactions involving LJM1.

¹³⁰ See Presentation to the Enron Board, "Project LJM," June 28, 1999 (the "LJM1 Presentation to the Enron Board") [AB000001727-AB000001738].

¹³¹ See Rhythms NetConnections, Inc. ("Rhythms") Form S-1 filed with the SEC on Apr. 6, 1999 ("Rhythms S-1"), Item 15.

¹³² Memorandum from Rebecca Carter, Senior Vice President, Board Communications, Enron, to Enron Board of Directors, regarding weekly update, Apr. 16, 1999, at 2 (reporting that the stock price had reached as much as \$110 per share) [AB000448792-AB000448797]. Enron held approximately 5.3 million shares of Rhythms common stock.

¹³³ Rhythms S-1, Principal Stockholders Table. Rhythms' closing stock price on June 1, 1999 was \$48.50 per share. *NASDAQ National Market Issues*, WALL ST. J., June 2, 1999, at C12.

¹³⁴ See Letter from Gil Melman, Senior Counsel, Enron Communications Investments Corp., to Rose Stroud, Legal Transfers Area, American Securities Transfer & Trust Inc., Mar. 20, 2000, at AB000468667 (attaching a copy of Rhythms NetConnections, Inc. stock certificate registered in the name of Enron Communications Investments Corp.) [AB000468665-AB000468668].

price in the market, Enron was unlikely to find a third party willing to enter into a hedge on economic terms acceptable to Enron.

Fastow invested \$1 million personally in LJM1 and served as its sole general partner.¹³⁵ ERNB Ltd. (“ERNB”), an affiliate of CSFB, and Campsie Ltd. (“Campsie”), an affiliate of RBS, invested \$7.5 million each and served as the limited partners.¹³⁶ Enron transferred to LJM1 shares of Enron common stock having an aggregate stock price of \$276 million.¹³⁷ Thereafter, LJM1 transferred approximately half of the shares to LJM1 Swap Sub, L.P. (“Swap Sub”), which LJM1 had formed to serve as the hedging vehicle. Enron received promissory notes in the amount of \$64 million from LJM1 (the “LJM1 Notes”) and a put right that Enron could exercise in the future to force Swap Sub to purchase the Rhythms stock at \$56.125 per share.¹³⁸

However, only Swap Sub, and not LJM1, was liable to Enron for the put, and Swap Sub’s only asset was the portion of the Enron stock that LJM1 had transferred to it.¹³⁹ Thus, Enron did not transfer any of its true economic risk in the Rhythms investment to any third party with assets other than assets provided by Enron. Instead,

¹³⁵ The Enron Board heard a presentation about the formation of LJM1 and the LJM1/Rhythms Hedging Transaction, and approved the necessary components relating to the use of Enron stock, on June 28, 1999 at a specially called meeting. Minutes of Enron Board Special Meeting, June 28, 1999 (the “Enron Board Minutes for Special Meeting, June 28, 1999”), at 6-8 [AB000196728-AB000196740]. The Enron Board approved: (i) amendments to certain forward stock purchase contracts that Enron had with UBS, since these were the shares that Enron would contribute to the Rhythms hedging SPE; and (ii) a new forward contract with LJM1 and the early cancellation of that agreement. *See id.* at 7-8.

¹³⁶ *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 6-7.

¹³⁷ The shares were actually transferred by UBS Warburg (“UBS”) at Enron’s direction. *See id.* at 7-8.

¹³⁸ Within two weeks after closing the LJM1/Rhythms Hedging Transaction, Enron became concerned about the continued volatility of the Rhythms stock. Thus, on July 13, 1999, Enron entered into a “costless collar” with Swap Sub that, among other things, protected Enron from Rhythms’ stock price falling below \$65 per share. *See id.* at 15-16.

¹³⁹ Swap Sub was capitalized with approximately one-half of the Enron stock transferred to LJM1 upon its formation and \$3.75 million, which were proceeds resulting from the disposition of a portion of the Enron stock transferred to LJM1.

Enron transferred \$276 million to receive the LJM1 Notes in the amount of \$64 million and a hedge that was supported only by approximately half of the stock that Enron itself had transferred into the structure.

In addition to the LJM1/Rhythms Hedging Transaction, LJM1 made two investments (both acquired from Enron or Enron-related entities and both initially financed with the proceeds of an unsecured \$25 million bridge loan from CSFB):¹⁴⁰ (i) the purchase of a 13% interest in a Brazilian power plant project known as Cuiaba;¹⁴¹ and (ii) the purchase of \$15 million of certificates issued by the Osprey Trust (which provided the financing for the Whitewing Transaction).¹⁴²

CSFB's Knowledge of LJM1's Purpose and Structure

In June 1999, Fastow approached CSFB with a request that CSFB invest as a limited partner in LJM1.¹⁴³ Based on his initial conversations with Fastow, Jeffe

¹⁴⁰ On September 17, 1999, LJM1 and CSFB entered into a loan agreement under which LJM1 borrowed \$25 million at an annual interest rate of LIBOR plus 2%. The loan was due on March 31, 2000. See Section 4, Loan Agreement among LJM Cayman and CSFB, Sept. 17, 1999 (the "CSFB LJM1 Loan Agreement") [AB000468721-AB000468726]; Limited Recourse Promissory Note between LJM1 and CSFB, Sept. 20, 1999 (the "CSFB LJM1 Limited Recourse Promissory Note") [AB000468727-AB000468729]; Notice of Borrowing by LJM1 to CSFB, Sept. 27, 1999 (the "Sept. 27, 1999 Notice of Borrowing") [AB000502540]; Notice of Borrowing by LJM1 to CSFB, Sept. 17, 1999 (the "Sept. 17, 1999 Notice of Borrowing") [AB000468730].

¹⁴¹ The Cuiaba transaction is described in the Second Interim Report, Annex 3 to Appendix L (Related Party Transactions).

¹⁴² In September 1999, LJM1 purchased \$15 million of Osprey Trust certificates on the same terms as other investors. Memorandum to Condor Working Group from Dominic Capolongo, Managing Director, and Brian Herman, Associate, DLJ, Sept. 22, 1999 [PSI00134251]; Wire Transfer Request, Sept. 23, 1999 (request by Fastow on behalf of LJM1 to wire \$15 million to DLJ Securities Corp., referencing "Enron – Osprey Private Placement") [PSI00134250]; Benefits to Enron Summary, undated (regarding "Osprey – LJM Cayman's purchase") [PSI00068220]. LJM1 sold the Osprey Trust certificates to Chewco in December 1999 for \$15 million, plus a fee of \$131,250 and accrued interest of approximately \$380,000. Note 4, LJM Cayman, L.P., Consolidated Financial Statements, Dec. 31, 1999, at 9 (audited by KPMG LLP) [PSI00210121-PSI00210133]. The Whitewing Transaction is described in the Second Interim Report, Appendix G (Whitewing Transaction).

¹⁴³ Call Report by Robert Jeffe, Managing Director, CSFB, June 8, 1999 (the "June 8 Call Report") (Fastow contacted CSFB regarding an \$8 million equity investment in a partnership) [CSFBCO 005725132]; see also Call Report by Robert Jeffe, Managing Director, CSFB, June 10, 1999 (the "June 10

understood that CSFB's equity investment would be used to create an off-balance sheet vehicle, that the transaction needed to be accomplished by the end of the month and that the transaction would involve canceling an existing equity forward contract between Enron and UBS Warburg ("UBS") that, if not cancelled, could have negative accounting and balance sheet implications for Enron.¹⁴⁴ Jeffe also understood that the off-balance sheet vehicle would be used to address "other financial and accounting issues."¹⁴⁵ Jeffe described the transaction as a "very creative and complicated structure."¹⁴⁶ Jeffe also noted Fastow had stated that the transaction had been carefully reviewed with outside counsel and Enron's outside auditors.¹⁴⁷

Jeffe testified that CSFB did not want to invest in LJM1.¹⁴⁸ CSFB had concerns about the apparent conflict of interest raised by Fastow's role in LJM1.¹⁴⁹ CSFB also had concerns about the compensation that Fastow would receive as a result of the transaction,¹⁵⁰ which Jeffe understood as early as June 1999 to be "north of 20 [million]."¹⁵¹ Jeffe noted that he "found it . . . astonishing that the [Enron Board],

Call Report") ("Andy outlined a creative transaction where he wants us to come up with \$8 MM of equity to create an off balance sheet vehicle.") [CSFBCO 005725133].

¹⁴⁴ June 8 Call Report; June 10 Call Report.

¹⁴⁵ June 8 Call Report.

¹⁴⁶ *Id.*

¹⁴⁷ *Id.*

¹⁴⁸ Jeffe Sworn Statement, at 24, lines 11-14.

¹⁴⁹ *Id.* at 25, lines 11-19. Jeffe noted that "at the time and even today the idea of somebody selling something to themselves representing both sides was something I had never seen." *Id.* at 26, lines 3-6. Jeffe saw the transaction as "a senior officer of the company [Fastow] negotiating to sell something to himself." *Id.* at 39, lines 5-8.

¹⁵⁰ *Id.* at 26, lines 13-16.

¹⁵¹ *Id.* at 41, lines 5-11.

[Vinson & Elkins], which was a top law firm in Houston, and a top accounting firm [Andersen] had supposedly blessed the transaction.”¹⁵² He further testified that:

It was also troubling from the standpoint of Fastow personally wanting to do the transaction. Because I think we all told him at various times that at some point this transaction would come to light and he would look very, very bad.¹⁵³

When asked to explain why it was troubling to him that Fastow wanted to do the transaction, Jeffe testified that:

we are all taught there are lines of proper behavior and in terms of the way you comport yourself, and this was something that I never ever would consider doing myself even if I had approval from the President of the United States or the U.S. Supreme Court.¹⁵⁴

The LJM1 investment proposal was presented to senior CSFB management on June 22, 1999, by the CSFB “Enron relationship team” of Jeffe, Ogunlesi and Furst. By that time, they understood more about the proposed transaction. Specifically, they understood that Enron had previously entered into a forward contract with UBS pursuant to which UBS had agreed to sell Enron over 7.8 million shares¹⁵⁵ of Enron stock at \$44.44 per share at a time when the stock price had risen to more than \$77 per share.¹⁵⁶ While this forward contract was now in the money to Enron, settlement of the contract would either permit UBS to sell a large number of Enron shares on the open market or

¹⁵² *Id.* at 43, lines 4-9.

¹⁵³ *Id.* at 27, lines 20-24.

¹⁵⁴ *Id.* at 42, lines 20-25.

¹⁵⁵ Unless otherwise indicated, all references in this Appendix to shares of Enron stock have been adjusted to reflect Enron’s two-for-one stock split that took place on August 16, 1999. *See* Enron Corp. Stock Price History Report, at AB000499884. This number has not been so adjusted.

¹⁵⁶ Memorandum to Richard E. Thornburgh, Vice Chairman of the Executive Board and CFO, *et al.*, CSFB, from Robert Jeffe, Managing Director, *et al.*, CSFB, dated June 22, 1999 (the “June 22 Memorandum”), at CSFBCO 000005024 [CSFBCO 000005024-CSFBCO 000005033].

require Enron to incur debt to purchase the stock.¹⁵⁷ To address these issues, Enron and UBS agreed to release to Enron almost 6.4 million shares of the Enron stock subject to the forward contract and to adjust the settlement price on the remaining shares to \$75 per share.¹⁵⁸ The proposal then contemplated that Enron would cause these shares, valued at that time at an aggregate of approximately \$240 million, to be transferred to LJM1 in return for:¹⁵⁹ (i) a put option on the Rhythms stock held by Enron;¹⁶⁰ and (ii) a \$50 million note from LJM1.¹⁶¹ CSFB also believed that the Enron Board had approved the transaction and that the transaction had the support of Skilling and Lay.¹⁶²

With regard to the Enron stock that would be held by LJM1, CSFB understood that the limited partners in LJM1 were entitled to the exclusive economic benefit of that

¹⁵⁷ *Id.*

¹⁵⁸ *Id.*

¹⁵⁹ *Id.* at CSFBCO 000005025.

¹⁶⁰ CSFB recognized that the value of the put option to Enron could not exceed the value of the Enron stock held by Swap Sub, which was valued by CSFB as of June 22, 1999 at \$127 million. *See id.* (“This equity contribution will serve as the only collateral for writing a put to Enron Corp. for 5.2 million shares of Rhythms Netconnections for \$57 per share. Enron will be able to put Rhythms Netconnection’s stock to the Put Sub. While the nominal amount of the put is \$296 [million], this obligation will be limited to the FMV of the Put Sub’s assets. The only asset in the Put Sub will be Enron Stock valued at \$127 [million] (1,666,667 x \$76.625).”). *See also* July 8 Memorandum, at CSFBCO 005522746. LJM1 valued the LJM1/Rhythms Hedging Transaction at \$104 million. *See* LJM/Rhythms Structure Accounting Entries Worksheet, undated (the “LJM/Rhythms Structure Accounting Entries Worksheet”) [AB000468781].

¹⁶¹ LJM1 subsequently issued a second limited recourse promissory note to Enron in the principal amount of \$14 million as additional consideration for the Enron stock. *See* Letter from Andrew S. Fastow, LJM Partners, LLC, to the Limited Partners of LJM1, July 27, 1999 (the “Fastow Letter to LJM1 Limited Partners”), at 1 [RBS 4016342-RBS 4016343]; *see also* Amended and Restated Limited Recourse Promissory Note in the principal amount of \$50 million by LJM Cayman, L.P. in favor of Enron Corp., June 30, 1999 (the “Amended and Restated \$50 million Limited Recourse Promissory Note”) [PSI00110066-PSI00110068] and Amended and Restated Limited Recourse Promissory Note in the principal amount of \$14 million by LJM Cayman, L.P. in favor of Enron Corp., June 30, 1999 (the “Amended and Restated \$14 million Limited Recourse Promissory Note”) [PSI00110108-PSI00110110] (collectively, the “LJM1 Notes”). The original proposal also included a commitment from LJM1 to purchase “a 15.5% equity interest from Enron” in the Cuiaba project for \$16 million. June 22 Memorandum, at CSFBCO 000005025.

¹⁶² June 22 Memorandum, at CSFBCO 000005024 (stating that LJM1 had already been approved by the Enron Board and has the full support of Lay and Skilling; the date of this memorandum is six days prior to the June 28, 1999 special meeting of the Enron Board at which LJM1 was approved).

stock, subject to satisfaction of the obligations of Swap Sub under the put and the \$50 million note from LJM1 to Enron.¹⁶³ CSFB understood that an important term of the LJM1 structure was that Fastow was to have no economic interest in the stock.¹⁶⁴ CSFB also understood that only the portion of the Enron stock that had been contributed to Swap Sub, which was roughly half the Enron stock transferred to LJM1, would be at risk to cover Swap Sub's obligations under the LJM1/Rhythms Hedging Transaction.¹⁶⁵ The other half of the Enron stock remained in LJM1. CSFB further understood that the LJM1/Rhythms Hedging Transaction would allow Enron "to hedge its downside exposure to [Rhythms]."¹⁶⁶ Finally, CSFB understood that Swap Sub's only asset was the shares of Enron stock contributed to it and that, as a result, the only asset that provided collateral for the obligations of Swap Sub to Enron under the LJM1/Rhythms

¹⁶³ *Id.*

¹⁶⁴ See Ogunlesi Sworn Statement, at 165, line 24 – 171, line 24. Certain terms of the First Amended LJM1 Partnership Agreement, to which CSFB's affiliate, ERNB, was a party, provide that distributions and allocations with respect to the shares of Enron stock transferred to LJM1 were to be made only to the limited partners (CSFB and RBS) and not the general partner (an entity owned and controlled by Fastow). Section 4.2 of the First Amended LJM1 Partnership Agreement provides that "[a]ll distributions of [the shares of Enron stock transferred to LJM1, proceeds resulting from those shares and property received by LJM1 in exchange for those shares] shall be distributed among the limited partners." Section 4.2, LJM Cayman, L.P. Amended and Restated Agreement of Limited Partnership, June 30, 1999 (the "Partnership Agreement") [AB000002264-AB000002304]. The general partner would, however, share in other distributions by LJM1. *Id.* Section 4.3. Section 4.4 of the Partnership Agreement provides that "any income, gain, loss or deduction recognized by [LJM1] as a result of or in connection with the transfer to it of the [shares of Enron stock transferred to LJM1] . . . shall be allocated solely to the Limited Partners." *Id.* Section 4.4. Further, the general partner's management fee was to be calculated by reference to assets in LJM1 other than the shares of Enron capital stock transferred to LJM1 or the proceeds resulting from those shares. *Id.* Section 5.2. James Clark, an attorney with the firm of Cahill, Gordon & Reindel, LLP, represented CSFB in connection with LJM1 and was aware of this restriction. Clark testified that "I have a general recollection of a principle that Enron told us they had established, which was that they did not want Mr. Fastow to profit from transactions that resulted – as a result of sales of Enron's common stock or something of that nature." Sworn Statement of James J. Clark, Partner, Cahill, Gordon & Reindel, LLP, to Frank Smith, A&B, Sept. 17, 2003 (the "Clark Sworn Statement"), at 36, lines 2 – 7 and at 23, line 20 – 25, line 18. Clark testified that, throughout the negotiations of the Partnership Agreement and his involvement with LJM1, this principle never changed. *Id.* at 36, line 25 – 37, line 6. Ogunlesi also testified that this term never changed. Ogunlesi Sworn Statement, at 171, lines 10-17.

¹⁶⁵ June 22 Memorandum, at CSFBCO 000005024-CSFBCO 000005025; see also July 8 Memorandum, at CSFBCO 005522747.

¹⁶⁶ Dec. 8, 1999 Mandanas Memorandum, at CSFBCO 000009612.

Hedging Transaction was stock of Enron.¹⁶⁷ Therefore, CSFB was in possession of all the facts necessary to conclude that the LJM1/Rhythms Hedging Transaction was a non-economic hedge. Because the Enron stock supporting Swap Sub's obligations and the Enron stock retained in LJM1 was effectively Enron's property in the first instance, this transaction could only result in economic loss to Enron.

With regard to a proposed investment by LJM1 in Cuiaba, CSFB understood that all of the partners in LJM1 would share in any benefits produced from that investment.¹⁶⁸

Thus, assuming a total loss on the LJM1/Rhythms Hedging Transaction (which CSFB assumed had a value to Enron of \$127 million as of June 22, 1999), CSFB necessarily understood that as one of two limited partners in LJM1, it would have a 50% share of the economic benefit of approximately \$240 million worth of Enron stock, the value of which would be reduced by the value of the LJM1/Rhythms Hedging Transaction and the \$50 million note from LJM1 to Enron.¹⁶⁹ CSFB also had a shared interest with LJM1's other limited partner and its general partner in a \$16 million investment in Cuiaba that was contemplated at the time, all in return for an investment of \$9.0 million.¹⁷⁰

¹⁶⁷ See June 22 Memorandum, at CSFBCO 000005025; July 8 Memorandum, at CSFBCO 005522746.

¹⁶⁸ Sections 4.2 and 4.3, Partnership Agreement. CSFB understood that LJM1 would purchase the interest in Cuiaba from Enron for \$16 million to permit Enron to use mark-to-market accounting with respect to a contract to which Cuiaba was party. June 22 Memorandum, at CSFBCO 000005025. CSFB also understood that Enron was not able to complete a sale of the interest in Cuiaba to another party by June 30, 1999, and that therefore Enron was selling the interest to LJM1 (and that LJM1 intended to sell the interest to an unaffiliated third party within six months). *Id.*

¹⁶⁹ *Id.* at CSFBCO 000005024. The amount of the LJM1 debt referred to in the June 22 Memorandum is less than the \$64 million LJM1 Notes that were actually issued.

¹⁷⁰ The investment would ultimately be reduced to \$7.5 million.

The terms of the proposed transaction raised concerns within CSFB in addition to those expressed by Jeffe.¹⁷¹ As a result, Ogunlesi, who at the time headed CSFB's Energy Group and was one of the senior CSFB officers on the Enron account,¹⁷² met with Jeffe, Chuck Ward, Head of Investment Banking, David DeNunzio, Head of Merchant Banking, Mark Patterson, Head of Leveraged Finance, and Richard E. Thornburgh, CFO of CSFB, to discuss Fastow's proposal.¹⁷³ When questioned as to how he addressed the group's concerns, Ogunlesi testified that he had contacted Skilling, who was then the President and Chief Operating Officer of Enron,¹⁷⁴ to obtain confirmation "that the transaction had actually been reviewed and approved by the [Enron Board], that it had been approved by the senior management of Enron, and that their outside counsel or accountants had also approved going forward with the transaction."¹⁷⁵ According to Ogunlesi, "we wanted to be sure that Enron's board and management were fully aware of the transaction, of Mr. Fastow's role in it, and get also the reason that Enron was doing the transaction ... what [were] the benefits of the transaction to Enron."¹⁷⁶ Skilling confirmed that he was aware of the transaction, that the Enron Board had approved it, that Enron's legal counsel had reviewed it and that the LJM1/Rhythms Hedging

¹⁷¹ CSFB recognized that LJM1 raised significant reputational risk for CSFB and held numerous internal meetings on the subject. Mandanas Sworn Statement, at 512, lines 8-12. Because counsel attended some of these meetings, CSFB has not provided evidence of their content based on an assertion of the attorney-client privilege. *Id.* at 512, lines 13-25.

¹⁷² Ogunlesi Sworn Statement, at 12, line 2 – 13, line 4.

¹⁷³ *Id.* at 160, line 24 – 161, line 6.

¹⁷⁴ *Id.* at 168, lines 13-15.

¹⁷⁵ *Id.* at 166, lines 2-7; *see also* June 22 Memorandum, at CSFBCO 000005024 (stating that LJM1 had already been approved by the Enron Board and has the full support of Lay and Skilling; the date of this memorandum is six days prior to the June 28, 1999 special meeting of the Enron Board at which LJM1 was approved).

¹⁷⁶ Ogunlesi Sworn Statement, at 166, line 22 – 167, line 4.

Transaction was very important to Enron.¹⁷⁷ Because of this, and to preserve its relationship with Enron,¹⁷⁸ CSFB approved the transaction despite its concerns.

Enron Board Approval of LJM1

Fastow presented the formation of LJM1 and the LJM1/Rhythms Hedging Transaction at a special meeting of the Enron Board on June 28, 1999.¹⁷⁹ As described below, the terms of the transaction had been altered slightly from what had initially been presented to CSFB.¹⁸⁰ The board minutes, together with Fastow's presentation, indicate that Fastow told the Enron Board that: (i) he would have no direct pecuniary interest in the Enron stock used to fund LJM1 (in fact, a provision establishing that only the Limited Partners, and not Fastow, could benefit from proceeds resulting from the Enron shares was included in the Partnership Agreement executed by each of the partners);¹⁸¹ (ii) the transaction would keep a large block of Enron stock restricted; and (iii) PWC would render the Fairness Opinion stating that the value Enron received would exceed the value of the forward contract with UBS that Enron would be giving up.¹⁸²

The Enron Board approved the transaction and Fastow's role in LJM1 and appointed Lay and Skilling as a committee of the Enron Board to determine if the consideration Enron received was sufficient in the event of a change in the terms of the

¹⁷⁷ *Id.* at 168, line 13 – 169, line 1.

¹⁷⁸ Jeffe Sworn Statement, at 29, line 24 – 30, line 14. When asked if he perceived that Fastow had the ability to decide which business went to which bank, Jeffe testified that Fastow “was a critical factor if not the most important factor.” *Id.* at 65, lines 3-10.

¹⁷⁹ See Enron Board Minutes for Special Meeting, June 28, 1999, at 6-8.

¹⁸⁰ See *id.*; LJM1 Presentation to the Enron Board.

¹⁸¹ Section 4.2, Partnership Agreement (“All distributions of Initial Property, Initial Property Proceeds and Substituted Property . . . shall be distributed among the Limited Partners . . . ratably in proportion to their respective Commitments.”).

¹⁸² Enron Board Minutes for Special Meeting, June 28, 1999, at 6-7.

transaction from those presented to the Enron Board.¹⁸³ In addition, the Enron Board authorized the officers to execute various documents in connection with the transaction, including indemnification agreements.¹⁸⁴

LJM1 is Capitalized and the LJM1/Rhythms Hedging Transaction is Closed

The CSFB and RBS subsidiaries that were the limited partners in LJM1 each contributed \$7.5 million to LJM1, and Fastow, as General Partner, contributed \$1 million.¹⁸⁵ These amounts were funded on July 9, 1999, with an effective date of June 30, 1999.¹⁸⁶ Enron transferred 6,755,394 shares of Enron stock to LJM1.¹⁸⁷ Effective June 30, 1999, these shares had a stock price of approximately \$276 million.¹⁸⁸ However, as a result of a four-year restriction on resale and a one-year restriction on hedging that Enron put in place in connection with this transaction,¹⁸⁹ this value would

¹⁸³ *Id.* at 7.

¹⁸⁴ *Id.* at 7-8. The Examiner has discovered an Indemnification Agreement signed by Fastow in his individual capacity, but not on behalf of Enron, that purports to indemnify Fastow for all "Liability" incurred by him in connection with any claim arising out of the fact that he is the general partner and manager of LJM1. The definition of "Liability" specifically includes Section 16 liability under the Securities Exchange Act of 1934. See Section 12, Indemnification Agreement between Enron and Fastow, June 1999 (definition of "Liability") [AB000468749-AB000468753].

¹⁸⁵ July 8 Memorandum, at CSFBCO 005522746.

¹⁸⁶ Email from Simon Stormer, CSFB, to John Carroll, CSFB, July 7, 1999, at 2-3 [CSFBCO 000059794-CSFBCO 000059798].

¹⁸⁷ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 7-8.

¹⁸⁸ Enron Corp.'s stock closing price on June 30, 1999 was of \$81.75. See Enron Corp. Stock Price History Report, at AB000499883.

¹⁸⁹ Confirmation Letter from Enron Corp. to LJM Cayman, L.P., LJM Swap Sub, L.P., June 30, 1999 (the "Original Lock-Up Agreement"), at AB00065401 [AB00065400-AB00065403]. The Examiner has been provided with three versions of this document, each of which is dated June 30, 1999. In addition to the Original Lock-up Agreement, which contains a one-year restriction on hedging, a second version contains a two-year restriction on hedging. See Lock-Up Agreement, at CSFBCO 000010702. A third version does not contain any restriction on hedging. See Confirmation Letter from Enron Corp. to LJM Cayman, L.P., LJM Swap Sub, L.P., June 30, 1999 [PSI00110052-PSI00110054]. Because the Original Lock-Up Agreement contains a one-year restriction on hedging and the Lock-Up Agreement contains a two-year restriction, it would appear that the Lock-Up Agreement is the later of these two documents. See Fastow Letter to LJM1 Limited Partners, at 1 (LJM1 and Swap Sub "will amend the existing transfer restriction

have been discounted by the parties. In exchange, Enron received a put option on its Rhythms stock from Swap Sub that LJM1 valued at \$104 million¹⁹⁰ and a \$50 million note from LJM1 that was due September 30, 1999.¹⁹¹ Subtracting the \$154 million in consideration Enron received for the \$276 million of consideration Enron gave, \$122 million of value remained in LJM1, an entity in which CSFB had obtained a 50% interest in exchange for a \$7.5 million investment.

On July 8, Furst, then CSFB's relationship manager on the Enron account, estimated that there was likely \$142 million of value in LJM1 as a result of the value in the Enron stock held by LJM1 and that the expected after-tax proceeds from those shares to the limited partners in LJM1 were between \$21 million and \$88 million.¹⁹² Furst projected that CSFB would earn an *annual* rate of return on LJM1 of between 26% and 81%.¹⁹³ Furst also noted that CSFB's investment would "solidify the relationship between CSFB and Enron."¹⁹⁴

The Fairness Opinion and Post-Closing Changes to the Terms of the Transaction

PWC did not render the Fairness Opinion regarding the fairness to Enron of the consideration it was receiving for the stock transferred into LJM1 based upon the original

agreement with Enron Corp. to extend the period that each is obligated to refrain from hedging its exposure to Enron Corp. common stock from 12 months to 24 months from the closing date.").

¹⁹⁰ See LJM/Rhythms Structure Accounting Entries Worksheet.

¹⁹¹ See Amended and Restated \$50 million Limited Recourse Promissory Note.

¹⁹² July 8 Memorandum, at CSFBCO 005522747. In other internal documents, CSFB valued the Enron stock that would be held by LJM1 at \$243 million. June 22 Memorandum, at CSFBCO 000005026.

¹⁹³ June 22 Memorandum, at CSFBCO 000005026. Based on an estimated investment by the partners of \$18 million being used at that time, CSFB calculated that the partners could receive as much as \$348 million in five years. *Id.*

¹⁹⁴ July 8 Memorandum, at CSFBCO 005522747.

terms of the transaction.¹⁹⁵ Two changes were made to the terms initially contemplated. First, on July 27, 1999, almost a month after the recorded closing date of LJM1's funding, LJM1 issued a second limited recourse promissory note to Enron in the principal amount of \$14 million as additional consideration for the Enron stock.¹⁹⁶ Second, the Lock-Up Agreement's prohibition against hedging the Enron stock was extended from one to two years (the "Lock-Up Agreement").¹⁹⁷ Consistent with the fairness analysis delivered by PWC as a precursor to the delivery of the Fairness Opinion, Enron ultimately applied a 39% illiquidity discount to the Enron shares that reduced the value of those shares transferred into LJM1 by approximately \$108 million.¹⁹⁸ CSFB does not appear to have expressed any concern or to have raised any objection to the reduction in the value of the Enron shares (in which it had a 50% interest) that resulted from these actions.¹⁹⁹

¹⁹⁵ See Fastow Letter to LJM1 Limited Partners, at 1 ("we have determined that a couple of changes to the initial structure are necessary to support the initial valuation presented to you"); Memorandum from Gary Mulgrew, Managing Director, RBS, to Campsie Directors, *et al.*, Aug. 20, 1999, at RBS 3030456 (the \$14 million increase "was important as it was part of Enron's fairness calculations for the value they passed to the partnership") [RBS 3030454 – RBS 3030460].

¹⁹⁶ See Fastow Letter to LJM1 Limited Partners, at 1; *see also* Amended and Restated \$14,000,000 Limited Recourse Promissory Note.

¹⁹⁷ See Lock-Up Agreement; *see also* July 28, 1999 Marino Email. As noted above, the Lock-Up Agreement, which contains a two-year restriction on hedging, appears to have been executed after the Original Lock-Up Agreement, which contains a one-year restriction.

¹⁹⁸ On August 13, 1999, PWC delivered a copy of its fairness analysis as a precursor to the delivery of the Fairness Opinion four days later. *See* Project Martin Fairness Analysis Draft Presentation by PWC, Aug. 13, 1999 (the "PWC Fairness Analysis") [AB000154939-AB000154981]; Fairness Opinion. In the Fairness Analysis, PWC noted that "Bear Stearns would require a 20% to 40% [illiquidity] discount for four year restricted stock." *Id.* at 20. PWC also noted that "[i]n Enron Treasury experience, >30% discount is appropriate for 2 to 4 year [restricted stock]." *Id.*; *see also* Project Martin Deal Memorandum from Global Finance Tax, undated, at 1 (regarding the LJM1/Rhythms Hedging Transaction) [AB000456678-AB000456680]. *See also* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 16-18.

¹⁹⁹ Mandanas Sworn Statement, at 474, line 14 – 480, line 23. When asked whether increasing the amount of this indebtedness, and therefore the amount of the liabilities of LJM1, would reduce the value of CSFB's interest in LJM, Mandanas testified that this value would depend on the value of all of the assets and liabilities of LJM1, including the Enron stock held by LJM1. *See* Mandanas Sworn Statement, at 476, line 11 – 480, line 23.

On August 17, 1999, PWC delivered the Fairness Opinion on the exchange of the Enron shares in return for the LJM1 Notes and the LJM1/Rhythms Hedging Transaction.²⁰⁰ PWC opined that the range of value for the LJM1/Rhythms Hedging Transaction and LJM1 Notes was between \$164 million and \$204 million and the range of value for the Enron shares was between \$170 million and \$223 million, and concluded that the consideration received by Enron was fair from a financial perspective.²⁰¹

The SAILS Transaction

When CSFB made its investment in LJM1, documents were in place that prohibited: (i) Fastow from sharing in distributions resulting from the Enron stock that was transferred to LJM1 or proceeds resulting from that stock; (ii) LJM1 from directly or indirectly hedging the Enron stock it held for two years;²⁰² and (iii) LJM1 from selling or otherwise transferring that stock for four years. CSFB was aware of these restrictions at the time²⁰³ and thus was concerned that the value of its LJM1 investment (resulting from the amount by which the value of the Enron stock exceeded LJM1's liabilities) was at risk if Enron's stock price were to fall.²⁰⁴ Even before LJM1 was funded, CSFB

²⁰⁰ See Fairness Opinion.

²⁰¹ *Id.* at 3.

²⁰² When it was amended from its original form and became a two-year prohibition, Ivers signed his agreement to the amendment in his capacity as a representative of ERNB. Fastow Letter to LJM1 Limited Partners, at 2.

²⁰³ Mandanas Sworn Statement, at 62, line 5 – 64, line 19, and 336, lines 5-10.

²⁰⁴ Mandanas testified that the SAILS transaction was done “so that we could realize a return on the asset,” the asset being the Enron stock. Mandanas Sworn Statement, at 41, line 21 – 42, line 6. When asked if CSFB was concerned that the value of the Enron stock in LJM1 would deteriorate, Mandanas testified that she knew “Rick Ivers believed that there was downside risk in the stock” Mandanas Sworn Statement, at 504, line 17 – 505, line 2. Nevertheless, Mandanas also testified that “I don’t know that there was a concern. However, anytime you own shares of a company, it could go up. It could go down.” Mandanas Sworn Statement, at 55, lines 20-25. See also Materials Prepared for Discussion LJM Cayman, L.P., Aug. 5, 1999 (the “Aug. 5, 1999 LJM1 Presentation”), at 1 (describing a proposed financing structure which hedges the price risk associated with the Enron shares contributed to LJM1) [PSI00054754-PSI00054772]. See also July 8 Memorandum, at CSFBCO 005522747 (“Our return is dependent on the Enron stock price.”).

therefore began to search for a way to hedge its interest in the Enron stock in LJM1 to protect the gain that it stood to realize.²⁰⁵

The vehicle selected by CSFB to hedge its position was a CSFB-developed transaction known as SAILS. CSFB developed SAILS to permit its clients to monetize or hedge securities that were otherwise subject to transfer restrictions.²⁰⁶ The CSFB employees selected to implement the hedging transaction, and thereafter to monitor CSFB's investment in LJM1, were Rick Ivers ("Ivers") and Mary Beth Mandanas ("Mandanas").²⁰⁷ CSFB understood that LJM1's other limited partner, RBS, was presenting a competing proposal to hedge its interest in the Enron shares in LJM1.²⁰⁸

On August 5, 1999, CSFB made a presentation in London to LJM1 and RBS regarding the proposed SAILS transaction, noting it that would allow the limited partners of LJM1 to lock-in a guaranteed minimum return on the shares of Enron stock held by LJM1, while still allowing the limited partners of LJM1 to participate in up to 10% of any appreciation in that stock.²⁰⁹ The SAILS transaction, as proposed, would also result in a payment to LJM1, thereby enabling it to repay the LJM1 Notes to Enron and creating

²⁰⁵ See Mandanas Sworn Statement, at 39, line 3 – 43, line 3; Sworn Statement of Richard Ivers, former Managing Director, CSFB, to Frank G. Smith, A&B, Apr. 24, 2003 (the "Ivers Sworn Statement"), at 44, line 6 – 49, line 15. As early as a week after the effective date of the creation of LJM1 and two days before it funded, CSFB was contemplating its alternatives for hedging the price risk on the Enron shares. See July 6, 1999 Marino Email.

²⁰⁶ See Marino Sworn Statement, at 34, line 4 – 37, line 3.

²⁰⁷ See Email from Mary Beth Mandanas, Associate, CSFB, to Osmar Abib, Managing Director, CSFB, *et al.*, Sept. 29, 1999, regarding SAILS transaction (the "Sept. 29, 1999 Mandanas Email") [CSFBCO 000054522].

²⁰⁸ See Email from Shad Stastney, Vice President, CSFB, to Mary Beth Mandanas, Associate, Carmen Marino, Managing Director, and Tim Bock, Managing Director, CSFB, Aug. 25, 1999, regarding RBS's "interest in hedging their own portion of the underlying" [CSFBCO 000054805 – CSFBCO 000054806]; Ivers Sworn Statement, at 64, line 17 – 66, line 5; Mandanas Sworn Statement, at 81, line 23 – 82, line 21.

²⁰⁹ See Aug. 5, 1999 LJM1 Presentation, at 1, 4, 8, and 14 (providing an overview of the proposed Private SAILS transaction) [PSI00054754-PSI00054772].

significant additional funds for LJM1 to invest, which in turn provided increased management fees to Fastow.²¹⁰ This was presumably a highly attractive proposition to Fastow for at least two reasons. First, his management fee was computed based on assets under management (other than the Enron shares), which would be increased by the additional amount available to be invested. Second, the parties treated the additional funds, together with funds that LJM1 would receive from RBS as a result of a monetization transaction completed by RBS, not as proceeds resulting from the Enron stock (in which Fastow could not participate), but as additional capital contributions in which Fastow could share.²¹¹ In other words, while Fastow could only invest and profit from \$16 million when LJM1 closed, after SAILS and the RBS transaction, he could invest and profit from what would eventually be \$41 million (the \$16 million from the initial partnership investments plus the additional \$25 million that was available to LJM1 as a result of the SAILS transaction and the RBS transaction, after repayment of the \$64 million LJM1 Notes to Enron and the \$25 million bridge loan from CSFB).

The SAILS transaction was delayed, however, due to “complex securities law issues.”²¹² This delay threatened to push the closing of the SAILS transaction past the end of the third quarter. Fastow, however, needed the funds from SAILS so LJM1 could make an investment in Osprey certificates issued in connection with the Whitewing transaction and to purchase the 13% interest in Cuiaba that would allow Enron to deconsolidate the entity, thereby allowing: (i) \$200 million of debt to be moved off

²¹⁰ *Id.* at 8-9, and 14.

²¹¹ Although Mandanas testified that the increased liquidity resulting from the SAILS transaction would not permit Fastow to share in assets or proceeds resulting from assets in which he would not otherwise be permitted to share, she also testified that all of the partners, including the general partner, would benefit from the increased liquidity. Mandanas Sworn Statement, at 492, line 19 – 493, line 14.

²¹² See Sept. 29, 1999 Mandanas Email.

Enron's balance sheet; and (ii) a gas supply contract to the plant to be marked to market.²¹³ To accommodate Fastow, CSFB provided a \$25 million bridge loan to LJM1 so that LJM1 could purchase the Osprey certificates and the interest in Cuiaba from Enron pending the SAILS closing.²¹⁴

The SAILS transaction required that CSFB's proportionate share of LJM1's restricted Enron stock be distributed to CSFB and be available for resale at the maturity of the forward contract underlying the SAILS transaction. As originally contemplated, the SAILS transaction would have required the registration of the Enron shares that were to be hedged as part of the SAILS transaction.²¹⁵ Enron rejected CSFB's proposal and refused to allow the Enron shares that were held by LJM1 (and still subject to the Lock-Up Agreement) to be registered.²¹⁶

CSFB therefore modified the SAILS structure to call for LJM1 to transfer the Enron shares into escrow until the lock up period lapsed or Enron agreed to lift the restrictions. On November 29, 1999, LJM1 distributed into escrow accounts for each of the limited partners 1,775,000 shares of Enron stock (worth approximately \$137 million) that had been used to capitalize LJM1 at formation. In return, RBS and CSFB agreed

²¹³ *Id.*; see also Memorandum from Rick Ivers, Managing Director, and Mary Beth Mandanas, Associate, CSFB, to David Maletta, Managing Director, CSFB, Sept. 13, 1999, regarding LJM Cayman \$25 million bridge loan [CSFBCO 000010772-CSFBCO 000010773].

²¹⁴ See Section 4, CSFB LJM1 Loan Agreement; CSFB LJM1 Limited Recourse Promissory Note; Sept. 27, 1999 Notice of Borrowing; Sept. 17, 1999 Notice of Borrowing. The proceeds of this loan were used by LJM1 to purchase \$15 million of Osprey Trust certificates, as described above, and to purchase a 13% ownership interest in Cuiaba. See Sept. 29, 1999 Mandanas Email ("The purpose of the loan was to provide funds so that Andy could invest in Condor . . . and a Brazilian power plant"). Subsequent CSFB descriptions of the SAILS transaction reflect that the \$25 million bridge loan was also to be repaid from the proceeds of the SAILS transaction. See, e.g., LJM Cayman SAILS Transaction Schematic, Oct. 11, 1999 ("Step 3" includes "Complete SAILS transaction (\$117MM net proceeds)" and "Repay ENE note and CSFB loan") [CSFBCO 000008151].

²¹⁵ Email from Steve Simonte, CSFB, to David Maletta, Managing Director, CSFB, Oct. 21, 1999 [CSFBCO 005046348].

²¹⁶ *Id.*

that they would each make equal “Additional Capital Contributions” sufficient to infuse LJM1 with enough cash to pay off \$64 million in LJM1 Notes, as well as the \$25 million bridge loan that CSFB had made to the partnership.²¹⁷ LJM1’s commitment to escrow the Enron stock was a condition precedent to the limited partners’ obligation to make the cash infusion.²¹⁸

The SAILS transaction, as closed in December 1999, is detailed in Appendix L (Related Party Transactions) to the Examiner’s Second Interim Report. The transaction was based on a forward sale of CSFB’s share of the Enron stock held in LJM1. This forward sale generated proceeds of \$57.1 million. From these proceeds, CSFB retained \$12 million (thereby generating a \$4.5 million or 120% annual return in only six months on its \$7.5 million investment) and contributed the remaining \$45.1 million to LJM1, which used the proceeds (together with approximately the same amount from a contemporaneous RBS monetization transaction) to repay both the \$64 million LJM1 Notes and the \$25 million CSFB bridge loan.

Importantly, the parties treated the \$90 million in funds that CSFB and RBS contributed to LJM1 not as proceeds resulting from the Enron shares in which Fastow could not participate, but instead as additional capital contributions that Fastow could invest and participate in without restriction.²¹⁹ The net result of the receipt of the \$25 million bridge loan from CSFB and the additional \$90 million characterized as capital

²¹⁷ Sections 1.6 and 1.7, LJM Cayman, L.P. Second Amended and Restated Agreement of Limited Partnership, Nov. 29, 1999 (the “Amended Partnership Agreement”) [CSFBCO 000008615-CSFBCO 000008657]. The limited partners’ obligation to make the “Additional Capital Contributions” was contingent upon “the prior performance of the covenants in the first sentence of Section 1.7 [*i.e.*, the requirement that LJM1 transfer the shares into escrow].” *Id.*

²¹⁸ *See id.*

²¹⁹ *See* Sections 2.1 and 4.2, Partnership Agreement.

contributions and the repayment of the CSFB bridge loan and the LJM1 Notes was that LJM1 had \$25 million in additional funds available to it in which Fastow could invest and participate. As noted in an earlier email from David Bermingham of RBS to various colleagues, “this was NEVER the intention of the original deal.”²²⁰

The SAILS transaction, including the transfer of the Enron shares into escrow,²²¹ required Fastow’s consent as the general partner²²² and Enron’s consent under the Lock-Up Agreement.²²³ Although Causey executed a consent to the SAILS transaction on behalf of Enron,²²⁴ the Examiner has found no evidence that CSFB sought any assurances that the SAILS transaction had been considered or approved by the Enron Board or by Enron’s outside accountants or lawyers, as it had in connection with the original LJM1 closing.

Thus, the SAILS transaction achieved indirectly what was directly prohibited by the Amended Partnership Agreement in order to obtain the approval of the Enron Board. Through the SAILS transaction, the Enron stock in LJM1 was monetized and Fastow obtained a pecuniary interest in proceeds resulting from those shares.²²⁵ In summary, a fact-finder could conclude that CSFB, through the SAILS transaction, participated in

²²⁰ Email from David Bermingham, RBS, to Kevin Howard, *et al.*, RBS, Aug. 6, 1999, at 1 (emphasis in original) [RBS 4016350-RBS 4016351].

²²¹ Escrow Agreement between LJM Cayman, ERNB, Credit Suisse Financial Products (“CSFP”) and CSFB, Nov. 29, 1999 (the “Escrow Agreement”) [CSFBCO 000008661-CSFBCO 000008674].

²²² *Id.* at CSFBCO 00008671.

²²³ Lock-Up Agreement; Mandanas Sworn Statement, at 532, lines 3-14.

²²⁴ Acknowledgment and Agreement between Enron and CSFP, Nov. 29, 1999 (the “Enron SAILS Consent”) [CSFBCO 000008676-CSFBCO 000008679].

²²⁵ CSFB was aware that the SAILS transaction violated the hedging restrictions and could not be completed without Enron’s consent. *See* Mandanas Sworn Statement, at 516, lines 15-25 and 529, line 20 – 532, line 14. In addition, there were numerous CSFB internal meetings regarding the reputational risks associated with SAILS. *Id.* at 511, line 24 – 512, line 12. However, Mandanas testified that all of these conversations occurred in the presence of counsel and were therefore in CSFB’s view privileged communications. *Id.* at 512, lines 13-25.

enabling Fastow to receive funds derived from the value of the Enron stock held in LJM1 in violation of Fastow's representations to the Enron Board in connection with its approval of LJM1²²⁶ and contrary to the related terms of the Amended Partnership Agreement.²²⁷

On December 8, 1999, Mandanas reported to senior CSFB bankers that ERNB had completed the SAILS transaction.²²⁸ If LJM1 were to be liquidated immediately, Mandanas estimated the return to CSFB and RBS from their original \$7.5 million investments in LJM1 would be an additional \$12.7 million each, while the return on Fastow's \$1 million investment would be more than \$17 million in addition to the payment of \$5.3 million of management fees.²²⁹ Mandanas concluded her report by noting that this transaction "has provided a significant return to CSFB and has further enhanced our relationship with Andy Fastow, CFO of Enron Corp."²³⁰ For his part, Ivers, Mandanas's immediate superior, informed the same senior CSFB bankers that he estimated present and projected profits from CSFB's \$7.5 million investment in LJM1 to be between \$22.5 million and \$27.6 million. He praised Mandanas for doing "an excellent job in the harrowingly complex execution of this deal."²³¹

²²⁶ Enron Board Minutes for Special Meeting, June 28, 1999, at 6.

²²⁷ See Section 4.2, Amended Partnership Agreement.

²²⁸ Dec. 8, 1999 Mandanas Memorandum, at CSFBCO 000009613.

²²⁹ *Id.* at CSFBCO 000009614.

²³⁰ *Id.*

²³¹ Memorandum from Richard Ivers, Managing Director, CSFB, to Chuck Ward, Co-Head of Investment Banking, Adebayo Ogunlesi, Head of Energy Group, *et al.*, CSFB, Dec. 9, 1999, regarding LJM update [CSFBCO 000010750]. In September 2000, the affiliate of CSFB that was a party to the SAILS forward contracts assigned its right under these contracts, amended certain terms of these contracts and paid ERNB \$5.4 million. In October 2001, LJM1 distributed 1,775,133 shares of Enron stock to ERNB. See Second Interim Report, Appendix L (Related Party Transactions), at 31-32.

Sale of CSFB's Interest in Swap Sub

In early 2000, Fastow, Kopper and three of the RBS bankers involved in LJM1 allegedly devised a plan to benefit personally from the April 2000 termination of the LJM1/Rhythms Hedging Transaction in which Enron would make additional payments to Swap Sub.²³² To carry out their plan, Fastow and Kopper formed Southampton, L.P. in March 2000 to acquire ownership of Swap Sub and its parent entity, Swap Co.²³³ Certain other Enron and LJM2 employees, including Michael Hinds, Kristina Mordaunt, Glisan, Anne Yaeger-Patel and Kathy Lynn, were also included in the transaction.²³⁴

At the time of the sale, Swap Sub's only asset, aside from approximately \$3.75 million in cash, was the value of the Enron stock it held offset by the value of the LJM1/Rhythms Hedging Transaction.²³⁵ Because the price of the Rhythms stock was so volatile, CSFB could not value the Rhythms stock and therefore could not value its indirect investment in Swap Sub with any precision.²³⁶ Nevertheless, after Southampton

²³² The termination of the LJM1/Rhythms Hedging Transaction is described in the Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 20-24. RBS's role in the sale of Swap Sub and Swap Co. to Southampton is described in Appendix E (Role of RBS and its Affiliates) to the Report.

²³³ Section 1.3, Southampton Place, L.P. Amended and Restated Agreement of Limited Partnership, Mar. 20, 2000 (the "SH Partnership Agreement") [AB000002941-AB000002968]. The Examiner has found no evidence that the existence of Southampton, L.P. or the identity of its owners and their economic interests were disclosed to or approved by the Enron Board.

²³⁴ Cooperation Agreement between the Enron Task Force and Kopper (the "Cooperation Agreement"), at 11, *United States v. Kopper*, No. 4:02-cr-00560 (S.D. Tex. Filed Aug. 21, 2002), available at <http://news.findlaw.com/hdocs/docs/enron/uskopper82102pagr.pdf>.

²³⁵ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 42.

²³⁶ On November 11, 1999, in response to a request from Fastow, CSFB attempted to place a value on the LJM1/Rhythms Hedging Transaction. Fastow's management fee was to be calculated by reference to assets in LJM1 other than the shares of Enron stock transferred to LJM1 or proceeds resulting from those shares. Section 5.2, Partnership Agreement. CSFB's Shad Stastney reported that there was "no 'fair market value' for this put, since we would not purchase the put at any price ..." and that any value assigned to the "put" was "A THEORETICAL VALUE ONLY." Email from Shad Stastney, Vice President, CSFB, to Mary Beth Mandanas, Associate, CSFB, Nov. 11, 1999, at 1 (emphasis in original) [CSFBCO 000056440-CSFBCO 000056441]. A second CSFB employee, Richard Han, confirmed Stastney's findings that there was no fair market value on the put and that any value assigned was theoretical only. Email from Richard Han, CSFB, to Mary Beth Mandanas, Associate, CSFB, Nov. 16, 1999, at 1 [CSFBCO

offered to buy Swap Sub, Ivers and Mandanas undertook to value CSFB's interest in Swap Sub. They informed senior bankers at CSFB that for book purposes Swap Sub was worth negative \$25.4 million but that as of mid-March 2000, it had a market value of \$5.8 million, thus making CSFB's half interest worth just under \$3.0 million.²³⁷

The transaction was negotiated between Ivers (on behalf of CSFB) and Fastow (on behalf of LJM1) with apparently no one negotiating on behalf of the buyer, Southampton,²³⁸ and yielded \$10.0 million to CSFB, more than three times the fair market value it had assigned to its interest in Swap Sub.

CSFB consulted with both "internal and external counsel" regarding this transaction.²³⁹ CSFB's outside counsel contacted Causey to inquire about the sale of Swap Sub to "entities that would appear to have some affiliation with other employees of

000723168-CSFBO 000723169]. Shortly after the SAILS transaction closed, RBS confirmed to CSFB that it could not see how Swap Sub would ever have a positive value and that, for accounting purposes, RBS carried Swap Sub at "zero." Email from David Bermingham, RBS, to Mary Beth Mandanas, Associate, CSFB, Dec. 11, 1999, at 1 [CSFBCO 000058675-CSFBCO 000058676]. Early in 2000, CSFB and RBS exchanged emails in which they each acknowledged that LJM's most recent quarterly financials (for the third quarter of 1999) indicated that Swap Sub actually had a negative value of about \$25 million. Email from Mary Beth Mandanas, Vice President, CSFB, to David Bermingham, RBS, Jan. 5, 2000 [CSFBCO 000054702-CSFBCO 000054703].

²³⁷ Memorandum from Rick Ivers, Managing Director, and Mary Beth Mandanas, Vice President, CSFB, to Chuck Ward, Co-Head of Investment Banking, *et al.*, CSFB, Mar. 20, 2000, regarding proposed sale of LJM Swap Sub interests to Southampton, Ltd. (the "Mar. 20, 2000 Memorandum"), at CSFBCO 005718432 [CSFBCO 005718431-CSFBCO 005718432]. In another memorandum dated the following day, Mandanas reflected the same \$5.8 million market value, but also included an additional analysis which relied on different assumptions, *e.g.*, that CSFB would retain its interests in Swap Sub until year end 2000. Relying on this assumption, and assuming a higher price per share for the Rhythms stock, Mandanas was able to reflect a "Potential Market Value" of \$38.8 million (of which CSFB's share would be approximately \$19.4 million). Memorandum from Mary Beth Mandanas, Vice President, CSFB, to Neil Radey, *et al.*, CSFB, Mar. 21, 2000, regarding analysis of the value of Swap Sub, at CSFBCO 000121337 [CSFBCO 000121337-CSFBCO 000121338]. Given that Mandanas had authored an email on March 20, 2000 that indicated the transaction was to close on March 22, 2000, her assumption that CSFB would retain its interests in Swap Sub until the end of 2000 does not appear to have been valid. Email from Mary Beth Mandanas, Vice President, CSFB, to Tim Barney and Michael Gilligan, CSFB, Mar. 20, 2000 (the "Mar. 20, 2000 Mandanas Email") [CSFBCO 000654808]. Ivers testified that, given the volatility of Swap Sub's value, "10 million was a fair number for half of it." Ivers Sworn Statement, at 80, line 6 – 81, line 17.

²³⁸ Mar. 20, 2000 Mandanas Email.

²³⁹ *Id.*

Enron.”²⁴⁰ In response, Causey advised CSFB’s counsel that “no consent of Enron [was] necessary for [the transaction]” and that Enron management “was aware of such transactions and approved of them” without the need for any “actions on Enron’s part.”²⁴¹ CSFB’s outside counsel memorialized his discussion with Causey in a file memorandum, which he forwarded to CSFB.²⁴² No further diligence was conducted.²⁴³

Thereafter, LJM1 distributed its interests in Swap Sub and Swap Co. to CSFB and RBS as the limited partners in LJM1.²⁴⁴ Concurrently with that distribution, CSFB and RBS each sold their Swap Sub and Swap Co. interests to Southampton, L.P.²⁴⁵ As noted above, ERNB received \$10 million for the sale of its Swap Sub and Swap Co. interests to Southampton, L.P.²⁴⁶ As detailed in Appendix L (Related Party Transactions) to the

²⁴⁰ Letter from James J. Clark, Cahill Gordon & Reindel LLP, to Mary Beth Mandanas, Vice President, CSFB, Mar. 24, 2000, at CSFBCO 000121347 (transmitting a March 20, 2000 memorandum prepared by Clark) [CSFBCO 000121346-CSFBCO 000121347].

²⁴¹ *Id.*

²⁴² *Id.*

²⁴³ During the course of the examination, CSFB informed the Examiner’s counsel that it intended to waive the attorney-client privilege with respect to the sale of Swap Sub to Southampton. CSFB asserts that this waiver is limited to the specific transaction and does not extend to legal advice it received in connection with any other aspect of its involvement with LJM1.

²⁴⁴ See Mar. 20, 2000 Memorandum, at CSFBCO 0005718431; Memorandum to Files from Michele Wu, PWC, Mar. 7, 2001, regarding LJM Cayman, L.P. distribution in excess of basis [PSI00232176-PSI00232180]; LJM Cayman, L.P. Analysis of Accounts, Dec. 31, 2000 [PSI00124655]; LJM Cayman L.P. Draft Partnership Separate Item Allocation, as of Dec. 31, 1999 [AB1128 00499-AB1128 00502].

²⁴⁵ See Mar. 20, 2000 Memorandum, at CSFBCO 0005718431.

²⁴⁶ See Section 1, Draft Purchase Agreement among ERNB, Southampton L.P., LJM Partners, and LJM Cayman LP, Mar. 17, 2000 [PSI00054774-PSI00054781]; Mar. 20, 2000 Memorandum, at CSFBCO 0005718431. On March 23, 2000, Swap Sub borrowed \$10 million from Enron at an annual interest rate of 6.3% under a promissory note dated March 23, 2000. See Promissory Note in the principal amount of \$10 million by LJM Swap Sub in favor of Enron Corp., Mar. 23, 2000 (the “Swap Sub Note”) [AB1128 00495]. The Swap Sub Note became due and payable on April 28, 2000. *Id.* The Examiner believes this \$10 million was used to fund the purchase by Southampton, L.P. of ERNB’s interests in Swap Sub and its parent entity, Swap Co. See Memorandum to Enron Files from Reed M. Brodsky, Wilmer, Cutler & Pickering, Dec. 22, 2001 (the “Causey Memorandum”), at 9 (regarding Third Interview of Richard Causey conducted in connection with the Powers Committee’s investigation of certain of the Related Party Transactions) [AB000001206-AB000001219]. As noted above, Swap Sub may have borrowed the \$10 million from Enron under the Swap Sub Note to purchase ERNB’s interests in Swap Sub and Swap Co., which was repaid in connection with the termination of the LJM1/Rhythms Hedging Transaction. See

Second Interim Report, the unwinding of Swap Sub, which by CSFB's own calculations had a market value of \$5.8 million, also yielded \$1.0 million to RBS and \$19 million to Fastow, his colleagues and the RBS bankers.

Additional LJM1 Distributions

On July 14, 2000, Fastow declared an LJM1 distribution. The distribution transferred \$17.9 million to Fastow himself and \$5.9 million to each of CSFB and RBS.²⁴⁷ The Examiner has concluded that Fastow's ability to distribute \$17.9 million to himself at this time was a consequence of the payments made to LJM1 by CSFB and RBS as part of the SAILS transaction and RBS's hedging transaction, respectively. Fastow, in this manner, derived personal profit from the transfer (into escrow) by LJM1 of the Enron shares, thus, contradicting his representations to the Enron Board, as well as his contractual agreement in the Amended Partnership Agreement that he could not so profit.

In July 2001, Fastow sold his general partnership interests in LJM1 and LJM2 to Kopper.²⁴⁸ To finance the purchase of those interests, Kopper requested that CSFB

Letter Agreement from Enron Corp. to LJM Swap Sub, L.P., Mar. 22, 2000, regarding the termination of the LJM1/Rhythms Hedging Transaction [AB000065509-AB000065511].

²⁴⁷ LJM Cayman, L.P. Analysis of Accounts, Nov. 16, 2000 (the "November 16, 2000 LJM Cayman Account Analysis") [PSI00124659-PSI00124660]; LJM Cayman Wire Transfer Request to LJM2 Capital Management, L.P., July 14, 2000 ("LJM Cayman Distribution" in the amount of \$17,948,794.68) (the "July 14, 2000 Wire Transfer to LJM2 Capital Management, L.P.") [PSI00133904]; LJM Cayman Wire Transfer Request to Coutts (Cayman) Limited, July 14, 2000 ("LJM Cayman Distribution" in the amount of \$5,898,438.64) [PSI00133905]; LJM Cayman Wire Transfer Request to CSFB, Nassau Branch, July 14, 2000 ("LJM Cayman Distribution" in the amount of \$5,898,438.64) [PSI00133906].

²⁴⁸ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 35. Abib testified that:

[A]round this time Mr. Fastow's responsibilities changed; and, in addition to being the chief financial officer of Enron, he, also – he acquired the corporate development function at Enron as well, or what we've referred to previously as the M&A function. And I think – as he explained to us, given that he was going to be responsible for the purchase and sale of assets and transactions that related to those type of activities, that the

provide him with a \$14.5 million loan.²⁴⁹ One possible source of funds for the repayment of the loan to Kopper would be distributions that he would receive from LJM1 upon the sale of LJM1's last remaining investment (its interest in Cuiaba) to Enron.²⁵⁰ CSFB understood that due to increasingly complex disclosure issues associated with Fastow's conflict of interest, LJM1 and Enron were not to enter into an agreement for such a sale before Fastow had disposed of his general partnership interest in LJM1. CSFB also understood, however, that there was a "verbal agreement" between Enron and LJM1 for the sale at a price of \$13.8 million after Fastow had disposed of his interest in LJM1.²⁵¹

As described above, Enron ultimately purchased LJM1's Cuiaba investment for \$13.7 million on August 15, 2001²⁵² and also redeemed certain preference shares from LJM1 for approximately \$800,000, resulting in an aggregate payment of approximately \$14.5 million to LJM1.²⁵³ The general partner received \$7.3 million of this amount and \$2.7 million was distributed to each limited partner in LJM1.²⁵⁴ Enron repurchased

potential for conflict would be greater and that there had been some determination that it made sense for him to sell his general partner position in the LJM entities.

Abib Sworn Statement, at 150, line 14 - 151, line 3.

²⁴⁹ Memorandum to Michael Arpey and John Moriarty, Managing Director, CSFB, from Adebayo Ogunlesi, Head of Energy Group, Mary Beth Mandanas, Vice President, and Jaime Casas, Associate, CSFB, July 23, 2001 (Ex. 180 to Mandanas Sworn Statement) ("Kopper Credit Request"), at 1 [CSFBCO 005718492-CSFBCO 005718500]. CSFB did not provide the requested financing to Kopper. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 35.

²⁵⁰ Kopper Credit Request, at 4.

²⁵¹ *Id.*

²⁵² *See* EPE Holding Ltd. Transfer of Share from LJM Brazil Co. to EPE Holdings Ltd., Aug. 15, 2001 [AB000153819-AB000153820].

²⁵³ *See* Second Interim Report, Annex 3 to Appendix L (Related Party Transactions), at 7-8.

²⁵⁴ *See id.*

LJM1's Cuiaba interests at a premium,²⁵⁵ even though the facts indicate that the market value of the interests actually decreased during LJM1's ownership period.²⁵⁶

LJM1 was liquidated on October 11, 2001.²⁵⁷ Upon the liquidation of the partnership, CSFB received almost \$2.8 million. Thus, for its investment of \$7.5 million in LJM1 in July of 1999, CSFB received a total of more than \$38 million in slightly more than two years.

Provision Of Cash To Participating Enron Insiders Through LJM1

The transactions involving LJM1 provided Enron insiders, including Fastow and Kopper, with millions of dollars, primarily through cash distributions and management fees. These included the following:

- Fastow received at least \$18 million in distributions²⁵⁸ and \$2.6 million in management fees from LJM1;²⁵⁹
- Kopper received at least \$7.3 million in distributions²⁶⁰ and \$178,000 in management fees from LJM1;²⁶¹

²⁵⁵ See *id.* at 16-17.

²⁵⁶ See *id.*

²⁵⁷ LJM Cayman, L.P. Written Consent of the Sole Limited Partners to Dissolve Partnership, Oct. 11, 2001 [PSI00198499-PSI00198500].

²⁵⁸ See November 16, 2000 LJM Cayman Account Analysis; July 14, 2000 Wire Transfer to LJM2 Capital Management, L.P.

²⁵⁹ See Wire Transfer Request to LJM Management, LLC, Aug. 11, 1999 (management fee of \$550,000) [PSI00134211]; LJM Cayman, L.P. Wire Transfer Request to LJM Management, LLC, Feb. 11, 2000 (management fee of \$779,671") [PSI00133875]; MM Fee Calculation [PSI00133876]; LJM Cayman Wire Transfer Request to LJM Management, LP, July 7, 2000 (management fee of \$801,999) [PSI00133901]; MM Fee Calculation [PSI00133902]; Dec. 31, 2000, LJM Cayman Account Analysis; MM Fee Calculation (for Jan. 1, 2001 to June 30, 2001) [PSI00133996]; Email from Joyce Tang, LJM, to Kevin Howard, Managing Director, RBS, Jan. 17, 2001 (indicating that the management fee due for the 6-month period ending June 30, 2001 is \$505,949) [PSI00133997]. In addition to these distributions and management fees, Fastow received \$15.5 million in cash and a house valued at \$850,000 from Kopper in connection with Fastow's sale of his LJM1 and LJM2 interests to Kopper. See Second Interim Report, Appendix L (Related Party Transactions), at 20.

²⁶⁰ LJM Summary of Accounts, Oct. 4, 2001 [PSI00135525].

²⁶¹ *Id.*

- In connection with Enron's termination of the LJM1/Rhythms Hedging Transaction, Kopper and The Fastow Family Foundation each received \$4.5 million on investments of \$25,000 each, and Michael Hinds (an LJM2 employee), Kristina Mordaunt, Glisan, Anne Yaeger-Patel and Kathy Lynn received \$3.3 million in the aggregate on a total investment of \$19,235.²⁶²

B. The CSFB Prepay

Overview

In early December 2000,²⁶³ CSFB completed a Prepay Transaction (the "CSFB Prepay") involving CSFB,²⁶⁴ Morgan Stanley Capital Group Inc. (later replaced by Barclays) and ENA.²⁶⁵ The CSFB Prepay consisted of the familiar circular structure of three swaps:²⁶⁶ one between CSFB and ENA;²⁶⁷ one between CSFB and Morgan

²⁶² Cooperation Agreement, at 11.

²⁶³ Enron's Prepay Transactions tended to close within 30 days of a financial quarter's end. Second Interim Report, Appendix E (Prepay Transactions), at 5.

²⁶⁴ Credit Suisse Financial Products (USA) Inc., a corporate cousin of CSFB and the signing party on the swap documents, was renamed "Credit Suisse First Boston International (USA) Inc.," effective as of Mar. 27, 2000. Certificate of Amendment of Certificate of Incorporation of Credit Suisse Financial Products (USA), Inc., Mar. 7, 2000 [AB1128 00496]; *see also* CSFB's Supplemental Responses.

²⁶⁵ Like the other Prepay Transactions, the CSFB Prepay involved an Enron affiliate, in this case ENA. *See* Second Interim Report, Appendix E (Prepay Transactions), at 10.

²⁶⁶ *See id.* The CSFB Prepay did not, unlike those analyzed in the Examiner's Second Interim Report, involve a conduit entity formed by or at the direction of a participating financial institution. The CSFB Prepay instead involved first Morgan Stanley, then Barclays. In its Administrative Proceeding against Citigroup, the SEC indicated that it sees no distinction between the Prepays entered into by Citigroup that involved an SPE as the conduit entity and those in which another financial institution served as the conduit entity. *See In re Citigroup, Inc.*, Order Instituting a Public Administrative Proceeding Pursuant to Section 21C of the Securities Exchange Commission Act of 1934, Making Findings and Imposing a Cease-And-Desist Order and Other Relief, July 28, 2003 (the "Citigroup Administrative Proceeding"), at 7-8, n.20. The SEC standard is a "should have known" standard, however, which is less stringent than the "actual knowledge" standard analyzed in this Report.

²⁶⁷ Confirmation (Swap) deal No. QH4714.1 between ENA and CSFBi, Dec. 15, 2000 ("Original ENA/CSFB Swap") [AB0911 1965-AB0911 1968].

Stanley;²⁶⁸ and one between ENA and Morgan Stanley.²⁶⁹ Under these swaps, ENA received \$150 million from CSFB at closing²⁷⁰ and was required to repay approximately \$158 million to CSFB in September 2001.²⁷¹ Like the swap transactions in the Yosemite transactions discussed in Appendix E (Prepay Transactions) to the Second Interim Report, the swaps comprising the original CSFB Prepay were financially settled.²⁷² The CSFB Prepay was structured to eliminate the commodity risk by virtue of the offsetting swaps.

In September 2001, rather than repay these original swaps, Enron caused the original swaps to be amended, restated and extended to October 2002.²⁷³ The day before

²⁶⁸ Confirmation between CSFB and Morgan Stanley Capital Group, Inc. (“Original CSFB/MS Swap”), Jan. 9, 2001 [CSFBCO 000128279-CSFBCO 000128282]. Although documents provided by CSFB indicate that a signed confirmation between CSFB and Morgan Stanley existed at one time, CSFB has not produced the document.

²⁶⁹ Confirmation (Swap) deal QH4715.1 between ENA and Morgan Stanley Capital Group, Inc., Dec. 18, 2000 (the “Original ENA/MS Swap”) [AB0252 00881-AB0252 00884].

²⁷⁰ Enron officials have acknowledged that “the amount of any given prepay transaction was determined by the targeted cash flow Enron wanted to show the Rating Agencies.” Second Interim Report, Appendix E (Prepay Transactions), 7. *See also* Sworn Statement of Joseph Michael Deffner, Managing Director, Enron, to William C. Humphreys, Jr., A&B, Apr. 3, 2003, at 291, line 21 – 293, line 21; Email from Osmar Abib, Managing Director, CSFB, to James Fields, Managing Director, CSFB, Aug. 29, 2001 (the “Aug. 29, 2001 Abib Email”) [CSFBCO 000092185]. Enron officials also have acknowledged that the funds generated by the Prepay Transactions were classified as cash flow from operating activities as opposed to cash flow from financing activities. Sworn Statement of William Brown, Managing Director, Enron, to William C. Humphreys, Jr., A&B, Apr. 14-15, 2003, at 45, lines 14-18.

²⁷¹ *See* “Fixed Amount Details,” Original ENA/CSFB Swap, at 2; “Fixed Amount Details,” Original ENA/MS Swap, at 2.

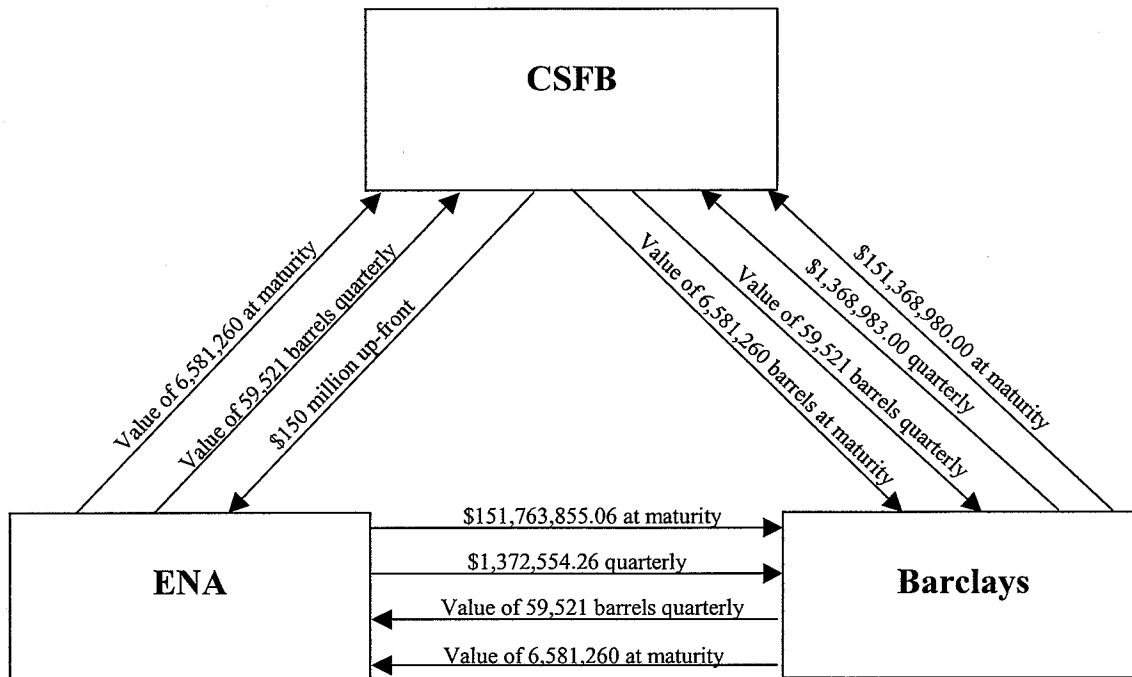
²⁷² *See* Original ENA/CSFB Swap; Original CSFB/MS Swap; Original ENA/MS Swap.

²⁷³ Because these latter swap agreements governed the transaction as of the Petition Date, this analysis refers to them rather than the earlier CSFB-Morgan Stanley-ENA agreements. Instead of Credit Suisse First Boston International (USA) Inc. (“CSFBi (USA)”), CSFB’s Cayman Island branch participated. *See, e.g.*, Confirmation (Swap) between CSFB Cayman Island Branch and ENA, Sept. 27, 2001 (the “Amended CSFB/ENA Swap”) (this copy signed only by CSFB Cayman Island Branch) [CSFBCO 000047317-CSFBCO 000047328]. The September 2001 extension of the CSFB Prepay resulted in the payment of approximately \$153 million to CSFBi (USA) and an advance by the Cayman Island branch of CSFB of approximately \$149 million. As discussed below, all or a portion of this \$153 million payment may be avoided as a preference.

the refinancing closed, Barclays replaced Morgan Stanley, which was apparently dissatisfied with the fees it had received as the conduit in the transaction.²⁷⁴

²⁷⁴ Email from James Moran, Director, CSFB, to Janelle Matharoo, Managing Director, CSFB, Sept. 26, 2001 [PSI00056338].

As of the Petition Date, the CSFB Prepay consisted of the following transfers:



To summarize:

- On the closing date, ENA received \$150 million from CSFB.²⁷⁵
- Quarterly, ENA paid approximately \$1,372,554.26 to Barclays under the ENA/Barclays Swap (which, except for \$3,571.26 retained by Barclays, Barclays then paid to CSFB under the CSFB/Barclays Swap).²⁷⁶

²⁷⁵ Amended CSFB/ENA Swap. For an identical copy of the confirmation, excluding exhibits, that is signed by ENA, see Confirmation (Swap) between CSFB Cayman Island Branch and ENA, Sept. 27, 2001 [CSFBCO 006029715-CSFBCO 006029720].

²⁷⁶ Confirmation (Swap) between ENA and Barclays, Sept. 27, 2001, at (the "ENA/Barclays Swap") [BRC 000005129-BRC 000005133]. The amount retained by Barclays is determined by the difference between the quarterly payment from ENA to Barclays and the quarterly payment from Barclays to CSFB. *See id.*; Confirmation (Swap) between Barclays and CSFB, Cayman Island Branch, Sept. 27, 2001, at CSFBCO 000047267 (the "Barclays/CSFB Swap") [CSFBCO 000047263-CSFBCO 000047274]. Each of the confirmations contemplates that the quantities to be delivered or upon which payments are to be calculated and dates of delivery and payment are to be contained in an exhibit. Although the Examiner is in possession of signed copies of all of three confirmations, only one of the signed confirmations includes the contemplated exhibit. The Examiner has, however, obtained drafts of each of the confirmations that do include such exhibits. The information set forth herein is based on the information contained in those drafts.

- The quarterly payments based on the market price of the specified number of barrels payable among the parties under all three swap agreements effectively cancelled each other out.²⁷⁷
- At maturity, ENA was to pay \$151,763,855 to Barclays under the ENA/Barclays Swap (which, except for \$394,875.60 to be retained by Barclays, Barclays was then to pay to CSFB under the CSFB/Barclays Swap).²⁷⁸
- At maturity, the payments based on the market price of the specified number of barrels payable among the parties under all three swap agreements effectively cancelled each other out.²⁷⁹

With the oil-price-based swaps netted out, the CSFB Prepay thus operated as a loan between CSFB and ENA with no commodity risk to any counterparty.²⁸⁰

The Accounting Effect of the CSFB Prepay

As discussed in the Second Interim Report, Enron accounted for cash received from Prepay Transactions as cash flow from operating activities rather than as cash flow from financing activities, and carried the liabilities under the swap transactions as “price risk management activities” rather than as debt.²⁸¹ This accounting effect permitted Enron to overstate its cash flow from operating activities,²⁸² close a gap between its cash

²⁷⁷ The terms governing these market-price based payments are set forth in the “Floating Amount Details” section of the respective swaps. See Amended CSFB/ENA Swap, at CSBCO 000047318; ENA/Barclays Swap, at BRC 00005130-BRC 00005131; Barclays/CSFB Swap, at CSFBCO 000047264.

²⁷⁸ ENA/Barclays Swap. The amount retained at maturity or cancellation by Barclays is determined by the difference of the final payment from ENA to Barclays and the final payment from Barclays to CSFB. See *id.*; Barclays/CSFB Swap.

²⁷⁹ The terms governing these market-price based payments are set forth in the “Floating Amount Details” section of the respective swaps. See Amended CSFB/ENA Swap, at CSBCO 000047318; ENA/Barclays Swap, at BRC 00005130-BRC 00005131; Barclays/CSFB Swap, at CSFBCO 000047264.

²⁸⁰ Sworn Statement of James Moran, Director, CSFB, by M. Russell Wofford, A&B, April 16 & 17, 2003 and May 8, 2003 (the “Moran Sworn Statement”), at 158, line 21 – 162, line 11.

²⁸¹ Second Interim Report, Appendix E (Prepay Transactions), 24-25.

²⁸² *Id.* at 25 (“any increase in price risk management liabilities, such as a borrowing under a Prepay Transaction, served to increase cash flow from operating activities”).

and reported revenues²⁸³ and disguise debt – all to ensure a better credit rating from the Rating Agencies.²⁸⁴

CSFB's Role and Knowledge of the CSFB Prepay

CSFB came relatively late to the prepay business with Enron.²⁸⁵ At the time of the initial funding of the CSFB Prepay in December 2000, CSFB representatives recognized that the transaction was, in substance, a loan from CSFB to Enron. For example, Ian Emmett, a CSFB employee in London, referred to the CSFB Prepay as an “obvious loan transaction.”²⁸⁶ A CSFB representative wrote in the margin of the September 19, 2001 credit memorandum requesting a renewal of the CSFB Prepay that “it is really a loan to ENE.”²⁸⁷ CSFB further understood that its own assessment of the CSFB Prepay contradicted Enron’s intended accounting treatment of the CSFB Prepay, noting that:

The net effect to ENA is they borrow USD150mm at L+0.75% for 9 months OBS. The net effect for us (the oil book) is we lend USD150mm to ENA . . . The net effect for MS is nothing except the credit on ENA and [CSFB].²⁸⁸

²⁸³ *Id.* at 2.

²⁸⁴ *Id.*

²⁸⁵ The initial CSFB prepay closed in December 2000. *See* Original ENA/CSFB Swap. By then, Enron had participated in prepay for many years with other investment banks and their affiliates. *See* Second Interim Report, Appendix E (Prepay Transactions).

²⁸⁶ Email from Ian Emmett, CSFB, to Steven Wootton, Director, CSFB, Dec. 12, 2000 (the “Dec. 12, 2000 Emmett/Wootton Email”) (“Is it OK for us to be entering into such an ‘obvious’ loan transaction?”) [AB0507 00064]; Email from Ian Emmett, CSFB, to Geoff Smailes, CSFB, Dec. 12, 2000 (the “Dec. 12, 2000 Emmett/Smailes Email”), at 4 (“I am being asked to quote on a structure for Enron that enables Enron to borrow USD that are treated as price risk management rather than debt on balance sheet.”) [CSFBCO 000044022-CSFBCO 000044026]; Email from James Moran, Director, CSFB, to Ian Emmett, CSFB, *et al.*, Dec. 8, 2000 (the “Dec. 8, 2000 Moran Email”) (Ex. 69 to the Moran Sworn Statement) (“the swap is booked in their oil swap book and not treated as debt”) [CSFBCO 000200220]; Moran Sworn Statement, at 174, line 15 - 175, line 2.

²⁸⁷ *See* Sept. 19 Credit Memorandum, at 5.

²⁸⁸ Dec. 12, 2000 Emmett/Smailes Email, at 4.

CSFB's Review of the Prepay

In addition to its regular analysis in connection with extending credit to Enron, CSFB addressed two issues in its review of the CSFB Prepay: (i) the potential reputational risk to CSFB; and (ii) concerns about Enron's accounting for the CSFB Prepay.²⁸⁹

"Reputational Risk." Within its Finance, Accounting and Operations Group, CSFB maintained a "reputational risk" department to "review transactions that could affect [CSFB's] reputation."²⁹⁰ According to CSFB's written guidelines, "accounting-driven" transactions – those entered "to secure a particular accounting treatment" – required reputational risk review.²⁹¹ David Maletta ("Maletta") of CSFB's Credit Risk Management Committee determined, after the credit meeting at which Moran and others presented the proposed transaction, that CSFB's reputational risk experts should review the CSFB Prepay because of its "accounting driven" elements.²⁹²

At Maletta's instruction, Moran described the CSFB Prepay to Marc Steglitz ("Steglitz"), one of CSFB's reputational risk experts.²⁹³ Based on those conversations and others with Steve Wootton ("Wootton"), an in-house lawyer at CSFB,²⁹⁴ CSFB

²⁸⁹ See Dec. 14, 2000 Moran Email; see also Email from Nicolas Tjandramaga, CSFB, to Ian Emmett and Geoff Smailes, CSFB, Dec. 14, 2000, at 2 [CSFBCO 000044052.001-CSFBCO 000044053.001].

²⁹⁰ Moran Sworn Statement, at 170, lines 11-16.

²⁹¹ CSFB Compliance Manual, at 120; Sworn Statement of Steven Wootton, Director, CSFB, to M. Russell Wofford, A&B, May 28, 2003 (the "Wootton Sworn Statement"), at 21, line 17 – 22, line 10. Although the Compliance Manual describing CSFB's Reputational Risk Review Process dates from June 2001, well after these events, Wootton testified that neither CSFB's policies nor his role in this area has changed since these events. *Id.*, at 54, line 13 – 55, line 21.

²⁹² Moran Sworn Statement, at 170, line 24 – 173, line 5.

²⁹³ *Id.* at 172, lines 3-7.

²⁹⁴ Wootton Sworn Statement, at 16, line 22 – 17, line 9. CSFB has waived the attorney-client privilege with respect to documents relating to the CSFB Prepay. Letter from Julie North, Cravath, Swaine & Moore, LLP, to Frank G. Smith, A&B, Apr. 13, 2003 [AB1128 00497-AB1128 00498].

decided to include in the documentation for the CSFB Prepay the firm's "standard representations for accounting-driven transactions" to mitigate any reputational risk.²⁹⁵ These representations included assurances that: (i) Enron had discussed the CSFB Prepay with its external auditors; (ii) those auditors had confirmed that the accounting treatment was appropriate; (iii) Enron's senior management was aware of, familiar with and had approved the CSFB Prepay; (iv) the CSFB Prepay and Enron's accounting therefore were consistent with all applicable laws and regulations; (v) Enron had not relied on CSFB "in respect of the accounting treatment [or] the overall suitability" of the CSFB Prepay; and (vi) the CSFB Prepay, and its accounting and tax treatment, are consistent with regulatory requirements, and Enron "will ensure that such accounting and tax treatment is appropriately reflected, if required, with the proper regulatory authorities in the applicable jurisdiction."²⁹⁶ Steglitz apparently also required that ENA's Treasurer or Chief Financial Officer sign Enron's swap confirmations.²⁹⁷

Evidence suggests that Enron was reluctant to accept the inclusion of the requested representations in the documentation. Shortly after midnight on December 15, 2000, a CSFB employee reported it being "very important" to Enron "that the docs are as standard as possible and DO NOT include any representations on accounting driven

²⁹⁵ Wootton Sworn Statement at 42, lines 17-22 and 46, lines 17-23; *see also* Email from Steven Wootton, Director, CSFB, to Nicolas Tjandramaga and Ian Emmett, CSFB, Dec. 14, 2000 (the "Dec. 14, 2000 Wootton Email"), at 1 ("If this is an accounting-driven transaction, and I had understood before that it is, the Firm's standard representations for accounting driven transactions will presumably be required to be inserted in the confirmations?") [AB0507 00041-AB0507 00042].

²⁹⁶ Email from Steven Wootton, Director, CSFB, to Nicolas Tjandramaga, *et al.*, CSFB, Dec. 15, 2000 [AB0507 00074-0507 00076].

²⁹⁷ Dec. 14, 2000 Moran Email; Email from Steven Wootton, Director, CSFB, to Nicolas Tjandramaga, CSFB, Dec. 14, 2000 [CSFBCO 000044800.001].

transactions.”²⁹⁸ Later that morning, Nicolas Tjandramaga (“Tjandramaga”) reported Wootton and Steglitz as “definitely want[ing] the rep risk stuff in the confirms.”²⁹⁹ By mid-day, Enron appears to have acceded, at least in part, to that desire.³⁰⁰

Later that day, however, Enron and CSFB instead agreed that Enron would provide oral assurances on each of the questions addressed by CSFB’s standard representations, and that CSFB would confirm that fact by letter.³⁰¹ After Steglitz approved the arrangement,³⁰² Treasa Kirby, on Enron’s behalf, provided those oral assurances to Moran, and Moran then asked Wootton to draft the confirming letter.³⁰³ Although Moran thinks that CSFB sent that letter, CSFB has produced a draft, but not a copy of a final version.³⁰⁴ Wootton emphasized in his email forwarding the draft to Moran that the draft was designed to place the “blame” for requiring these assurances on CSFB’s lawyers instead of business people.³⁰⁵

²⁹⁸ Email from Nicolas Tjandramaga, CSFB, to Marc Steglitz, CSFB, Dec. 15, 2000 (the “Dec. 15, 2000 Tjandramaga Email”) [CSFBCO 000044038.001].

²⁹⁹ *Id.* Although Moran has no independent recollection of his communications with Tjandramaga, he believes that “rep risk stuff” refers to the written representations. Moran Sworn Statement, at 225, lines 6-11. *See also id.* at 232, lines 4-5 (“CSFB viewed these six representations as very important”).

³⁰⁰ Email from Nicolas Tjandramaga, CSFB, to James Moran, Director, *et al.*, CSFB, Dec. 15, 2000 (Enron “are principally OK on the 6 points but will DEFINITELY want to make some minor amendments in the wording”) (emphasis in original) [CSFBCO 000044042]. At this point Enron apparently agreed to delay the transaction from Friday, December 15, 2000 until Monday, December 18, 2000. *Id.*

³⁰¹ Moran Sworn Statement, at 235, line 3 - 236, line 11; Wootton Sworn Statement, at 38, lines 5-15.

³⁰² Moran Sworn Statement, at 240, lines 19-24.

³⁰³ *Id.* at 239, lines 4-8.

³⁰⁴ *Id.* at 239, lines 11-12; Wootton suggested text that included the following sentence, “Whilst CSFB’s internal legal and documentation procedures would normally require the additional representations we sent to you, your verbal assurances that the transaction had been passed by Arthur Andersen and otherwise complied with the substance of the representations proved to be much more valuable.” Email from Steve Wootton, Director, CSFB, to James Moran, Director, CSFB, Dec. 15, 2000 (the “Dec. 15, 2000 Wootton Email”) (Ex. 95 to the Moran Deposition) [CSFBCO 006092153].

³⁰⁵ Dec. 15, 2000 Wootton Email; Wootton Sworn Statement, at 55, line 22-57, line 19.

The Conflict Between the Prepay's Economics and Its Accounting. CSFB understood the CSFB Prepay's economic reality.³⁰⁶ Enron employees described the transaction to CSFB employees as involving “quarterly interest payments” and “principal repayment.”³⁰⁷ CSFB called it “an obvious loan transaction.”³⁰⁸ CSFB also understood from the outset of its involvement that Enron accounted for the prepay not as a loan, but as a price risk management liability,³⁰⁹ thus demonstrating that they understood Enron's accounting treatment for the CSFB Prepay differed from its economic reality. On Enron's cash flow statement, “price risk management activities” appear under “cash flow from operating activities,” and nowhere else.³¹⁰ No direct evidence discovered to date by the Examiner confirms that CSFB understood the proceeds from the CSFB Prepay would be recorded as cash flow from operating activities. However, given that CSFB routinely

³⁰⁶ Ian Emmett of CSFB in fact appears to have been familiar enough with earlier prepay transactions involving Enron and other banks to ask why Morgan Stanley, rather than a conduit entity set up by CSFB, was involved at all. Email from Ian Emmett, CSFB, to James Moran, Director, CSFB, Dec. 8, 2000 (the “Dec. 8, 2000 Emmett Email”) [PSI00056835].

³⁰⁷ Email from Treasa Kirby, Enron, to James Moran, Director, CSFB, July 12, 2000, at 1 [CSFBCO 000044715–CSFBCO 000044716].

³⁰⁸ Dec. 12, 2000 Emmett Email; *see also* Email from James Moran, Director, CSFB, to Osmar Abib, Managing Director, CSFB, Dec. 5, 2000 (describing “prepaid oil swap” as “translation-A \$150 [million] loan to ENE”) [CSFBCO 005434585]; Dec. 8, 2000 Moran Email (“The net effect for [Enron] is raising \$150 [million] at [LIBOR] + 75bps for nine months off-balance balance [sic] sheet”); Email from Adrian Cooper, CSFB, to David Maletta, Managing Director, James Moran, Director, and Osmar Abib, Managing Director, CSFB, Dec. 18, 2000 (referring to deal as “a nine month oil-linked loan to Enron”) [CSFBCO 000200002]; Email from Geoff Smailes, CSFB, to Adrian Cooper, CSFB, Sept. 10, 2001 (discussing rollover of “a 150m\$ oil-linked loan to Enron”) [PSI00056248]; Email from Viral Patel, CSFB, to Leonora Daniel, CSFB, Sept. 11, 2001, at 1 (referring to “loan element” of prepay) [CSFBCO 000044147–CSFBCO 000044150].

³⁰⁹ Dec. 8, 2000 Moran Email (“The swap is booked in [Enron's] oil swap book and not treated as debt.”); Moran Sworn Statement, at 173, line 25 – 174, line 9 (before CSFB approved its participation in the CSFB Prepay, “it came out that the transaction would be viewed as a commodities swap and would not appear on their debt line of their balance sheet”); *id.* at 152, lines 9 – 12 (the “three swaps in total are reflected in their price risk management book, which is a shorthanded way of price risk management book for their oil swap book”); *id.* at 174, line 25 – 175, line 2 (“Enron told me how they would book and treat the swap.”).

³¹⁰ *See* Enron 1999 Annual Report, Statement of Cash Flows.

reviewed Enron's financial statements³¹¹ and given that net changes in price risk management activities is a sub-account of cash flow from operating activities, a fact-finder could infer that CSFB understood that Enron accounted for the cash proceeds from the CSFB Prepay as cash flow from operating activities.

C. The Nile FAS 140 Transaction

CSFB participated in three FAS 140 Transactions – Iguana, which closed in December 1999,³¹² Nikita, which closed in September 2001,³¹³ and Nile, which also closed in September 2001. In each of these transactions, CSFB held the 3% equity in the borrower-SPE, and in Iguana and Nile, it also held the debt issued by that entity. The Nikita transaction has been fully discussed in the Prior Reports, particularly Appendix M (FAS 140 Transactions) to the Second Interim Report and Appendix F (Role of Barclays and its Affiliates) to the Third Interim Report. Evidence reviewed by the Examiner with respect to Iguana is not sufficient for the Examiner to reach a conclusion with respect to that transaction. Therefore, only the Nile transaction is discussed herein.

³¹¹ Nearly all of credit approval memoranda prepared by CSFB in connection with its transactions with Enron contain financial data derived from Enron's financial statements. *See, e.g.*, Memorandum from James Moran, Director, CSFB, *et al.* to Credit Risk Management, CSFB, Sept. 8, 1998, regarding Enron interim synthetic lease, at CSFBCO 005423652 [CSFBCO 005423646-CSFBCO 005423653]; Memorandum from James Moran, Director, *et al.*, CSFB, to Credit Committee, CSFB, June 22, 1999, regarding Enron synthetic lease facility, at 3 and 8 [CSFBCO 005703083-CSFBCO 005703091]; Memorandum from James Moran, Director, CSFB, to Robert O'Brien, Chief Credit Officer, David Maletta, Managing Director, and Ed Devine, Managing Director, CSFB, July 15, 1999, regarding Enron \$50 million 364-day letter of credit and \$40 million 364-day revolving credit, at 2, 4-5 [CSFBCO 000718001-CSFBCO 000718008]; Nov. 19, 1999 Credit Memorandum, at CSFBCO 000722568; May 8, 2000 Credit Memorandum, at 3 and 6-8; Nov. 7, 2000 Credit Memorandum, at CSFBCO 000044697; Dec. 11, 2000 Credit Memorandum, at CSFBCO 000044757-CSFBCO 000044758; May 16, 2001 Credit Memorandum, at CSFBCO 005423490; Sept. 19, 2001 Credit Memorandum, at 8 and 15-20; Sept. 24 Credit Memorandum, at 16-21; Oct. 10, 2001 Credit Memorandum, at 14-19.

³¹² CSFB Supplemental Responses.

³¹³ Second Interim Report, Annex 2 to Appendix M (FAS 140 Transactions).

In the Nile transaction, evidence suggests that CSFB received risk protection for its 3% equity³¹⁴ position in the form of the right to put its 3% equity to Enron at par value.³¹⁵ This put prevents the equity from being at risk, which CSFB understood was required for Enron to achieve its desired accounting results.³¹⁶

The Nile Transaction Structure

In Nile, Enron monetized 24.1 million shares of common stock in an Enron subsidiary called ServiceCo Holdings, Inc. (“ServiceCo”), a “national facilities management” company.³¹⁷ Enron, through a subsidiary, contributed the shares to an Asset LLC.³¹⁸ In exchange, the Enron subsidiary received \$25 million in cash from the Asset LLC and 100% of the voting interest in the Asset LLC.³¹⁹ Enron recorded \$22.2 million³²⁰ of cash flow from operating activities, \$2.8 million³²¹ of cash flow from investing activities, and gain of \$18.9 million.³²²

³¹⁴ As explained more fully in the Second Interim Report, SPE Accounting Consolidation Analysis requires that the SPEs comply with the 3% Equity Test in order to avoid consolidation with Enron. Second Interim Report, Appendix B (Accounting Standards).

³¹⁵ Moran has testified that the put was a “fair market value” put. Moran Sworn Statement, at 71, lines 15-19.

³¹⁶ *Id.* at 69, line 23 – 71, line 4.

³¹⁷ See Project Nile/ServiceCo Monetization, Oct. 1, 2001 (the “Project Nile/ServiceCo Monetization”), at AB1128 00097 [AB1128 00092-AB1128 00097].

³¹⁸ Project Nile – FAS 140 Financing Involving EES’ Newco, Nov. 7, 2001 (“Project Nile FAS 140 Financing”), at 2-3 [AB1128 00098-AB1128 00101]. For a description of the role of an Asset LLC in a FAS 140 Transaction, see Second Interim Report, Appendix M (FAS 140 Transactions), *Structure of an Initial Monetization*.

³¹⁹ Section 6.01, Amended and Restated Limited Liability Company Agreement of Pyramid I Asset, LLC [CSFBCO 006052296-CSFBCO 006052337].

³²⁰ Memorandum to Accounting Files from EES Transaction Support, Enron, Sept. 27, 2001, regarding merchant asset financial reporting (the “Enron Sept. 27, 2001 Memorandum to Accounting Files”), at AB0001223391 [AB0001223389-AB0001223391].

³²¹ *Id.*

³²² *Id.*; Schedule of Enron FAS 125/140 & Total Return Swaps, undated [AB1128 00102].

The Asset LLC received the \$25 million from the Sphinx Trust,³²³ an SPE, in exchange for 99.99% of the economic interest in the Asset LLC.³²⁴ CSFB purchased the 3% equity in Sphinx Trust intended to comply with the 3% Equity Test for approximately \$1.0 million³²⁵ and loaned the remaining approximately \$24 million to the Sphinx Trust.³²⁶ The Sphinx Trust entered into a Total Return Swap with ENA³²⁷ pursuant to which ENA agreed to pay amounts equal to principal and interest on the loan that the Sphinx Trust had received from CSFB, and Sphinx Trust agreed to pay ENA all amounts produced by the ServiceCo stock (whether by sale of that stock or otherwise), except for amounts used to repay the equity and a capped return thereon.³²⁸ Enron guaranteed ENA's obligations under this Total Return Swap.³²⁹ A diagram depicting the Nile Transaction's structure appears below:

³²³ Project Nile FAS 140 Financing, at 3; Receipt of Asset LLC, Sept. 28, 2001, at CSFBCO 006052353 [CSFBCO 006052353-CSFBCO 006052356].

³²⁴ Project Nile FAS 140 Financing, at 2.

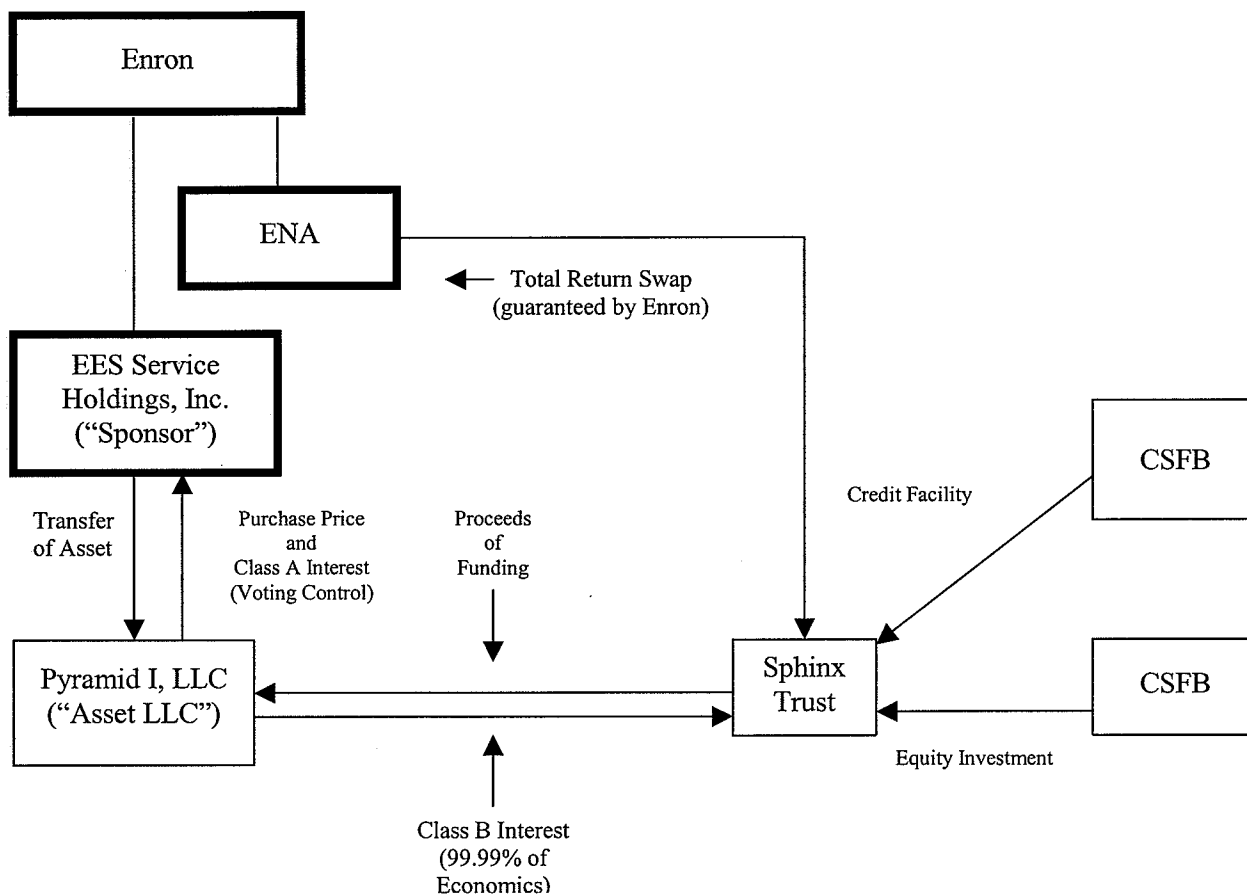
³²⁵ See Asset Notice, Sept. 28, 2001 (the "Asset Notice") [CSFBCO 006052270-CSFBCO 006052271]. Enron described CSFB as "fully exposed to risk of ServiceCo valuation with no guaranty of return on or of capital." Project Nile/ServiceCo Monetization, at AB1128 0095.

³²⁶ See Asset Notice.

³²⁷ Project Nile/ServiceCo Monetization, at AB1128 0095.

³²⁸ *Id.*

³²⁹ *Id.*



A box in bold indicates that the entity is Enron or a wholly owned subsidiary of Enron

The parties' obligations in the Nile Transaction render the transaction virtually indistinguishable from an unsecured loan of approximately \$24 million from CSFB to Enron, with Enron retaining the risks and benefits of the ServiceCo stock. Nevertheless, Enron accounted for \$22.2 million of the \$25 million it received as cash flow from operating activities and the remainder as cash flow from investing activities.³³⁰

³³⁰ Enron Sept. 27, 2001 Memorandum to Accounting Files, at AB0001223391.

The Accounting Effect of the Nile Transaction

Although CSFB understood that its equity position in the Sphinx Trust “needed to be at risk”³³¹ to satisfy the accounting treatment that Enron gave the overall transaction, the evidence indicates that Enron agreed to repurchase CSFB’s 3% equity in Project Nile “at par.”³³² An internal CSFB document describes the “credit risk” of the equity as being “100% Enron via put.”³³³ Although this put is described in internal CSFB documents, it is not memorialized in the closing documents for the Nile transaction. CSFB, which has acknowledged it understood “that the equity tranche had to be at [CSFB’s] risk,”³³⁴ nevertheless asserts that the put option with Enron preserved that risk because the possibility remained that Enron would not honor its obligations under the put.³³⁵

³³¹ Moran Sworn Statement, at 69, lines 24-25.

³³² Sept. 24 Credit Memorandum, at 4. Moran has testified that the statement in the Sept. 24 Credit Memorandum was not accurate because, among other things, the equity was “supported by a fair market put. The fair market put if presented to Enron obligates Enron to purchase the security at the price of the put, the price of the fair market put.” Moran Sworn Statement, at 92, line 15 – 93, line 10. *See also* Sworn Statement of Robert O’Brien, Chief Credit Officer, CSFB, by M. Russell Wofford, A&B, May 15, 2003, at 51, line 20 – 52, line 19. If the put were at fair market value, then it would provide no protection for CSFB’s investment and would likely not have been included in a memorandum seeking credit approval for the transaction. If the put required Enron to purchase the equity at its fair market value rather than at “par,” it is arguable that Moran might not have understood the put to have prevented the equity from being at risk.

³³³ Sept. 24 Credit Memorandum, at 5; Oct. 10, 2001 Credit Memorandum, at 3-4. *See also* Moran Sworn Statement, at 71, lines 16 – 72, line 14. This put differed from the arrangement described in the Second Interim Report as included in several of the FAS 140 Transactions. Second Interim Report, Appendix M (FAS 140 Transactions). The put described there was between the Sponsor and the Asset LLC and allowed the Asset LLC to require the Sponsor to purchase all or a portion of the asset that was transferred by the Sponsor to the Asset LLC at closing. *Id.*

³³⁴ Moran Sworn Statement, at 72, lines 7-24.

³³⁵ *Id.* at 72, lines 11-24. While the risk exists that any party to a contract could refuse to honor its obligations under that contract, that risk is not the equity risk contemplated by the 3% Equity Test, but is rather a form of credit risk.

As discussed in Appendix B (Accounting Standards) to the Second Interim Report, the 3% Equity Test³³⁶ requires that the equity be “at risk.” Because of the existence of the put, CSFB’s equity investment was not “at risk” as required by the 3% Equity Test and Enron could not have recognized the approximately \$18.9 million in gain in accordance with GAAP. Enron’s balance sheet should have reflected the Sphinx Trust’s nearly \$24 million in debt as Enron debt and should have reflected the cash flows from the transaction as cash flow from financing activities rather than as from operating or investing activities.

³³⁶ The Examiner discussed the 3% Equity Test in the Second Interim Report. The relevance of the 3% Equity Test to Enron’s FAS 140 Transactions is that in transactions, such as the Nile transaction, where the borrower-SPE is not a QSPE, the 3% Equity Test must be met or the borrower-SPE will be required to be consolidated with Enron, thereby bringing the debt incurred by that SPE onto Enron’s balance sheet. *See* Second Interim Report, Appendix M (FAS 140 Transactions), at 27-30.

IV. POTENTIAL LIABILITY OF CSFB

A. Arguments Supporting the Imposition of Aiding and Abetting Liability and Equitable Subordination

Aiding and Abetting Liability

Elements of Aiding and Abetting Liability. As described in Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that certain of the Debtors' officers breached their fiduciary duties under applicable law by causing the Debtors to enter into certain SPE transactions, including FAS 140 Transactions and Prepay Transactions, that were designed to manipulate the Debtors' financial statements and that resulted in the dissemination of financial information known to be materially misleading. CSFB participated in the formation and funding of LJM1, which facilitated the completion of the LJM1/Rhythms Hedging Transaction, a transaction in which those duties were breached, and in the CSFB Prepay and the Nile transaction, a Prepay Transaction and a FAS 140 Transaction, respectively, similar to transactions of those types in which those duties were breached. In addition, the Examiner concluded that the Related Party Transactions present facts sufficient for a fact-finder to conclude that Fastow and other Enron officers engaged in self-dealing in violation of the duty of loyalty. CSFB participated in the transactions involving LJM1, in which those duties were breached.

As set forth more fully in Appendix B (Legal Standards) to the Third Interim Report, assuming the Debtors have standing, an affirmative claim against CSFB for aiding and abetting these breaches of fiduciary duty will exist if: (i) CSFB had actual knowledge of the wrongful conduct giving rise to the breaches of fiduciary duty; (ii) CSFB gave substantial assistance to the primary wrongdoers; and (iii) injury to the

Debtors was the direct or reasonably foreseeable result of CSFB's conduct. The evidence is sufficient for a fact-finder to conclude that CSFB aided and abetted Fastow and certain other Enron officers in breaching their fiduciary duties.

Analysis of Evidence. CSFB knew that LJM1 would enter into the LJM1/Rhythms Hedging Transaction with Enron and CSFB was in possession of all the facts necessary to conclude that the LJM1/Rhythms Hedging Transaction was a non-economic hedge. CSFB was also in possession of all the facts necessary to conclude that Enron paid significant value in a transaction in which it had no possibility of obtaining an economic return and that the transaction was designed to give Enron only a potential financial statement benefit. CSFB knew that the Enron stock held by LJM1 could not be hedged, sold or transferred and could not be used to enrich Fastow. There is also evidence that, through structuring and implementing the SAILS transaction, CSFB provided substantial assistance to Fastow, enabling him to profit from the Enron stock notwithstanding his representation to the Enron Board and the express prohibition contained in the Amended Partnership Agreement. In addition, there is evidence that CSFB knew that the CSFB Prepay and the Nile transaction would contribute to the materially misleading nature of Enron's financial statements, and that CSFB provided substantial assistance to Enron in completing those transactions.

With respect to LJM1, CSFB understood that Fastow had designed a transaction that resulted in the transfer of significant value in the form of Enron stock from Enron to LJM1. Because of the conflicts of interest between Fastow and Enron that were inherent in this arrangement, CSFB had concerns about the propriety of the transaction and took steps to ensure that the Enron Board and Enron's senior management, lawyers and

accountants had approved its terms. CSFB learned that the Enron Board had approved the transaction, subject to the condition that Fastow not be permitted to have any pecuniary interest in the Enron stock and the imposition of restrictions on the transfer or hedging of the Enron stock held by LJM1. CSFB was aware that Fastow was to share in only those distributions and allocations other than distributions or allocations of or resulting from the Enron stock transferred to LJM1 or proceeds resulting from those shares.³³⁷ Further, CSFB knew that Fastow's management fee was to be calculated by reference to assets in LJM1 other than the shares of Enron stock transferred to LJM1 or proceeds resulting from those shares.³³⁸

Notwithstanding this knowledge, CSFB immediately after closing began to structure and implement the SAILS transaction, which accomplished precisely what had been prohibited by these restrictions. CSFB monetized the right to its allocable portion of the Enron shares held by LJM1, resulting in a substantial cash payment. CSFB then contributed that cash to LJM1 and, through LJM1, to Fastow. In so doing, CSFB enabled the parties to treat the proceeds of the transaction as an additional capital contribution by CSFB to LJM1 from which Fastow could profit. Over the life of LJM1, largely as a result of the asserted change in character of LJM1's assets through the SAILS transaction, Fastow and his colleagues received over \$40 million.³³⁹

The outside counsel representing CSFB in connection with LJM1 understood this restriction. James Clark, an attorney with the firm of Cahill, Gordon & Reindel, LLP,

³³⁷ Section 4.2, Partnership Agreement. As noted above, CSFB's subsidiary, ERNB, was a party to the Partnership Agreement.

³³⁸ *Id.* Section 5.2.

³³⁹ This number includes the amounts received by an entity controlled by Fastow and by certain of Fastow's colleagues in connection with Enron's termination of the LJM1/Rhythms Hedging Transaction.

testified that “I have a general recollection of a principle that Enron told us they had established, which was that they did not want Mr. Fastow to profit from transactions that resulted – as a result of sales of Enron’s common stock or something of that nature.”³⁴⁰ Clark also testified that throughout the negotiations of the Partnership Agreement and his involvement with LJM1, this principle never changed.³⁴¹ As RBS explicitly noted at the time, the consequences of the SAILS transaction were never what had been contemplated by the parties at the outset. Further, while Causey consented to the SAILS transaction on behalf of Enron, there is no evidence that CSFB sought confirmation that the Enron Board, Enron’s counsel or Enron’s accountants approved the transaction.³⁴²

There is also sufficient evidence for a fact-finder to conclude that CSFB was in possession of all the facts necessary to conclude that the LJM1/Rhythms Hedging Transaction was a non-economic hedge that would contribute to Enron’s financial statements being materially misleading. A fact-finder could also conclude that CSFB knew that Fastow and other Enron officers were engaged in self-dealing that constituted a breach of their fiduciary duties to Enron and that through SAILS, CSFB provided substantial assistance to these officers in effecting these breaches.

³⁴⁰ Clark Sworn Statement, at 36, lines 2-7.

³⁴¹ *Id.* at 36, line 25 – 37, line 6.

³⁴² The Examiner has found no evidence that the SAILS transaction was considered or approved by the Enron Board.

Under the applicable law of aiding and abetting, courts often include, as part of the element of substantial assistance, a requirement that the harm caused must be a reasonably foreseeable result of the actions of the aider and abettor. In LJM1, CSFB's participation in a limited partnership that it understood was formed principally for the purpose of executing the LJM1/Rhythms Hedge Transaction – which CSFB had sufficient information to determine was a non-economic hedge – resulted in Enron transferring significant value for no economic return and led to the dissemination of materially misleading financial information by Enron. A fact-finder could conclude that this result was reasonably foreseeable. Similarly, a fact-finder could conclude that Enron would not have consented to Fastow's participation in LJM1 had it known that subsequent transactions would be designed and implemented to enable Fastow to profit personally from the Enron stock transferred to LJM1. A fact-finder could conclude that a reasonably foreseeable result of the SAILS transaction was to enable Fastow to profit from the Enron stock notwithstanding his prior representations to the Enron Board and the provisions of the Amended Partnership Agreement.

There is also sufficient evidence for a fact-finder to conclude that CSFB's conduct in connection with the CSFB Prepay and the Nile transaction would support an affirmative claim against CSFB for aiding and abetting breaches of fiduciary duty by Enron officers. In each case, there is evidence that CSFB knew that these transactions would contribute to Enron's financial statements being materially misleading. CSFB knew that the CSFB Prepay was effectively a loan. No direct evidence discovered to date by the Examiner confirms that CSFB understood that the cash flow from the CSFB Prepay would be recorded as cash flow from operating activities. However, given that

CSFB routinely reviewed Enron's financial statements and given that net changes in price risk management activities is a sub-account of cash flow from operating activities, a fact-finder could infer that CSFB understood that Enron accounted for the cash proceeds from the CSFB Prepay as cash flow from operating activities.

In the Nile transaction, CSFB made the 3% equity investment in Sphinx Trust only after obtaining a put from Enron that would require Enron to repurchase the equity at par. This prevented the equity from being at risk. CSFB knew that, despite the existence of this put, Enron would account for the Nile transaction as a sale.

Thus, a fact-finder could conclude that CSFB was aware that Enron's officers were breaching their fiduciary duties by completing transactions that would not be properly disclosed in its financial statements. A fact-finder also could conclude that by participating in and funding these transactions, CSFB provided substantial assistance to these officers in connection with these breaches. Finally, a fact-finder could conclude that the damages suffered by Enron as a consequence of the preparation and dissemination of these materially misleading financial statements, including incurring the costs of governmental investigations, the administrative costs of Enron's bankruptcy proceeding, and losses caused by the "deepening insolvency" of Enron that occurred while its true financial condition was disguised, were reasonably foreseeable results of CSFB's conduct in connection with these transactions.

Equitable Subordination

As set forth more fully in Appendix B (Legal Standards) to the Third Interim Report, CSFB's claims against the Debtors may be equitably subordinated if CSFB engaged in inequitable conduct and such conduct resulted in injury to creditors or an

unfair advantage to CSFB. The evidence discussed above supports a finding that CSFB engaged in inequitable conduct that allowed Enron to produce materially misleading financial statements and Fastow and other Enron officers to enrich themselves in violation of their duties of loyalty. Enron's other creditors were injured because Enron was damaged by transactions involving LJM1 and because the misleading financial results were publicly reported and disseminated by Enron. In addition, a fact-finder could conclude that by publishing Launer's positive equity analyst reports, while simultaneously discouraging Sakol from publishing her more negative fixed-income analyst reports and selling Enron securities in the open market, CSFB engaged in inequitable conduct and that such conduct resulted in injury to other creditors and an unfair advantage to CSFB. Therefore, the Examiner concludes that sufficient evidence exists for a court to equitably subordinate the claims of CSFB to those of other creditors.

B. Arguments Against the Imposition of Aiding and Abetting Liability and Equitable Subordination

The Examiner has considered certain of the arguments that CSFB might assert as defenses to aiding and abetting liability and equitable subordination, including:

- With respect to LJM1, CSFB may argue that it reasonably believed that there was no breach of any fiduciary duty by any Enron officer because the transfer of value to LJM1, and therefore to Fastow, was approved by the Enron Board after full disclosure;
- With respect to the SAILS transaction, CSFB may argue that it reasonably believed that there was no contravention of Enron's requirements with respect to the Enron stock because the SAILS transaction was known to, and approved by, a senior officer of Enron;
- CSFB, as a limited partner in LJM1, may argue that it did not approve or substantially participate in any decision by LJM1 to distribute value to Fastow or any other Enron officer and had no responsibilities with respect to the characterization of property held by LJM1 under the Amended Partnership Agreement;

- With respect to LJM1, the CSFB Prepay and Nile, CSFB may argue that it relied on Enron's obtaining its own independent accounting advice with respect to its financial statements and other disclosures;
- With respect to the CSFB Prepay and Nile, CSFB may argue that it did not have knowledge of Enron's accounting for significant aspects of the transactions;
- With respect to Nile, CSFB may argue that Enron's unwritten agreement to repurchase the equity was legally unenforceable and, therefore, did not adversely affect Enron's accounting for that transaction; and
- With respect to the CSFB Prepay and the Nile transaction, CSFB may argue that these transactions were not material to Enron's reported financial performance.

Reliance on Enron Board Approval of LJM1

CSFB sought and obtained confirmation that the Enron Board and Enron's senior management and accountants had approved the establishment of LJM1 and the transfer of value to LJM1 through the transfer of the Enron stock. The Examiner recognizes that CSFB's actions in this regard provide evidence from which a fact-finder could conclude that CSFB was not aware of any breach by Fastow of his duties to Enron in connection with this transaction.

Reliance on Enron Approval of SAILS

CSFB obtained Enron's approval of the SAILS transaction, including the Escrow Agreement through which LJM1 transferred one-half of its Enron shares into escrow for CSFB's benefit, as evidenced by the Enron SAILS Consent³⁴³ executed on behalf of Enron by Causey. The Escrow Agreement contemplated the transfer of those shares from escrow to ERNB at any time upon receipt of a certificate from ERNB, but in no event later than October 15, 2001. Through the Enron SAILS Consent, Causey also consented,

³⁴³ Enron SAILS Consent, at CSFBCO 000008678.

on Enron's behalf, to an amendment to the Partnership Agreement that characterized the payment by CSFB to LJM1 in December 1999 (a sum derived from the proceeds of the SAILS transaction) as an "Additional Capital Contribution." A fact-finder could therefore conclude that CSFB's role in the transfer of shares from LJM1 into escrow for the benefit of ERNB did not circumvent the Lock-Up Agreement or result in a violation of the Amended Partnership Agreement by providing Fastow with pecuniary value from the Enron shares transferred to LJM1. Such defenses must be weighed by the fact-finder against evidence suggesting CSFB understood that Fastow represented to the Enron Board at the time of its approval of LJM1 that he would not profit from the Enron shares transferred to LJM1. In addition, there is no evidence of approval by the Enron Board of the SAILS transaction, including the Escrow Agreement, or of any transaction that might have facilitated transfer to Fastow of the value of any Enron shares held by LJM1.

CSFB's Role as Limited Partner of LJM1

CSFB could argue that it did not substantially participate in any transfer of value to Fastow and other Enron officers. CSFB could argue that the transfer of value resulted from the declaration of distributions from LJM1 to Fastow and other Enron officers, that CSFB was a limited partner in LJM1 and that CSFB did not have any right to approve or disapprove (or duty to monitor) distributions of funds to the LJM1 partners. A fact-finder could view this as evidence that the "substantial participation" element of an aiding and abetting claim is not satisfied.

Evidence supports this defense and the defenses that CSFB believed the Enron Board approved LJM1 and Enron approved the SAILS transaction. A fact-finder would have to weigh this evidence against factors such as CSFB's knowledge that Fastow was

profiting from the transactions involving LJM1 and that the source of this profit was the Enron stock in LJM1. Further, CSFB's substantial participation in the SAILS transaction facilitated this transfer of value, which was prohibited by the terms of the Amended Partnership Agreement.

Reliance on Independent Accounting Advice

The CSFB Prepay and the Nile transaction were complex and required sophisticated accounting analyses and interpretations. CSFB may argue that its reliance on Enron being financially sophisticated and receiving accounting advice from one of the most well-respected accounting firms in the world precludes it from having any scienter or intent to aid and abet Enron's financial misrepresentations.

CSFB may have relied on Enron's obtaining accounting advice from Andersen. For example, an internal email discussing the CSFB Prepay noted that the "structure [was] determined by Enron in consultation with the accountants (AA) [Arthur Andersen] and does not seem to be changeable."³⁴⁴ CSFB also may argue that it acted in accordance with financial services industry standards in effect at those times. In fact, in the CSFB Prepay transaction, CSFB sought representations from Enron confirming elements of the foregoing.

Whether CSFB's reliance on Enron's obtaining independent accounting advice was reasonable is a question of fact. There is evidence from which a fact-finder could conclude that such reliance was not reasonable. Even if CSFB's reliance on Andersen's approval of the GAAP accounting was reasonable, evidence exists indicating that CSFB was aware that Enron's disclosure of the CSFB Prepay was not consistent with the

³⁴⁴ Dec. 12, 2000 Emmett/Smailes Email, at 4.

economic substance of the transaction. A fact-finder could infer that CSFB knew that Enron's disclosure of the CSFB Prepay contributed to its cash flows from operating activities being materially inflated and its debt being materially understated.

With respect to potential aiding and abetting liability, whether a fact-finder would infer that CSFB knew that the lack of disclosure related to those transactions would contribute to the dissemination of materially misleading financial information is the fundamental issue, not whether the technical rules of GAAP were satisfied or whether CSFB relied on Enron's auditors. Accordingly, even if CSFB could demonstrate that it believed Enron's accounting for the Prepay Transactions was correct, the Examiner is unable to conclude that CSFB must be excused as a matter of law from potential aiding and abetting liability. Similarly, the Examiner is unable to conclude that a fact question on these issues would demand a finding that CSFB did not engage in inequitable conduct in connection with the CSFB Prepay.

Lack of Knowledge Regarding Enron's Accounting

CSFB may also argue that it lacked knowledge of how Enron accounted on its statement of cash flows for the proceeds it received from the CSFB Prepay, and that such a lack of knowledge precludes or mitigates against a finding of aiding and abetting liability or equitable subordination.

The Examiner has not uncovered any documentary evidence that conclusively establishes that CSFB knew how Enron accounted for the cash proceeds that it received from the CSFB Prepay. Thus, CSFB may argue that it was unaware of how Enron's officers used the CSFB Prepay to manipulate Enron's financial statements, at least with respect to its statement of cash flows.

Whether CSFB had sufficient knowledge of acts giving rise to breaches of fiduciary duty by officers of Enron is a question of fact. Evidence exists indicating that CSFB knew that the CSFB Prepay was in substance a loan but was not accounted for as debt by Enron on its balance sheet. CSFB also considered the CSFB Prepay a transaction for which it needed to obtain its “standard representations for accounting-driven transactions” to mitigate any reputational risk.³⁴⁵ Such evidence, alone, is sufficient to create an issue of fact.

Finally, there is evidence from which a fact-finder could reasonably infer that CSFB had knowledge that Enron accounted for the cash proceeds it received from the CSFB Prepay as cash flow from operating activities. As noted above, CSFB understood that Enron accounted for the CSFB Prepay as price risk management activities and recorded obligations under the CSFB Prepay as price risk management liabilities. CSFB reviewed Enron’s financial statements in connection with the preparation of internal memoranda seeking approval for various transactions with Enron. On Enron’s statement of cash flows, the line item for price risk management activities appears under cash flow from operating activities and nowhere else.³⁴⁶ Accordingly, a fact-finder could infer that CSFB, in its review of Enron’s financial statements, understood that Enron accounted for the cash proceeds from the CSFB Prepay as cash flow from operating activities.

³⁴⁵ Wootton Sworn Statement at 42, lines 17-22 and 46, lines 17-23; *see also* Dec. 14, 2000 Wootton Email, at 1 (“If this is an accounting-driven transaction, and I had understood before that it is, the Firm’s standard representations for accounting driven transactions will presumably be required to be inserted in the confirmations?”).

³⁴⁶ *See* Enron 1999 Annual Report, Statement of Cash Flows.

Enforceability of Unwritten Support

The Examiner also has considered whether Enron's agreement to repurchase the equity in the Nile transaction, reflected in internal CSFB documents but not in a written agreement with Enron, was enforceable as a matter of law and a matter of fact. As discussed in the Third Interim Report, agreements that are "oral" or "unwritten" may be legally enforceable contracts.³⁴⁷ Sufficient evidence exists for a fact-finder to conclude either that CSFB relied to its detriment by purchasing the equity based upon Enron's assurances that the equity investment would be repaid.³⁴⁸ Thus, the fact-finder could determine that the assurances of repayment were offered as consideration for CSFB's agreement to purchase the equity, an offer that CSFB accepted. If the fact-finder were to make that determination, then the equity was not "at risk" as required by GAAP rules pursuant to traditional contract law, or pursuant to theories of promissory estoppel or detrimental reliance.

As discussed in the Third Interim Report, regardless of the enforceability of the put, a fair reading of the applicable GAAP suggests that the "at risk" rule of the 3% Equity Test requires that the equity be at risk not just as a matter of strict legal form, but that it be at risk in substance as well. Thus, the intentions of the parties must be considered in determining whether the equity is truly at risk. The evidence suggests that CSFB relied upon the existence of the put in purchasing the equity interest, fully

³⁴⁷ Third Interim Report, *Potential Defenses to Aiding and Abetting Claims and Equitable Subordination – Impact of Agreements or Assurances on Equity at Risk*.

³⁴⁸ The existence of the put is discussed in the credit approval memoranda prepared by CSFB in connection with the Nile transaction. Sept. 19 Credit Memorandum, at 4; Sept. 24 Credit Memorandum, at 4. As noted above, CSFB representatives have testified that the put required Enron to repurchase the equity at fair market value.

expecting Enron to honor the agreement.³⁴⁹ Thus a fact-finder could determine that CSFB was in fact looking to Enron for the return of its equity and, in substance, the equity was not at risk. CSFB may have had other reasonable bases for concluding that its equity would be repaid in full at maturity. For example, CSFB may have believed that, given Enron's requirement to repay the debt that represented approximately 97% of the amount owed in the transaction, it would have no incentive not to pay the additional 3% and reacquire the underlying asset. Other structural elements of the Nile transaction may have also provided some degree of assurance to CSFB.

CSFB's expectations, considered in isolation, were based on economic realities and were consistent with the accounting rules. These normal commercial expectations, however, did not arise, and may not be considered, in isolation. They arose in the context of Enron's specific assurances regarding the repayment of the 3% equity. Thus, a fact-finder could determine that the put was the principal or exclusive basis for CSFB's expectations of recovery from Enron of its 3% equity investment. Accordingly, there is sufficient evidence for the fact-finder to conclude that the put was in fact and substance a "residual guarantee" under the applicable GAAP. Under this analysis, the equity investments are not "at risk" as required under the 3% Equity Test.

Lack of Materiality

CSFB also may argue that the CSFB Prepay and the Nile transaction were not material to Enron's stated financial performance. Accordingly, there would be no claims against CSFB based upon its participation in these transactions because no damages resulted from Enron's failure properly to disclose or account for these transactions. The

³⁴⁹ CSFB's credit approval memoranda refer to Enron's agreement to repurchase the equity "at par the principal and interest." Sept. 19 Credit Memorandum, at 4.

impact of the CSFB Prepay and the Nile transaction on Enron's reported financial statements was less significant than the impact of the Prepay Transactions and FAS 140 Transactions entered into between Enron and certain other financial institutions. However, as noted above, the CSFB Prepay and the Nile transaction contributed to allowing Enron to misstate significantly both its cash flow from operating activities and its debt. Thus, evidence exists from which a fact-finder could conclude that these transactions had a material impact on Enron's reported financial performance.

C. Conclusions

Through transactions involving LJM1, Enron entered into a non-economic hedge that resulted in Enron transferring significant value for no economic return and contributed to its financial statements being materially misleading, and Fastow and other Enron officers enriched themselves at the expense of Enron in violation of their fiduciary duties. CSFB participated in various aspects of these transactions. In addition, CSFB participated in SPE transactions, which contributed to Enron's misleading financial statements. While CSFB has various defenses, the evidence reviewed by the Examiner and the reasonable inferences that may be drawn from that evidence are sufficient for a fact-finder to conclude that CSFB aided and abetted certain Enron officers in breaching their fiduciary duties in connection with these transactions. There is also sufficient evidence of inequitable conduct by CSFB in connection with these transactions for a court to conclude that CSFB's claims should be equitably subordinated to the claims of other creditors.

As a result, CSFB's claims in the Bankruptcy Case totaling at least \$417 million are susceptible of being equitably subordinated to the claims of other creditors. This

subordination would be in addition to any affirmative recovery that may be available to the Debtors against CSFB for aiding and abetting the officers' breaches of fiduciary duty, assuming that the Debtors have standing to pursue such a claim.

V. POTENTIAL VOIDABLE PREFERENCE LIABILITY OF CSFB

As noted in the Prior Reports, many of Enron's SPE transactions give rise to voidable preference claims under Section 547 of the Bankruptcy Code. Section 547 permits a debtor to avoid certain prepetition transfers as preferences if there is (i) a transfer, (ii) of an interest of the debtor in property, (iii) to or for the benefit of a creditor, (iv) for or on account of an antecedent debt owed by the debtor before such transfer was made, (v) made while the debtor was insolvent, (vi) on or within ninety days (or one year for an "insider" transferee) before bankruptcy, (vii) that enables the creditor to receive more than it would receive in a Chapter 7 case if the transfer had not been made.³⁵⁰ Section 547(c) of the Bankruptcy Code,³⁵¹ among other sections,³⁵² provides certain affirmative defenses to preference liability, depending on the nature and circumstances surrounding the transfer.

The refinancing of the CSFB Prepay in late September 2001 gives rise to potential preference liability for Credit Suisse First Boston International (USA) Inc. ("CSFBi (USA)"). Specifically, on September 27, 2001, ENA transferred approximately \$153.9 million to CSFBi (USA).³⁵³ The amount transferred was property of ENA and was transferred to CSFBi (USA),³⁵⁴ a creditor, on account of an antecedent debt, the CSFB Prepay. The transfer was within ninety days of the Petition Date, when ENA is presumed

³⁵⁰ 11 U.S.C. § 547(b).

³⁵¹ 11 U.S.C. § 547(c).

³⁵² See, e.g., 11 U.S.C. § 546(g).

³⁵³ See SAP Wire Transfer Request in respect of \$153,945,728 paid by ENA to CSFBi, Sept. 27, 2001 [AB000271644-AB000271645].

³⁵⁴ The counterparty to the CSFB Prepay in September 2001 was CSFBi (USA). CSFBi received the funds on account of the obligations under the CSFB Prepay. Accordingly, the transfer was made on account of an antecedent indebtedness, the CSFB Prepay.

to be insolvent. Finally, the transfers enabled CSFBi (USA) to receive more than if ENA filed a Chapter 7 case, as this was a payment of unsecured debt. Accordingly, all of the elements of a preferential transfer can be established against CSFBi (USA) and ENA has a *prima facie* case for recovery of \$153.9 million from CSFBi (USA).

CSFBi (USA) is likely to assert several defenses to this preference action. First, CSFBi (USA) is likely to argue that the payment is not recoverable because it was made under and in connection with a “swap agreement,” and thus insulated from avoidance under Section 546(g) of the Bankruptcy Code. For the reasons set forth in the Third Interim Report,³⁵⁵ the Examiner concludes that ENA likely would succeed in arguing that the CSFB Prepay swaps are not swap agreements for bankruptcy purposes, because these are swap agreements in name only and in all other respects functioned as loans and were intended by all the parties to function as loans; as noted above, CSFB representatives also viewed the CSFB Prepay as a loan. Thus, Section 546(g) of the Bankruptcy Code should not shield these transfers from avoidance.

In addition, for the reasons also set forth in the Third Interim Report,³⁵⁶ the Examiner believes that CSFBi (USA) will not be able to establish that this transfer was in the ordinary course of business. Although the transfer in question appears to have been made in accordance with the terms of the documents governing the CSFB Prepay, the underlying transaction (and the debt it created) was not ordinary or customary, but rather, was a highly unusual financial arrangement designed to manipulate Enron’s reported results of operations, cash flows and financial position. Thus, CSFBi (USA) will likely

³⁵⁵ See Third Interim Report, Annex 6 to Appendix J (Avoidance Actions), at 29-39.

³⁵⁶ See *id.* at 11-18.

not succeed in asserting an ordinary course of business defense under Section 547(c)(2) of the Bankruptcy Code.

However, the transfer to CSFBi (USA) was made as a part of the refinancing of the CSFB Prepay, in which approximately \$150 million was advanced to ENA from CSFB's Cayman Island branch.³⁵⁷ Thus, CSFBi (USA) likely will assert the additional affirmative defense that there was a contemporaneous exchange for new value under Section 547(c)(1).³⁵⁸ The contemporaneous exchange defense under Section 547(c)(1) does not require that the creditor receiving the preferential payment extend the new value, if it caused another party to extend value to the debtor.³⁵⁹ However, the defense is limited to the actual value provided to ENA³⁶⁰ and, in the case of the CSFB Prepay refinance, \$153.9 million was paid by ENA while only approximately \$150 million was received by ENA. Accordingly, the contemporaneous exchange defense would not protect the full amount of the \$153.9 million preferential payment, leaving approximately \$3.9 million in liability.³⁶¹

³⁵⁷ Enron Cash Receipts Report [AB0971 02989].

³⁵⁸ 11 U.S.C. § 547(c)(1).

³⁵⁹ See, e.g., *Gulf Oil Corp. v. Fuel Oil Supply & Terminaling, Inc. (In re Fuel Oil Supply & Terminaling, Inc.)*, 837 F.2d 224 (5th Cir. 1988) (where debtor's payments to creditor resulted in creditor's release of letters of credit, which then caused the banks issuing the letters of credit to release certain collateral to the debtor which benefited the debtor's estate, the creditor has provided a contemporaneous exchange for new value and is not liable on the preference to the extent of such value).

³⁶⁰ See Third Interim Report, Annex 6 to Appendix J (Avoidance Actions), at 10.

³⁶¹ Another possible defense would be the new value defense under 11 U.S.C. § 547(c)(4). However, the new value defense likely will not apply here as the cases construing Sections 547(c)(4) typically require the new value to be advanced by the same creditor that received the preferential payment. See 11 U.S.C. § 547(c)(4) ("The trustee may not avoid under this section a transfer . . . to or for the benefit of a creditor, to the extent that, after such transfer, *such creditor* gave new value to or for the benefit of the debtor . . .") (emphasis added); see also *Sender v. Buchanan (In re Hedged-Investments Assocs., Inc.)*, 163 B.R. 841, 852 (Bankr. D. Colo. 1994) ("The new value defense is unique to the specific creditor involved . . . [t]he Defendant cannot claim because *other* creditors made advances to the Debtor subsequent to the transfers [the Defendant] received, [the Defendant] gets the benefit of those subsequent advances under § 547(c)(4).") (emphasis in original), *aff'd on other grounds*, 84 F.3d 1286 (10th Cir. 1996); *Country Junction, Inc. v. Money Exch. (In re Country Junction, Inc.)*, 49 B.R. 708, 709 (Bankr. W.D. Tex. 1985).

The burden of production and persuasion would be on CSFBi (USA) to demonstrate that the elements of the contemporaneous exchange for value defense exist. Assuming that CSFBi (USA) can establish the elements of the contemporaneous exchange for value defense under Section 547(c)(1), based on the above analysis, the Examiner concludes that approximately \$3.9 million likely can be avoided as a preferential transfer and may be recoverable by the bankruptcy estate of ENA. If CSFBi (USA) cannot prove any other defenses, then approximately \$3.9 million can be recovered from CSFBi (USA), for the benefit of ENA's estate. In addition, pursuant to Section 502(d) of the Bankruptcy Code,³⁶² if CSFBi (USA) does not pay ENA's estate on account of this preference claim, the claim it holds against ENA, in an amount of approximately \$62 million,³⁶³ will be disallowed.

("The statute requires that the 'new value' be extended by the same creditor which received the benefit of the preference payments."), *vacated by agreement*, No. 86-1741, 1987 WL 49438 (5th Cir. Aug. 3, 1987).

³⁶² 11 U.S.C. § 502(d).

³⁶³ Proof of Claim of CSFBi, filed against ENA in the amount of \$62,013,987, at 3 [Claim No. 0000007525].